BK GROUP PLC

ANNUAL
INTEGRATED REPORT
2023

TRANSFORMATIONAL
SOLUTIONS

TRANSFORMATIONAL **SOLUTIONS**

We are a premier financial institution with a comprehensive offering across the commercial banking and financial services space.

01.

BK Group Plc: An Introduction

About Us

Rwanda's leading banking and financial institution

About the Group and Its Five Subsidiaries

BK Group is an award-winning Rwandan institution that has had deep roots in the African financial space since its founding in 1966. Throughout the years, BK Group has evolved into a premier one-stop hub, providing a comprehensive array of financial services under a unified framework.

At the forefront of the Group is its subsidiary, Bank of Kigali, which today stands as Rwanda's largest commercial bank in terms of total assets and boasts a diverse service portfolio catering to individuals, SMEs, large corporations, and other financial entities within the region. BK Group also offers asset management and investment banking services through its subsidiary BK Capital, provides an extensive range of non-life insurance products through its subsidiary BK General Insurance, and delivers cutting-edge enterprise solutions that foster growth in the Rwandan digital sphere through its subsidiary BK TecHouse. Finally, starting in 2023, the Group has expanded its offering with the launch of the BK Foundation, which is focused on impact investments in the realms of education, innovation, and climate.

Since 2018, BK Group has been dual listed on the Rwandan Stock Exchange (RSE) and the Nairobi Securities Exchange (NSE), enhancing its market standing. With 60% of its shares floating, the Group solidifies its robust presence in the financial landscape. BK Group has been present in Kenya since 2012 following the launch of a representative office in the country.

1,244.8 FRw bn

Customer Loans and Advances

1,374.3 FRw tn

Client Balances and Deposits

515,896

Retail Clients

103

ATMs

67

Branches

4,470

Agents

2,490

POS

Business and Retail Banking – Bank of Kigali Plc

BK Group extends its commercial banking services through Bank of Kigali Plc, catering to a diverse clientele encompassing corporates, SMEs, individuals, micro-enterprises, and non-profit organizations (NGOs). Additionally, the Bank recently introduced its newest segment, Agri business, successfully contributing to its FY 2023 results. Corporate banking's flagship offerings comprise long-term CAPEX loans designed to target investments and expansions, commercial mortgage loans with a standard tenor of up to 15 years, and working capital loans addressing short-term business requirements. On the retail front, the Group's primary products include consumer, vehicle, and mortgage loans; overdrafts; credit cards; and asset-based financing.

Dedicated to ongoing expansion, the Group consistently explores new opportunities by introducing innovative services and products. This strategic approach aims to fortify and consolidate market share, concurrently harnessing the potential of digitalization to streamline operations and elevate the overall customer experience.

Insurance – BK General Insurance

In 2016, BK Group Plc introduced BK General Insurance (BKGI) to provide an extensive array of non-life insurance products for its clients. The coverage spans motor, money, bonds, transport, engineering and technological, as well as personal and group, accidents.

Fintech – BK TecHouse

In 2016, BK Group also established BK TecHouse to pioneer digital ecosystems for varying types of clients, encompassing large and medium enterprises, schools, personal homes, commercial buildings, and construction sites. The company delivers comprehensive smart solutions, ranging from home and SME security to innovative education management software and cashless payment channels for smart school solutions. Additionally, BK TecHouse offers enterprise security products with extensive remote access capabilities and highly scalable solutions, providing users with best-in-class protection. The company aims to broaden its technology-driven offerings across various sectors, leveraging connectivity, automation, advanced analytics, and innovative digital solutions to expand BK Group's consumer base.

Advisory and Wealth Management – BK Capital

Initially introduced in 2012 as a securities brokerage firm, BK Group has since broadened BK Capital's scope to include investment and wealth management, corporate and advisory services, bonds and equities brokerage, and pension fund administration. BK Capital leverages its extensive regional and international network, collaborating with development finance institutions, funds, and high-net-worth investment companies to secure funding at both local and global levels. The company forges strategic partnerships with investment and advisory firms, enabling joint investments with BK Capital's partners on specific transactions.

BK Foundation

Launched in 2023, the BK Foundation serves as the philanthropic arm of BK Group. Dedicated to catalyzing positive change, the Foundation allocates grant funding to organizations, prioritizing measurable impact for the progress of Rwanda. It strategically tackles unmet needs in education, innovation, and environmental conservation, with a special emphasis on enhancing financial literacy. Collaborating with strong partners, the BK Foundation identifies key opportunity areas within Rwanda and leverages an evidence-based approach to craft effective funding solutions and foster ongoing collaboration throughout the life cycle of awarded grants.

Vision, Mission, Values

Vision
Transform the lives of our **stakeholders** by offering **state-of-the-art, customer-centric** financial services.

Mission
Delight our customers via **deep knowledge** of our **region**, cultivating **engaged talent**, and **ground-breaking innovation**.

Values
We make innovation and execution integral to everyone's role, embodying our Ubudasa DRIVE values in every aspect of our operations.

D	R	I	V	E
Devoted to nurturing our people	Redefining the status quo	Inspired by our customers	Viewing success through the lens of the organization	Empowered and responsible for our role in our shared purpose

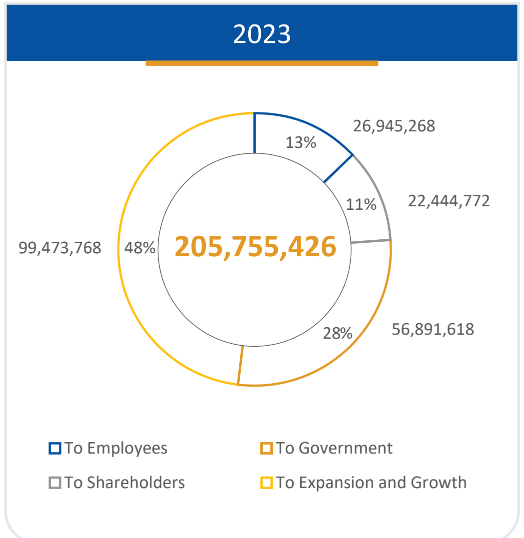
BK Group's culture is steered by its core **"DRIVE"** values, pivotal to the organization's prosperity. The initial value, **"D,"** underscores the significance of being "Devoted to the Group's talent," fostering a nurturing work environment to cultivate employee skills. The subsequent value, **"R,"** underscores the imperative to "Redefine the status quo" through continuous learning and experimentation, challenging conventional methods and exploring new ideas.

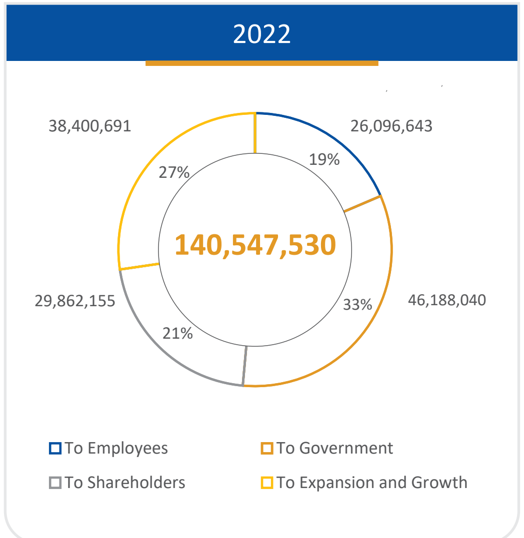
The third value, **"I,"** spotlights the importance of being "Inspired by customers." By prioritizing customer needs, the Group gains a deeper understanding of their requirements, enabling the provision of tailored solutions. The fourth value, **"V,"** accentuates the necessity to "View success as an organization," promoting a collaborative approach where teamwork and cooperation take precedence over individual achievements.

Lastly, the fifth value, **"E,"** underscores the importance of being "Empowered and accountable." BK Group advocates for granting employees the autonomy and resources needed to achieve goals, coupled with a sense of accountability for their actions. Collectively, these **"DRIVE"** values constitute the bedrock of BK Group's culture, guiding the organization's conduct, decisions, and interactions with both employees and customers.

Value-Added Statement
For the Year ended 31 December 2023

Value-Added Statement	2023	%	2022	%
Interest, commissions, and other revenues	289,839,032		240,921,133	
Interest paid to depositors and costs of services	(65,477,018)		(90,632,911)	
Net impairment loss on financial assets	(18,606,589)		(10,006,879)	
Total Value Added	**205,755,426**		**140,281,343**	
Distribution of Value Added to Employees				
Salaries, wages, and other benefits	26,945,268	13%	26,096,643	18.6%
To Government				
Corporation Tax	34,894,241	17%	28,730,466	20.4%
VAT	3,021,252	1%	5,459,683	3.9%
Withholding Tax	3,059,688	1%	2,992,084	2.1%
District Taxes	35,229	0%	63,034	0.0%
PAYE Tax	15,881,207	8%	8,942,773	6.4%
	56,891,618	**28%**	**46,188,040**	**32.9%**
To Shareholders				
Dividends paid to shareholders	22,444,772	11%	29,862,155	21.2%
To Expansion and Growth				
Retained income	89,227,810	43%	29,862,155	21.2%
Depreciation and amortization	10,245,958	5%	8,538,536	6.1%
	99,473,768	48%	38,400,691	27.3%
Total Wealth Distributed	**205,755,426**	**100.0%**	**140,281,343**	**100.0%**





Timeline and Awards

A legacy of excellence across the African banking and financial spaces

1966

- BK established through a 50/50 JV between the government of Rwanda and Belgolaise

2007

- The Rwandan government buys out Belgolaise's stake in BK

2010

- BK receives an A+ credit rating from GCR

2011

- BK officially listed on the RSE in an IPO worth USD 62.5 million, and a 45% stake in BK is floated in the IPO

2012

- BK establishes BK Securities and BK Nominees

2015

- BK establishes BK Registrars

2016

- BK establishes BK General Insurance and BK TecHouse

2017

- BK Group Plc is created, increasing its authorized share capital by FRw 3.5 billion

2018

- BK Nominees and BK Securities are consolidated under BK Capital
- BK Group cross lists on the NSE
- BK raises FRw 60 billion via rights issue and rump offer

2023

- BK Group launches BK Foundation, the Group's dedicated philanthropic arm
- BK Group appoints Jean Philippe Prosper as the new Chairperson of the Board of Directors
- Bank of Kigali inaugurates two modern branches in Nyamata and Giporoso
- BK launches IKAZE platform to help clients submit feedback
- Bank of Kigali unveils its new Private Banking Center
- Bank of Kigali launches two agriculture finance products (coffee working capital and agriculture inventory financing)

Awards

2020

Global Finance Award – Best Investment Bank 2020
EMEA Finance Award – Best Bank in Rwanda 2020
Asian Banker Leadership Achievement Award – Best CEO Response to COVID-19 in Rwanda

2021

Euromoney Awards for Excellence – Best Bank in Rwanda 2021
Global Finance – Best Bank in Rwanda 2021

2022

Global Finance Award – Best Bank in Rwanda
Euromoney Awards for Excellence – Best Bank in Rwanda 2021
Gender Equality Seal – Gold Category (pioneered by UNDP)

2023

Global Finance Award – Best Bank in Rwanda
Euromoney Award for Excellence – Best Bank in Rwanda
The Banker Award – Best Bank in Rwanda

Strategy

Strategic Innovation and Customer Centricity

BK Group aspires to transform the lives of its communities by offering state-of-the-art, customer-centric financial services while consistently driving innovation to support financial growth and inclusion throughout the region. By introducing innovative financial products and services, it aims to maintain a competitive edge and better serve its customers. This vision underscores the Group's dedication to innovation, a crucial element in today's dynamic business environment. BK Group firmly believes that staying ahead through innovation is essential for competitiveness and addressing the ever-changing needs of customers.

BK Group's mission is to generate value for stakeholders by delivering top-notch financial services to both businesses and individual customers. With a motivated and professional staff, the Group aims to provide a personalized, customer-centric experience to all clients. Recognizing the significance of stakeholders in its success, BK Group is committed to serving them with the utmost professionalism and dedication. The Group's distinctive reputation and cultivated trust have set it apart from other financial institutions, consistently delivering sustainable value to stakeholders.

With these strategic objectives in place, BK Group is well-positioned to achieve its vision and mission, aiming to be the premier financial services provider in the region.

Undergoing a Strategic Evolution: Growth and Innovation

BK Group is embarking on a transformation journey with the objective of evolving into two distinct business models in the coming years. In the short term, the focus is on becoming a specialized product provider. To achieve this, BK Group aims to enhance its comprehension of customer requirements and harness data to formulate customized financial products and services tailored to meet the distinct needs of its clientele. Recognizing the diversity of customer financial needs, the Group is committed to delivering personalized financial solutions that exceed customer expectations.

In the longer term, BK Group envisions a transformation into an ecosystem that serves as an all-encompassing one-stop shop for both financial services and related offerings. By actively participating in ecosystems specific to customer segments, BK Group aims to provide a more holistic approach to addressing financial solutions. Acknowledging the multiplicity of customer financial needs, the Group will offer an extensive array of both financial and non-financial services under a unified platform.

Strategic Objectives

BK Group has outlined a precise set of five strategic objectives to navigate its operations and outpace competitors in the swiftly evolving financial services industry.

1. Establish an Innovative Culture and Become an Employer of Choice

- Enable a comprehensive organizational shift toward fostering internal innovation and attracting top-tier talent.

2. Maintain an Assertive Customer-Oriented Sales Force

- Implement a diversified sales strategy in new geographies and product groups to broaden the Group's customer base.
- Digitally address specific customer segments for enhanced client relationships.

3. Base Every Decision on Customer Data

- Utilize advanced analytics to retain a larger market share and ensure customer satisfaction.

4. Automate Processes for Internal and External Efficiency

- Achieve higher general efficiency, reduced costs, and a more seamless customer journey.
- Establish automated processes before product development to prevent re-architecture initiatives and complexities.

5. Anticipate User-Driven Demand for Innovative and Customized Offerings

- Become integral to the developing ecosystem.
- Satisfy customers through a single, integrated approach, staying competitive in an increasingly crowded market.

Group Culture

BK Group has outlined five cultural aspirations that serve as guiding principles for its operations:

1

Foster, value, and back its workforce, positioning the Group as a hub for talent and the preferred employer in the financial sector. The Group considers its employees its most valuable asset and endeavors to create a conducive work environment, attracting and retaining top talent within the industry.

2

Challenge conventional norms by consistently learning and experimenting to enhance itself, its offerings, and its operational methodologies. BK Group recognizes the pivotal role of innovation and creativity in staying competitive within the financial industry. Embracing new ideas and adapting to market changes allows the Group to maintain a cutting-edge position.

3

Center its actions around customers, striving to deliver the utmost service to its clients. At BK Group, customer experience takes precedence, aiming to build enduring relationships and foster a loyal customer base through prioritizing customer satisfaction.

4

Operate as a united team, measuring success through the lens of the organization rather than individual achievements. BK Group acknowledges the significance of teamwork in achieving its objectives and endeavors to cultivate a collaborative culture.

5

Uphold accountability for its role in establishing a shared purpose and approach challenges with courage. The Group recognizes the societal impact of its actions and is dedicated to conducting operations in a socially responsible manner.

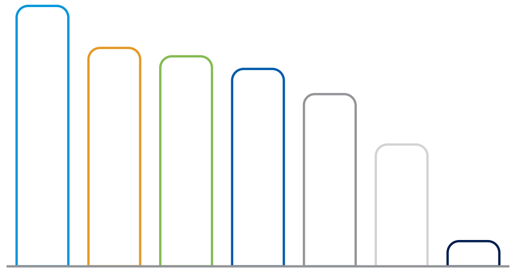
Our Market

Robust Economic Performance

Despite the challenges that the Rwandan economy faced throughout 2023, the country continued to display its underlying resilience, recording GDP growth of 8.2%.[1] The country's impressive economic performance is expected to continue into 2024, with Rwanda estimated to come in as Africa's third-fastest growing economy in 2024, recording GDP growth of 7.5%.[2]

GDP growth during the year continued to be primarily driven by the expansion of the country's services sector, which constituted 44% of overall GDP during the year. Rwanda's growing industry sector also boosted economic performance, comprising 22% of the country's overall production.[3]

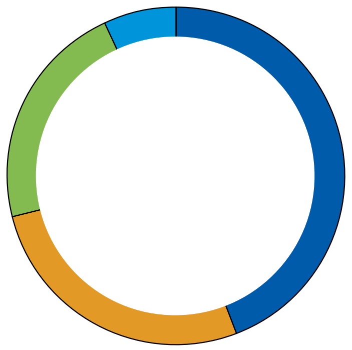
2023 Real GDP Growth*



Rwanda	8.2%
Tanzania	5.2%
Kenya	5.0%
DRC	4.7%
Senegal	4.1%
Nigeria	2.9%
South Africa	0.6%

*Source: International Monetary Fund

GDP Contribution 2023*



Services	44%
Agriculture	27%
Industry	22%
Net Taxes	7%

*Source: National Institute of Statistics Rwanda

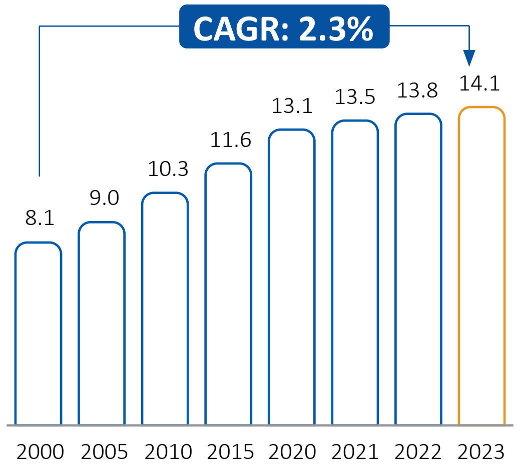
1. National Institute of Statistics of Rwanda
2. Nanyang Technological University
3. National Institute of Statistics of Rwanda

The Financial Sector

Rwanda's financial sector continued performing strongly throughout 2023, despite the hindrances posed by inflation and climate-related challenges affecting the economy. As of 30 June 2023, the financial sector's total assets expanded by 18.3% year-on-year (y-o-y), reaching FRw 9,635 billion, compared to FRw 8,145 billion at the same time last year.[4] Meanwhile, the banking industry, the financial sector's largest sub-sector, posted similarly impressive growth, with its total assets expanding by 18.1% y-o-y.[5]

The financial sector remains an integral component of economic growth in Rwanda, supporting macroeconomic recovery by increasing access to finance to the private sector. Total outstanding loans as of June 2023 increased 17.3% y-o-y, reaching FRw 3,716 billion.[6]

Population | mn*

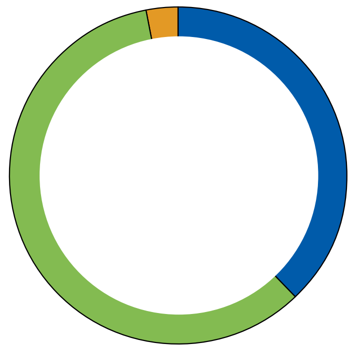


*Source: World Bank

Supportive Demographics

The Rwandan economy remains characterized by significant growth potential on the back of its central location in the continent, as well as its young and fast-growing population. The country's total population stood at approximately 14 million people in 2023, up from 8.1 million in 2000. Since 2000, the Rwandan population has grown at a compound annual growth rate (CAGR) of 2.3%, significantly outpacing global averages.[7]

Population by Age Group | %*



Age: 0–4	38%
Age: 15–65	59%
Age: 65+	3%

*Source: United Nations Population Fund

4. National Bank of Rwanda
5. ibid
6. ibid
7. World Bank

Challenges, Responses, and Opportunities

The Agricultural Sector

Rwanda's agricultural sector represents a major component of the economy, constituting nearly 27% of the country's overall GDP in 2023. In fact, 66.5% of Rwanda's working population is estimated to be employed in the agricultural and related sectors.[8]

Despite the country's vast reliance on agriculture, the sector still faces significant challenges, with high population density, dependence on rain-fed production, natural disasters, and global economic fluctuations significantly hindering economic progress and posing potential threats to food supply. In May 2023, Rwanda experienced severe floods and landslides, leading to the death of over 130 people and damaging almost 6,000 houses. Majorly affected areas accounted for significant shares of the production of staple foods and export crops, putting pressure on the Rwandan economy during the second half of the year and partially hindering the impressive growth of 9.2% reported in the first six months of 2023.

Additionally, despite the sector's vast contribution to the overall economy, farmers' access to financial services and products still remains relatively low, with the percentage of banked Rwandan farmers standing at approximately 26% in 2020.[9] Excluding both banking and other formal non-banking channels to finance, nearly 27% of Rwandan farmers lacked access to formal financial services, either relying on informal channels or remaining completely excluded from financial services. It is important to highlight that these figures have improved compared to 2016, when only 21% of farmers were formally banked.[10]

Responses and Opportunities

In recent years, the government has spearheaded several programs and initiatives aimed at developing the agricultural sector, cutting staple food imports and encouraging agricultural exports. At the end of 2022, the Rwandan government announced a USD 300 million project in partnership with the World Bank aimed at commercializing and de-risking the Rwandan agricultural sector. This five-year initiative will be implemented across 16 districts across the country, benefitting over 235,000 households with long-term financing options aimed at reducing risks faced throughout the agricultural value chain and scaling up agricultural insurance.[11]

The government has also been active on guaranteeing access to insurance for the sector. More specifically, in 2018, the Ministry of Agriculture and Animal Resources introduced the National Agriculture Insurance Scheme (NAIS), meant to mitigate farmer risks associated with natural disasters and diseases affecting livestock and crops, as well as boost financial inclusion in the sector.[12] Through the NAIS, the government partnered with leading private insurance companies to develop insurance products for its framers, ensuring their formal financial inclusion, while subsidizing 40% of the insurance scheme for beneficiaries.[13] The plan has already yielded positive results, with higher farmer participation rates in the financial sector recorded during 2020.

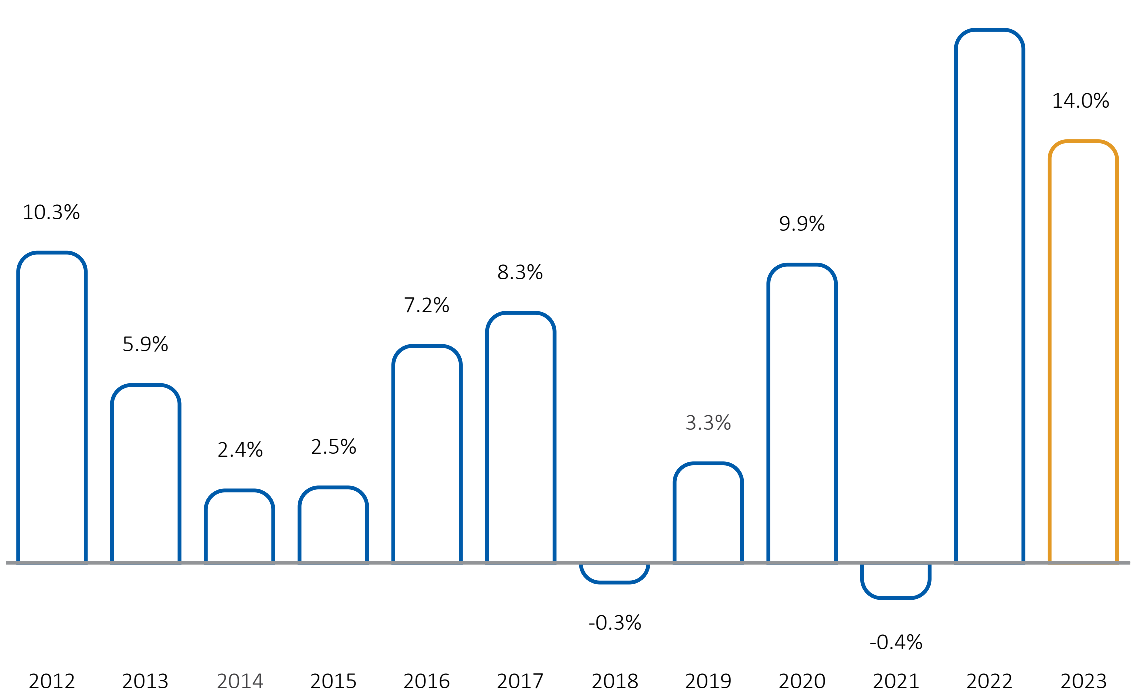
The relatively low financial participation rate that still prevails, however, presents attractive opportunities for the banking sector, with ample room for financial institutions like BK Group to capture first mover advantage and establish themselves as the go-to provider of agriculture-focused financial services and insurance.

8. Food and Agriculture Organization (FAO)
9. Access to Finance Rwanda
10. ibid
11. Ministry of Agriculture and Animal Resources
12. ibid
13. International Food Policy Research Institute

Inflation

Since 2022, the country has seen an acceleration of inflation on the back of the high costs of imported goods and low domestic food production, coupled with global economic inflation.[14] Higher prices throughout the country were further exacerbated by climate-related shocks, to which Rwanda is accustomed. As a result, inflation rates hit a 30-year high in 2022, reaching 17.7% during the year — the highest recorded figure since 19.6% in 1991.[15] This only partially slowed down in 2023, with annual inflation coming in at 14.0%, well above the average recorded in the previous decade.

Population | mn*



*Source: World Bank, National Institute of Statistics of Rwanda

14. African Development Bank Group
15. World Bank

Responses and Opportunities

The Rwandan Central Bank (BNR) tightened its monetary policy starting in August 2022 and throughout 2023, raising its interest rates by 300 basis points and holding the key rate at 7.5% in an effort to curb inflation.[16] The BNR's monetary tightening immediately yielded positive results, with persistently declining inflation rates seen since March 2023.[17] The swift response by the BNR also helped boost the institution's credibility, further improving the operating and investing environment in the country and helping to drive growth across the banking sector.

On this front, the banking sector recorded significant improvements during 2023 in both its credit activity and interbank transactions. During the first half of 2023, the number of newly authorized loans increased by 40% compared to the same period of the previous year, with significantly increased loans recorded in the commerce, public works and building, personal loans, and manufacturing sectors. Meanwhile, the interbank market also recorded boosted activity, with more transactions recorded and volumes exchanged. In fact, during the first half of 2023, interbank transactions increased by 34% y-o-y, while volumes grew over 54%, reflecting increased trust between banks and tangible improvements in their liquidity management skills.[19]

In November, the BNR announced it would maintain its lending rate, citing the fall of inflation toward its desired rate as a positive effect of the policy and not prompting further tightening. In February 2024, the BNR announced that it would consider easing its policies, should the outlook on inflation continue to be positive. Despite the BNR's positive outlook on inflation, the International Monetary Fund (IMF) has reiterated that further policy adjustments and currency depreciation will still be necessary to ensure economic stability over the coming years.[20]

Unemployment

Rwanda is characterized by a young population and a high population density, making the country's workforce a primary driver for its future development. Despite this, the country is continuing to struggle with an unemployment problem, in particular among its youth. In 2022, the country's unemployment rate stood at around 14%, with youth unemployment reaching 21%. Additionally, around 60% of the country's jobs were estimated to be of low productivity, ranging from subsistence agriculture to retail and construction. It is worth noting that part of the challenge stems from the large informal economy existing in Rwanda. In fact, in 2022, over 90% of the country's enterprises were categorized in the informal sector of the economy, providing a few opportunities for profound growth and market-relevant experience for its youth.[22]

16. Rwandan Central Bank, Bloomberg
17. National Institute of Statistics Rwanda
18. National Bank of Rwanda
19. Reuters
20. International Monetary Fund
21. ibid
22. World Bank

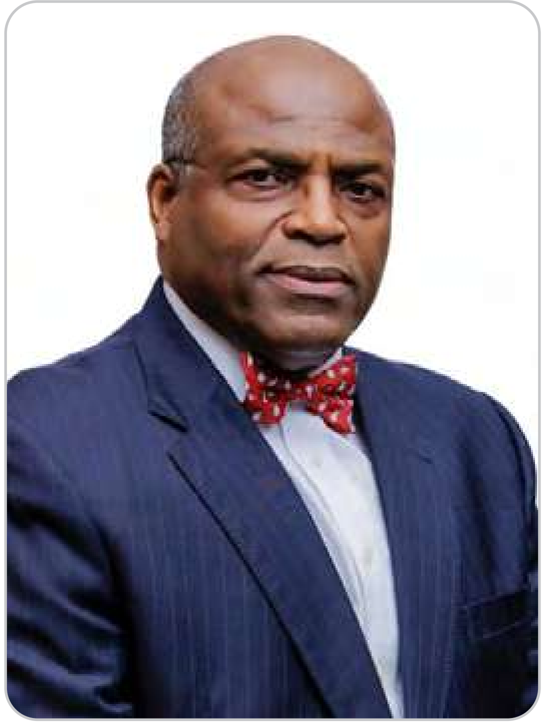
Responses and Opportunities

The Rwanda Development Board (RDB) and the Rwandan Ministry of ICT and Innovation (MINICT) announced a landmark initiative in September 2023, aimed at positioning Rwanda as a leading Global Business Services (GBS) destination. The GBS Growth Initiative sets forth a transformative journey for the Rwandan economy, with the main objectives of growing Rwanda's GBS sector, creating high-quality employment opportunities in the country, and promoting an investment-friendly environment for international investors, all while prioritizing the education and training of a skilled local workforce. The initiative aims to create 5,500 job opportunities by 2025 while enhancing the country's business climate to emerge as a preeminent global business destination for foreign investment.[23]

In parallel, the government has been pushing forward plans to boost economic participation in the formal sector, prioritizing the growth of Rwanda's private sector and encouraging the development of small and medium enterprises (SMEs) as a crucial driver for employment and production. Today, SMEs face significant challenges in accessing finance and gaining formal sector financial support. In response to this issue, both the government of Rwanda and several leading international institutions, including the United Nations Development Programme (UNDP), are implementing development initiatives, helping scale small enterprises to medium and large businesses and supporting their access to loans and financial services.[24]

23. Rwanda Development Board
24. United Nations Development Programme

Chairman's Note



"As Rwanda's leading financial institution, we have a responsibility not only to drive growth across the financial sector but also to promote the country's wider social and economic development."

Dear shareholders,

I am pleased to present to you the 2023 BK Group annual report. As I reflect back on my first year as Chairman of the Board, I am proud of the results we have been able to deliver as we continued to generate increasing value for our shareholders, the Rwandan people, the financial sector, and many other stakeholders.

Innovate, Automate, and Elevate

Over the last twelve months, we leveraged our proven expertise and leading market position to deliver robust growth, with our bottom-line expanding an impressive 25% versus 2022 and the Group's key profitability ratios posting steady improvements.

In parallel, we remained committed to our long-term value creation strategy focused on providing a customer-centric, innovative, and increasingly tailored offering to empower communities and boost financial inclusion across the country. To do so, we are investing in the digitization of our services, the automation of our internal processes, and the gradual adoption of the latest artificial intelligence (AI) solutions available in the market.

We are committed to digitizing our operations, ensuring IT stability, compliance with global standards, and fostering innovation. Recognizing the pivotal role of talent, we continued to focus on attracting, retaining, and training the best professionals. In 2023, we launched BK academy, a premier training Centre for our employees.

Through these strategies, BK Group is poised to realize its vision as a leading digital financial institution, while nurturing a culture of excellence and performance. Along with a strategy of customer centricity, we have been actively pursuing a digital transformation strategy, as part of our financial inclusion objectives. We continue to deliver innovative products and services specifically to underserved segments of the economy such as agriculture, small and medium enterprises and key population demographics like the youth and the unbanked.

On the capital market front, we are also innovating and are the lead arranger in orchestrating the issuance of East Africa's inaugural sustainability-linked bond, marking a significant milestone in the region's financial landscape.

Additionally, we concentrated on bolstering the agriculture sector, a key player in the economy. We introduced new agricultural insurance products tailored to farmers nationwide, and we equipped more than 2.5 million farmers with cutting-edge digital tools for intrants procurement.

Honoring Our Responsibilities

As Rwanda's leading financial institution, we have a responsibility to not only drive growth across the financial sector, but to promote the country's wider social and economic development. In 2023 we launched the BK Foundation to serve as the philanthropic arm of our group. The Foundation is focused on advancing corporate social responsibility initiatives, engaging with communities, promoting staff involvement in charitable activities, and aligning efforts with our company's values and goals, particularly in the realm of financial empowerment. Since its launch, the BK Foundation has also been helping to position the Group as a leader in ESG matters while allowing us to expand our financial literacy campaign nationwide, ensuring broader coverage and impact.

Adhering to world-class governance and compliance frameworks is at the heart of any successful business. At the Group level and across our subsidiaries, our boards of directors boast extensive and diverse experiences to ensure that BK Group and our subsidiaries remain agile and responsive to Rwanda's evolving business environment. I am proud of the work that our esteemed directors have been doing over the years and I look forward to working ever closely with them to continue providing the Group with the guidance, accountability, and credibility needed to make this new chapter another successful one.

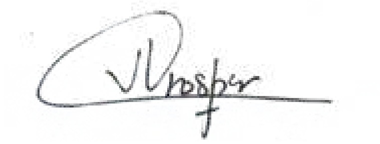
A Look Ahead

In the upcoming year, our focus as a Group will remain unchanged. Front and center in our strategy is the continued growth of our customer base and product offering, and the innovation and digitalization of our services, to ensure we remain the country's go-to provider of financial services and promoter of financial inclusion. We will also be increasingly focused on diversifying our revenue streams, increasing the contribution to our bottom-line coming from our newer subsidiaries to effectively complement our established banking business.

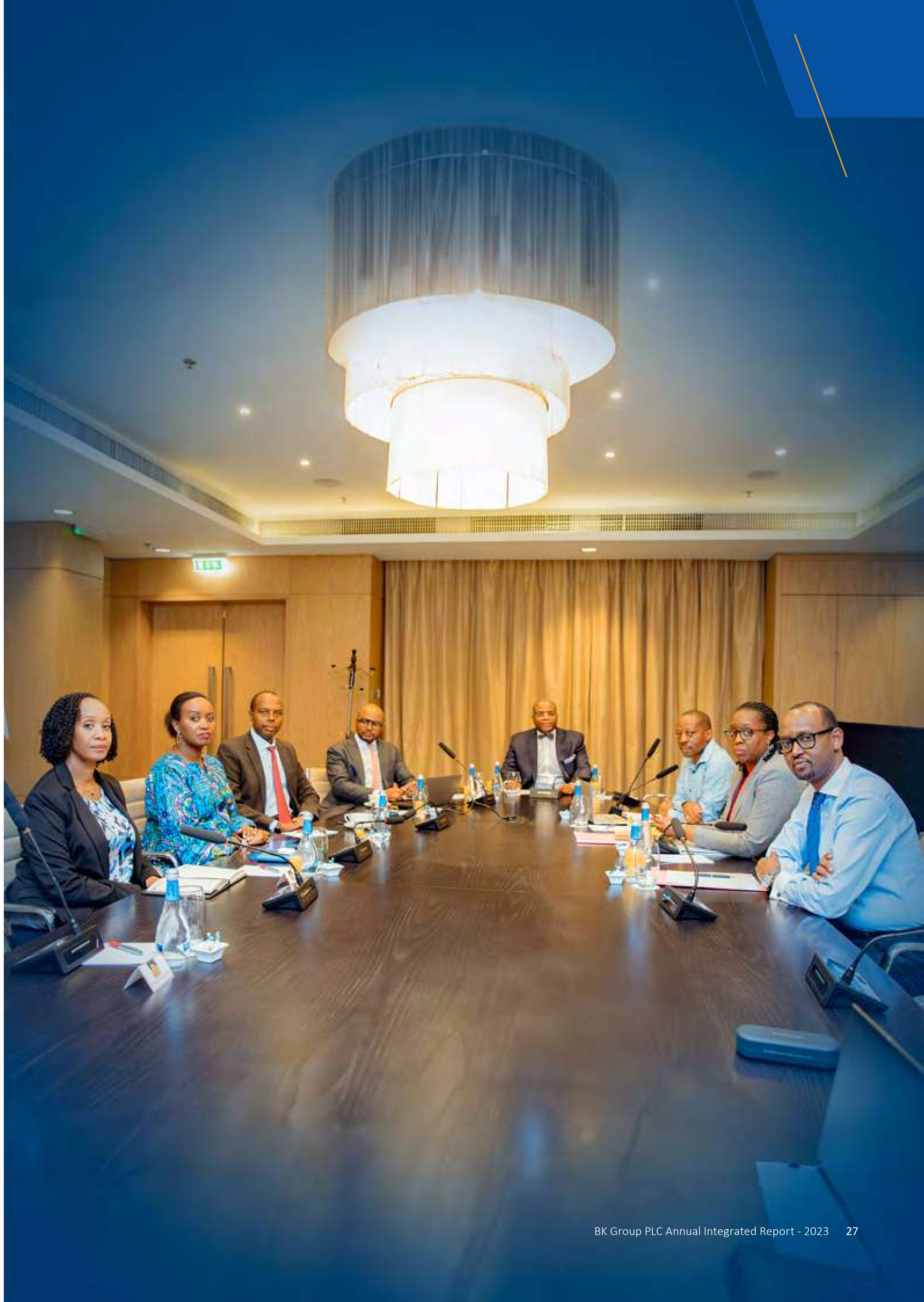
Meanwhile, as the Rwandan economy continues to grow, driven by both rising investments in services and the gradual recovery of the agricultural sector, the Group's business and investment priorities will pivot to better align with the changing needs of individuals and business around the country. More specifically, in the coming year, we will look to provide more convenient trade services, more digital products for banking, investment, insurance, and payments, more facilitations for the continuous inflow of diaspora remittances, as well as an ambitious focus on agriculture finance and insurance coverage. We are also prioritizing a deliberate transition towards sustainable finance and ESG engagement, to ensure we use the tools and resources at our disposal to drive positive societal impact.

One reality I strongly believe in is the business case for gender diversity. It is grounded in the confidence that diverse perspectives lead to better decision-making and ultimately drive greater business success. As of this year, a remarkable 50% of our companies' CEOs and 1/3 of the board members are women. This milestone not only demonstrates our unwavering dedication to breaking down traditional barriers but also underscores the immense talent and capability that women bring to the table. It is a testament to the effectiveness of our inclusive hiring and promotion practices, which prioritize meritocracy above all else.

I would like to extend my sincere gratitude to our valued customers, dedicated employees, and supportive shareholders for their unwavering support. As we move forward, BK Group remains committed to generating strong profits, sustainable value and excellence across all facets of our operations and to fostering growth and development across the Rwandan financial sector and wider economy.



Jean Philippe Prosper



02.

2023 In Review

Group CEO's Note

"During 2023, we delivered on our promise to continue prioritizing our clients, expanding our service offering, and developing digital solutions to make banking, investments, and insurance more accessible to a larger proportion of our community."

I am proud to present to you another successful year for BK Group, characterized by sustained operational and financial expansion and solid progress on our longer-term value creation strategy. This year's successes came despite a turbulent macroeconomic backdrop, which saw businesses around the country have to adapt to a weakening Rwandan franc, decade-high inflation rates, and volatile weather patterns.

During 2023, we delivered on our promise to continue prioritizing our clients, expanding our service offering, and developing digital solutions to make banking, investments, and insurance more accessible to a larger proportion of our community. Throughout the year, we provided cutting-edge digital transformation solutions to our customers, automated our services, developed our mobile banking application, and rolled out real-time digital customer feedback portals across our branches. In parallel, we proactively adapted to the rapid roll out of AI, effectively deploying new solutions to support our risk management, customer service, and fraud detection functions. Across the Group, we are also increasingly relying on AI to personalize the products and services we offer to our customers, ensuring we consistently meet their individual evolving needs and preferences.

Sustaining Growth

Throughout 2023, BK Group booked total operating income of FRw 224.4 billion, up 23.6% y-o-y, supported by solid performances across the entire BK Group portfolio. Further down the income statement, net income recorded FRw 74.8 billion, an increase of 25.0% versus 2022. Meanwhile, the Group's total return on average assets (ROAA) and total return on average equity (ROAE) in 2023 reached 3.8% and 21.8%, respectively, representing solid improvements from the 3.5% and 19.8% booked in 2022.

Turning to our subsidiaries' individual performances, Bank of Kigali successfully served over 515,000 retail customers and 594 corporate clients in 2023 through a network of 67 branches, 103 ATMs, and 2,490 POS terminals — considerable increases compared to 2022. This operational growth was further driven by our expanded agency banking network, comprising nearly 4,500 agents as at year-end 2023 who processed over 7 million transactions for the year. As of 31 December 2023, Bank of Kigali's retail clients' balances and deposits had reached FRw 310.5 billion, while its corporate clients' balances and deposits stood at FRw 1.0 trillion. Throughout the year, we also recorded strong non-interest income growth primarily driven by our suite of digital services and more accessible investment options, which are rapidly gaining popularity among existing and new customers.

In parallel, we continued posting positive growth at BK General Insurance, registering a profit of FRw 3.1 billion in 2023, up 11% versus 2022. Growth was driven by a robust expansion in gross premiums, with the recently added agriculture insurance produce product performing particularly well and, once more, demonstrating the company's ability to effectively launch and ramp up new products. BK General Insurance also booked an individual total asset increase of 26% y-o-y, reaching FRw 29.7 billion in 2023.

At BK TecHouse, we initiated a full strategy review and revamp throughout 2023, successfully laying the foundations for a new chapter of sustainable growth and value creation in the coming years. Our efforts to optimize the subsidiary's strategic focus and operations have already started to bear fruit, with sales revenue for the year recording FRw 1.45 billion, up 22% y-o-y. Similarly, BK TecHouse booked a net operating income of FRw 1.6 billion, representing a 9% y-o-y increase.

Finally, BK Capital recorded profit before tax amounting to FRw 500.8 million in 2023, up 64% compared to 2022. Meanwhile, its assets under management expanded 29% y-o-y, reaching a total of FRw 42.8 billion. During the year, BK Capital acted as the lead arranger for Rwanda's inaugural, sustainability linked bond, helping to open up new avenues for private capital mobilization and sustainable development. During the year, BK Capital advised on transactions worth over FRw 130 billion in both public and private markets, supporting both the Group's bottom line and the development of the Kigali International Financial Center (KIFC).

Fostering Inclusion

Our expansion during this past year has prioritized the inclusion of Rwanda's unbanked and underserved populations. For this reason, we have continued to grow our branch network to access more locations around the country, as well as expand our digital solutions to provide a host of financing options for remote communities.

In addition to these efforts, we focused on supporting one of the economy's forefront contributors, the agricultural sector. We expanded the services offered to Rwanda's agricultural sector through several initiatives across all our subsidiaries. At the Bank of Kigali, we remained well-engaged in providing agricultural financing to farmers and agricultural businesses. Meanwhile, BK Insurance launched its new agricultural insurance product, aimed at providing insurance services to farmers across the country. Finally, we provided state-of-the-art digital tools for farmers through BK TecHouse.

On this note, I am proud to announce that in January 2023, we officially launched BK Group's newest subsidiary, the BK Foundation. With a firm belief that impactful investment can help foster change in the community, our newest subsidiary invests in the Rwandan community, providing education, cultivating innovation, and promoting environmental conservation. The Foundation's first year of operation was a renowned success, with several initiatives, including educational scholarships, vocational training, and environmental protection, already affecting positive change for our communities.

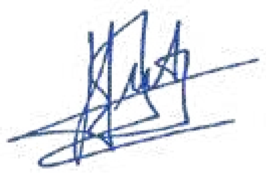
Heading Into 2024

As we gear up for a new year, we seek to renew our commitment to driving sustainable expansion, growing our operations, and creating an environment of financial accessibility for our most disadvantaged communities.

While the challenges that impacted businesses around the country in 2023 may continue to weigh on business activity in the coming year, we are confident that the Rwandan economy is poised for continued growth, supported by a recovering agricultural sector and investments in industry and services. Leveraging our diversified offering and our leading position in the local market, we are eager to play a frontline role in driving growth and development across the Rwandan economy.

As part of our long-term sustainable growth strategy, in the coming 12 months, we will be increasingly focused on ramping up our non-bank subsidiaries, boosting their contribution to our consolidated results and increasing their impact on the communities we serve. We will also continue developing our ESG and sustainable financing initiatives, ensuring we give back to our people, minimize our environmental footprint, and continue implementing tangible change and fund the transition to a more sustainable future. Finally, recognizing the importance of incorporating digital solutions in our services, we will continue to drive digital transformation from the holding level to our branch networks, providing seamless, enhanced, and secure dealings for our large and growing customer base.

I would like to take this opportunity to extend my heartfelt gratitude to our shareholders, customers, business partners, and employees. It is with your unwavering support that we have been able to report continued success, and with your continued backing, I look forward to recording yet another year of growth for BK Group in 2024.



Béata U. Habyarimana

Financial Highlights

The Group exhibited impressive results during 2023, notably improving both the quality of its assets and its overall profitability.

In the 12 months ended 31 December 2023, BK Group reported total interest income of FRw 165.4 billion, a robust 20.0% y-o-y increase from FY 2022. Meanwhile, the Group's net loan book grew by 9.7% versus the previous year to reach FRw 1,244.8 billion. Total interest expenses increased by 3.6% y-o-y to FRw 51.5 billion, while customer deposits grew by 28.0% to FRw 1,374.3 trillion. The Group reported a net interest margin of 10.0% in FY 2023, up from 9.7% in the previous 12 months. Non-interest income totaled FRw 59.0 billion, a y-o-y increase of 34.8%. Combined, this saw total operating income increase by 23.6% to record FRw 224.4 billion for FY 2023, while total operating expenses rose by 15.8% to reach FRw 96.0 billion for the year.

Loan loss provisions stood at FRw 22.2 billion in FY 2023, versus FRw 13.1 billion in FY 2022. Similarly, the Group's NPLs and cost of risk ratios stood at 4.5% and 1.5%, respectively, while its cost-to-income ratio stood at 42.8%. Profit after tax increased by 25.0% y-o-y to FRw 74.8 billion.

As at 31 December 2023, BK Group Plc is adequately capitalized with total capital to risk weighted assets at 21.7%. The Group's total assets stood at FRw 2.1 trillion, up 14.5% y-o-y, supported by strong liquidity from customer deposits growth. The Group's net loans-to-total assets ratio stood at 58.7%, down from 61.2% in the same period last year. Shareholders' equity increased to FRw 366.4 billion, up 14.8% versus FY 2022. Liquid assets divided by total deposits increased to 51.4% as at 31 December 2023, versus 47.3% as at year-end FY 2022.

The Group's key profitability ratios, ROAA and ROAE, improved to 3.8% and 21.8%, respectively, from 3.5% and 19.8 % in FY 2022.

1,374.3 FRw tn

(▲28.0% y-o-y)

Client Balances and Deposits

224.4 FRw bn

(▲23.6% y-o-y)

Total Operating Income

74.8 FRw bn

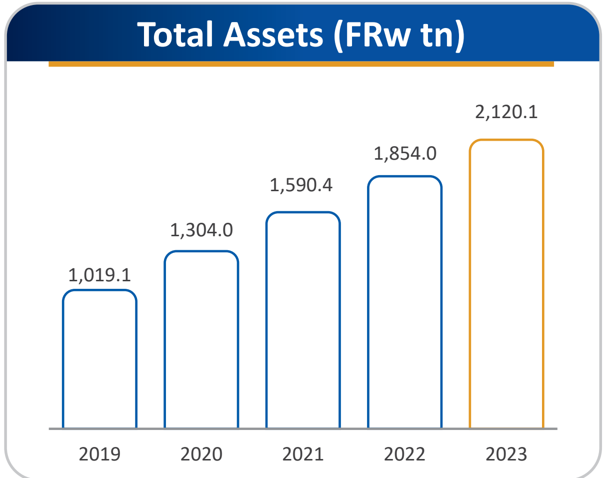
(▲25.0 % y-o-y)

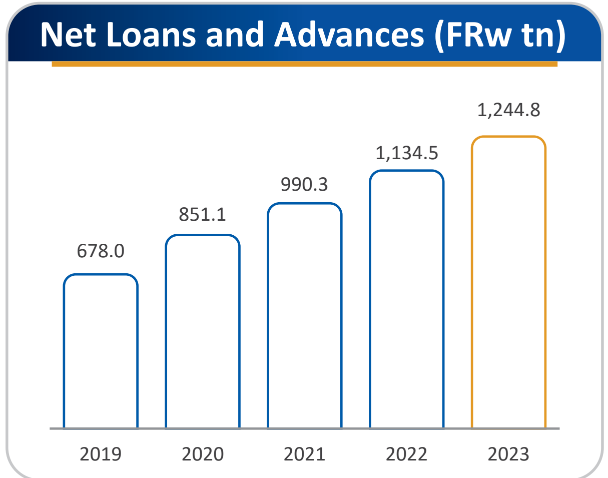
Net Profit After Tax

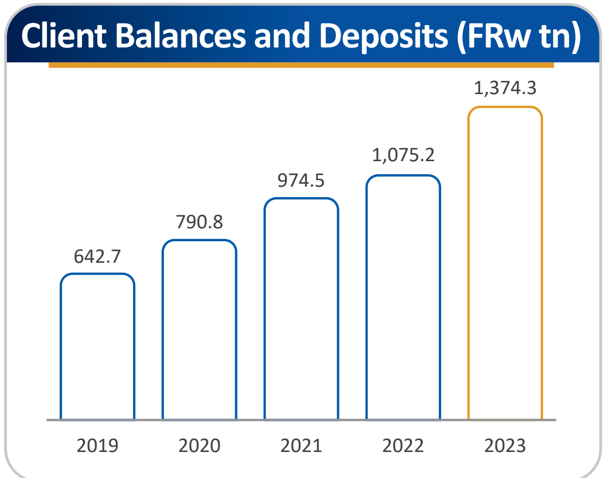
366.4 FRw bn

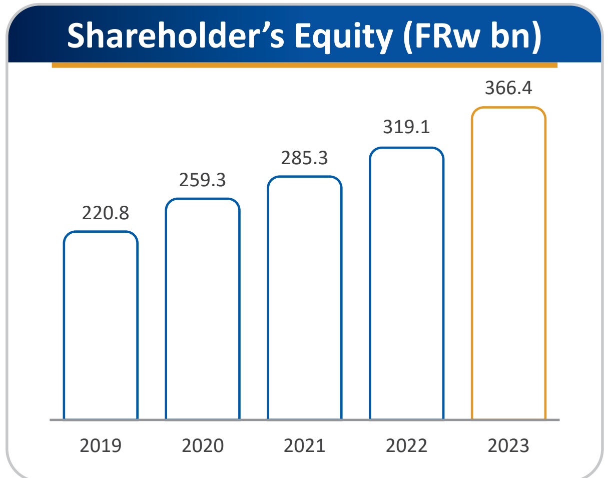
(▲ 14.8 % y-o-y)

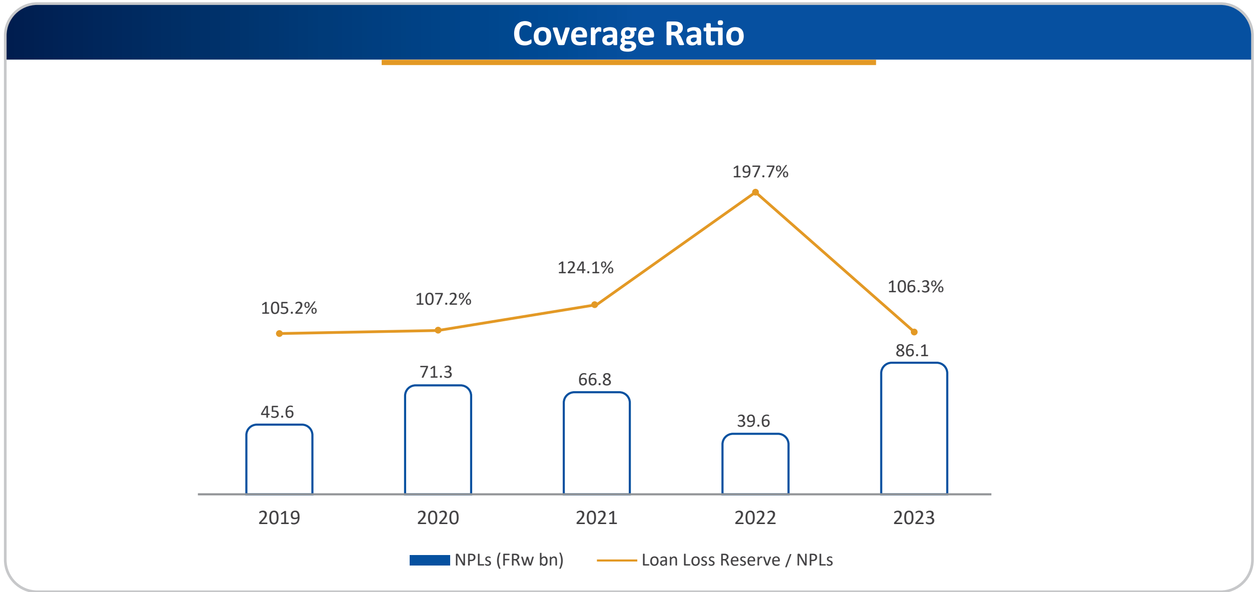
Shareholders' Equity

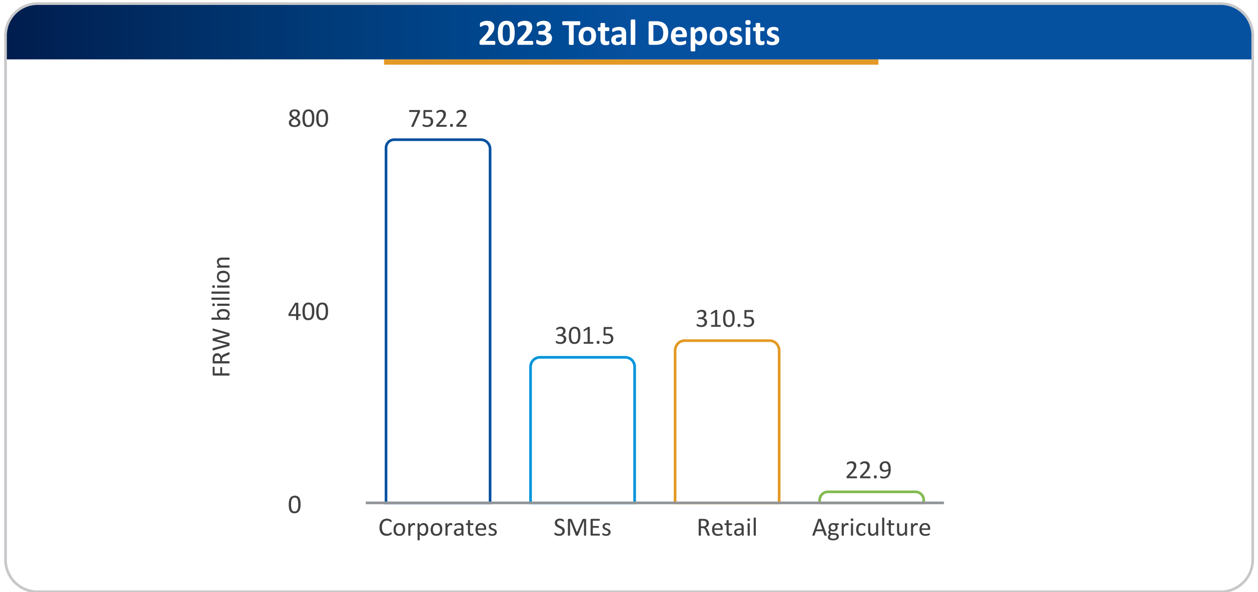


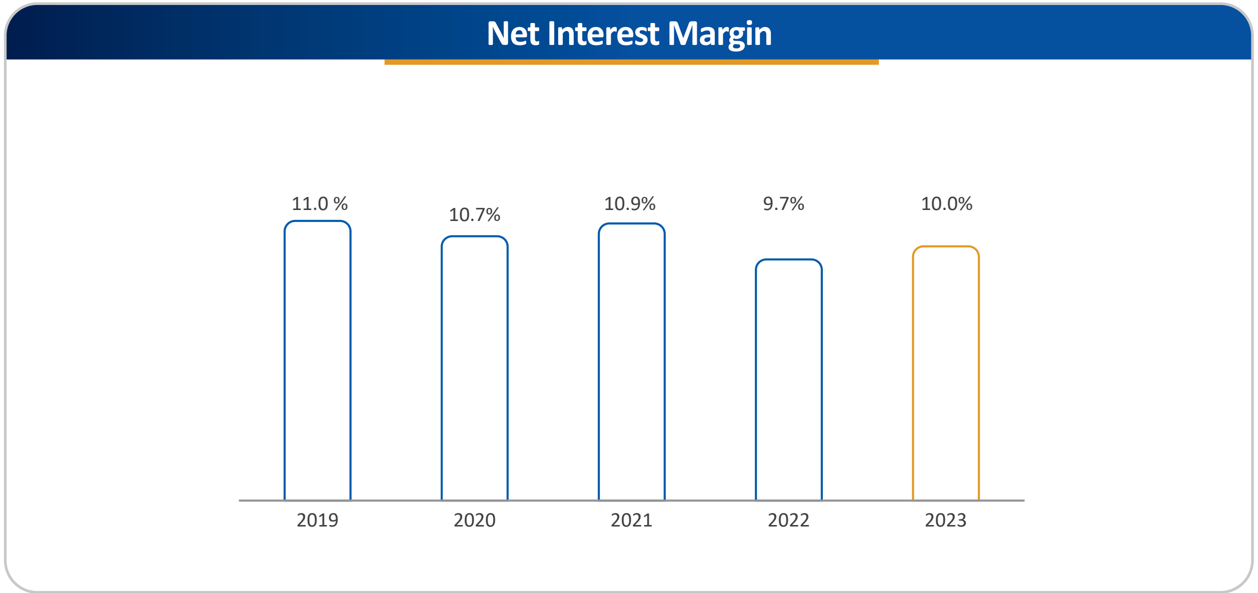


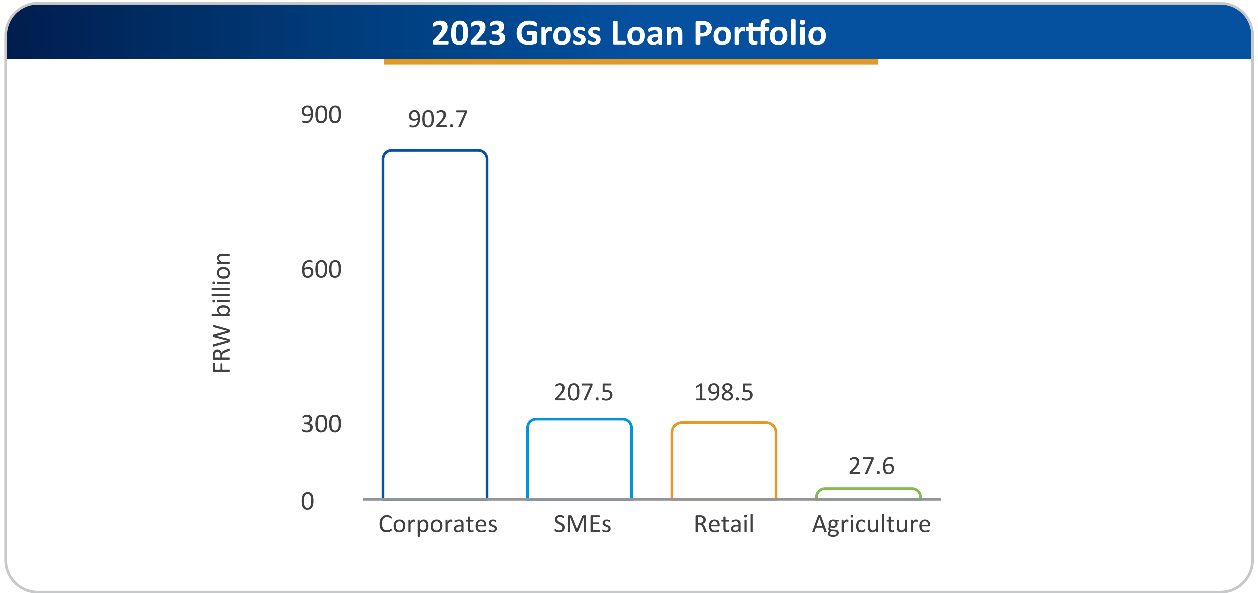





Coverage Ratio
197.7%
124.1%
105.2%
107.2%
106.3%
86.1
71.3
66.8
45.6
39.6
2019
2020
2021
2022
2023
NPLs (FRw bn)
Loan Loss Reserve / NPLs


2023 Total Deposits
800
400
0
FRW billion
752.2
301.5
310.5
22.9
Corporates
SMEs
Retail
Agriculture


Net Interest Margin
11.0 %
10.7%
10.9%
9.7%
10.0%
2019
2020
2021
2022
2023


2023 Gross Loan Portfolio
900
600
300
0
FRW billion
902.7
207.5
198.5
27.6
Corporates
SMEs
Retail
Agriculture

Financial Highlights from Key Lines of Business

Throughout the year, BK Group's subsidiaries delivered robust performances, fostering growth across various business segments by expanding operations and introducing innovative products.

Bank of Kigali Plc

2,062.6 FRw tr	(▲14.3 % y-o-y)	Loan Book
1,387.2 FRw tr	(▲28.0 % y-o-y)	Total Deposits
162.1 FRw bn	(▲20.1% y-o-y)	Net Interest Income
22%		ROAE
12%		ROAA

BK General Insurance

14.6 FRw bn	(▲31.5 % y-o-y)	Gross Premium
3.1 FRw bn	(▲9.0 % y-o-y)	Net Profit
29.7 FRw bn	(▲23.7 % y-o-y)	Total Assets
502%		Solvency Margin
42%		Claims Ratio
143%		Liquidity Ratio

BK TecHouse

1.45 FRw bn	(▲22% y-o-y)	Sales Revenue
1.6 FRw bn	(▲9 % y-o-y)	Net Operating Income

BK Capital

500.8 FRw mn	(▲64% y-o-y)	Profit Before Tax
42.8 FRw bn	(▲29 % y-o-y)	Assets Under Management

03.

Value-Driven Banking

Value-Driven Banking

BK Group acknowledges the importance of sustainability in its operations and consistently works to align with local and global sustainability benchmarks — such as the African Union Agenda 2063, the UNGC's 10 principles, and the United Nations' SDGs — to create sustainable shared value for stakeholders through its financial services offerings. To consolidate relevant objectives and strategically guide its growing sustainable development efforts, the Group's management has taken on the responsibility of overseeing the creation of appropriate frameworks. As a leading institution in Rwanda, BK Group understands its role in leading by example and creates models that members of the Rwandan community can follow to improve returns across the country's established and up-and-coming sectors.

As part of its social responsibility and financial inclusion plans, the Group capitalizes on its synergies and cross-selling capabilities to improve reach within current and underserved community segments. The Group also places a growing importance on its environmental impact and thus implements a range of initiatives, including direct operational upgrades and green community initiatives. This allows it to set an example for private operations across the country to keep ahead of their emissions, lower them, and roll out green solutions that heighten environmental consciousness.

Stakeholder Mapping

At the heart of BK Group's mission is ensuring accessibility and tailoring our products, services, programs, and initiatives to meet the needs of our diverse client base. The Group is committed to serving all its stakeholders, including beneficiaries, business partners, governmental entities, and anyone directly or indirectly tied to the Group's financial and non-financial operations. To achieve this, BK Group leverages its extensive network and draws on its proven expertise to find the best means of serving each group and improving the value presented to them through our operations.

A central pillar to building strong relationships with stakeholders is through regular interactions and gathering insights into their interests and expectations. Highly trained teams are in regular communication with different groups to identify avenues for improvement, growth, and development. By acknowledging and monitoring stakeholders' concerns and collaborating with varied partners to reduce their exposure to risks and mitigate any harmful events, the Group is able to build lasting trust.

BK Group's dedication to transparency, clear communication, and seeking optimum returns for each group has helped to inspire confidence among its stakeholders. As a people-centric institution, BK Group is committed to continuing to find ways to improve, grow, and develop in a manner that meets the needs of all its stakeholders. By remaining focused on its mission, the Group is well-positioned to continue providing value to its clients and beneficiaries.

Stakeholder	Viewpoint	Relevant Topics	Communication Channels	Frequency
Customers	The largest source of our deposits and a main source of revenue growth	Sustainable banking practices and lending activities, superior customer experience, world-class governance, risk management	Regular digital and written communication	As needed
Employees	A core pillar of the Group's operations and a key group within the national community that we work to serve	Empowered and well-compensated workforce, material contributors to respective communities, efficient groups and integral facilitators of value creation solutions	Regular digital and written communication	As needed
Investors	Initial providers of financial capital and reviewers of the Group's financial performance and evolving strategy	Transparent and timely financial and operational disclosures, robust governance frameworks and applications	Investor calls	Quarterly
			Investor conferences	Minimum 5/year
			Regular digital and written communication	As needed
			Investor relations section on the Group's website	Regularly updated as needed
Regulators and policy makers	Determined by our listing on the Rwanda Stock Exchange (RSE) and the Nairobi Stock Exchange (NSE)	Transparent and timely financial and operational disclosures and other mandates as required by each authority, public policy implementation	Financial Earnings	Quarterly

Capitals

Financial Capital

With its strong financial capital, the Group is able to sustain its business operations and continuously enhance its service offerings. Such financial stability also allows the Group to expand its reach and invest in sustainable value creation while simultaneously identifying areas for cost efficiencies to improve shareholder returns.

Inputs	Outcomes	Implicated Stakeholders
The Group's solid financial capital is continually invested back into its activities as a means of driving value for both shareholders and customers.	• FRw 74.8 billion in consolidated net income • FRw 2,120.1 trillion total assets • FRw 1,374.3 trillion total client balances and deposits • FRw 366.4 billion shareholders' equity • ROAE – 21.8 % • ROAA – 3.8 % • NPLs – 4.5 % • Cost/income ratio – 42.8 %	Shareholders Customers

Human Capital

As BK Group strives to become the universal financial services provider of choice for Rwandans, it recognizes the crucial role of its workforce in achieving this goal. The Group is committed to empowering its employees by providing them with complete labor rights and opportunities to expand their technical and professional knowledge and capabilities. This investment in human capital not only benefits the employees themselves but also leads to better service offerings and an overall enhanced customer experience for the Group's clients.

Inputs	Outcomes	Implicated Stakeholders
The Group's 1,257 employees play a critical role in its success and are the driving force behind its client-centric business approach. These employees are in tune with the needs of Rwandans and are ideal contributors to the provision of suitable financial services for their communities. In order to foster a culture that is as focused on people as it is on external strategies, the Group works on cultivating an innovative and diverse workplace that prioritizes employee satisfaction, fair compensation and benefits, and capacity building for the creation of a strong, flexible, and expertly trained workforce. The Group's leading position in the market as an employer of choice remains solid as it continues to build its numbers and invest in its employees for the realization of its expansion goals.	• BK Group also strives to drive equal opportunity within its workforce, 44% of which is women of varying age groups and 33% are in management and governance positions. The Group has also strived to contribute to creating job opportunities for youths, with nearly half the workforce being 35 years old and younger. • The employee retention rate was around 89%. The total turnover rate was 9%, with both male and female turnover rates standing at 9% for the year. By age group, the turnover rate for employees under 30 was 13% and for 30–50-year-olds stood at 8%. • The Group places great emphasis on learning and development, offering career progression support to bridge competency gaps and help employees become eligible for higher roles. The Group provides a variety of learning opportunities, including classroom training, professional courses, seminars, and workshops, both locally and internationally, to help its employees expand their knowledge and skillset.	Staff Board of Directors

Manufactured Capital

BK Group prides itself on its efficiency and security and the ease of use of its channels, equipment, and systems through which it offers its products and services. These channels, equipment, and systems are benchmarked against international best practices to guarantee that they meet the highest standards. As the Group's operational footprint expands, it is committed to increasing the availability of its channels across its footprint to facilitate client interactions. The Group is also focused on improving the efficacy of its information technology infrastructure to support volume increases and provide seamless services through both physical and digital facilities.

Inputs	Outcomes	Implicated Stakeholders
BK Group's four-sided retail strategy is a comprehensive approach that prioritizes the growth and diversification of its business operations. The Group's expansion efforts are focused on self-service products, an expanded distribution network, retail product offerings, and new lines of business. This approach has enabled the Group to increase its channels and capacities while also reaching out to previously underserved segments of the population who have had little or no involvement in the formal financial system.	As of 2023, the Group was home to: • 67 branches • 103 ATMs • 2,490 points of sale • 4,470 operational agents • Over 63,523 visa cards and 9,775 master cards are currently in circulation	Customers

Social and Relationship Capital

BK Group acknowledges that its success is dependent on the support and cooperation of its stakeholders; consequently, it ensures that communication is open, transparent, and supportive. The Group strives to create value not only for its organization but for all its stakeholders. It also actively seeks out opportunities that can lead to mutually beneficial outcomes. One of the ways BK Group achieves this is through its social responsibility programs that aim to empower various segments of the Rwandan community. These programs are diverse in nature and cover various areas, such as education, healthcare, poverty reduction, and many more.

Inputs	Outcomes	Implicated Stakeholders
Our education support programs collaborate with local and international partners to enhance employees' skills and facilitate their career advancement, as well as to promote basic and vocational education among community members.	University of Kigali: • In a strategic collaboration with the University of Kigali, BK Foundation provided crucial support to undergraduate students, furthering their academic pursuits and bolstering the institution's 7th Graduation Ceremony. This support also included a full scholarship for a master's degree and four prepaid cards, collectively amounting to FRw 4 million. Agahozo-Shalom Youth Village: • In collaboration with Agahozo-Shalom, BK Foundation's grant facilitated significant advancements in education. ASYV saw remarkable progress, providing scholarships to 64 students, with a focus on promoting inclusivity and gender equality, particularly in STEM fields. Imbuto Foundation: • BK Foundation partnered with the Imbuto Foundation to provide scholarships to 163 students across diverse educational levels in Rwanda. These scholarships, distributed across various categories such as ordinary level, TVET, STEM, and TTC, not only foster educational diversity but also nurture talent across the country. Paroisse Rutongo Initiative: • Through its partnership with the Paroisse Rutongo Initiative, the Foundation has empowered a total of 106 teen mothers with both economic skills and crucial life lessons, including family planning and sexual and reproductive health education.	Employees Community members

Inputs	Outcomes	Implicated Stakeholders
	Chevening Scholarship Program: • Since 2018, the Bank of Kigali has upheld its commitment to the Chevening Scholarship Program in collaboration with the Foreign, Commonwealth, and Development Office (FCDO) of the United Kingdom. This partnership aims to support outstanding scholars in Rwanda, offering them the opportunity to pursue a one-year master's degree in the UK. Miss Innovation: • BK Foundation supported the "Miss Innovation" project spearheaded by Jeannette Uwimana, the 2022 Miss Innovation Rwanda. Miss Uwimana's visionary pig farm project is not only empowering women but also fostering community growth with inclusivity at its core. BK Urumuri Initiative: • The BK Urumuri Initiative, an annual award program, empowers innovative business projects with skills and funding. Led by the BK Foundation in collaboration with Inkomoko, it supports youth entrepreneurs in Rwanda. Now in its 7th edition, the initiative assisted 25 SMEs and provided accelerated entrepreneurship training. Six participants received interest-free loans, ranging from FRw 3 to 5 million, boosting their financial capabilities and fostering economic growth. Flood Victims Support: • In the aftermath of the devastating floods that struck Rwanda in May 2023, the BK Foundation spearheaded a significant relief effort. Through their collective efforts, they raised a total of FRw 127 million to aid the flood victims across the Western, Northern, and Southern provinces. Unity Club: • BK Foundation supports the Unity Club, with the aim of improving the lives of marginalized groups. With a grant of FRw 195 million, the Foundation empowered the Unity Club to make a tangible difference in the lives of 41 individuals near Impinganzima in Huye District.	

Natural Capital

As an environmentally conscious organization, BK Group is committed to reducing its carbon footprint and ensuring its resources are used with optimal efficiency. The Group's efforts are aligned with SDG 13 (Climate Action), and it actively works toward a digitized future to minimize its impact on the environment. In addition to its internal efforts, the Group also participates in nationwide initiatives that promote environmental sustainability and protect ecosystems from the adverse effects of climate change.

Inputs	Outcomes	Implicated Stakeholders
To minimize our environmental impact and reduce greenhouse gas (GHG) emissions, we have implemented measures such as energy conservation, smart utilization of resources, and efficient waste disposal throughout our operations.	• Switched to LED lighting across several areas of operation. • Reduced paper usage due to increased digitization. • Set up systems to lower our electricity use across our head office and branches. • Disposed of all e-waste in line with local regulations. • Partnered with Enviroserve Rwanda Green Park (ERGP) to develop a circular economy approach and sustainable collection system of e-waste.	Governmental and non-governmental entities
Our organization provides funding to official programs that promote agroforestry, biodiversity, and improving the livelihoods of farmers. In addition, we actively support and empower green initiatives across the country.	Women Empowerment in Entrepreneurship (WEE) Initiative: Zamuka Mugore • Through its WEE initiative, BK Group is paving the way for a greener and more equitable future in Rwanda. With a total membership of 88 as of 2023, the program has seen active participation from 13 women, covering an impressive 221,000 km. This collective effort has resulted in the avoidance of 22.34 metric tons of CO_2e, a testament to the program's positive environmental impact. The Wildlife Conservation Initiative (WCI): • The WCI is a youth-led non-profit that has partnered with Bank of Kigali through the BK Foundation on a six-month project to revive the Mukungwa in the Northern Province in Musanze District. This project began with a plant nursery funded by an FRw-5-million grant. The WCI is also actively engaged in implementing a project aimed at establishing 30,000 nursery beds for indigenous plants. As of year-end 2023, 20,000 plants have already sprouted from the initial phase of planting.	Governmental and non-governmental entities

04.

Subsidiary Performance

Bank of Kigali Plc

Retail Banking

Bank of Kigali meets the diverse requirements of its clientele across Rwanda and beyond by providing a comprehensive suite of tailored banking solutions. These encompass various essential services, such as consumer and auto loans, credit cards, overdraft facilities, mortgage loans, and asset-backed financing, among others. This extensive offering, combined with the Bank's exceptional service quality, has seen Bank of Kigali capture the largest retail customer base among all banks in the nation.

Renowned for its retail banking expertise, Bank of Kigali plays a pivotal role in fostering financial inclusion in Rwanda. Leveraging its extensive network of branches, ATMs, and point-of-sale (POS) terminals nationwide, alongside innovative mobile banking platforms, the Bank has solidified its position as a leading provider of retail banking services while playing a vital role in expanding Rwanda's bankable population.

#1 in terms of balance sheet and group profits	Market Position (Rank)
208.6 FRw bn	Total Retail Loan Portfolio
310.5 FRw bn	Total Retail Deposits
371,220	Retail Clients
761	Number of Credit Cards Issued
103	ATMs
67	Branches
4,470	Agents
2,490	POS

Expanding Our Portfolio

In 2022, the Bank introduced its Home Equity product, offering flexible financing with various repayment plans to retail customers. The new product caters to diverse financial needs, such as land or home purchase, house renovation, business startup, or school fees. It also offers tenors of up to 20 years and financing of up to 70% of the fair market value of the property. The source of repayment can come from the customer's salary or rental income, which can be discounted at 70% if it is additional income, and at 50% if it is the only source of repayment.

In 2023, the home equity loan book continued its upward trajectory, surpassing expectations to conclude the year with total disbursed loans of FRw 12.5 billion. Overall, this product has effectively met the diverse financial needs of the Bank's customers, enabling it to quickly climb the ranks and become a top performer in the Bank's offering.

The Bank's Diaspora division offers a range of banking services to Rwandans living abroad. The Diaspora Banking offering is designed to help Rwandans who are living outside of their home country with savings, investments, and remittances. With this service, clients can open personalized, interest-yielding accounts denominated in USD or FRw. The Diaspora division also offers investment services, such as assistance with investing in the stock market and purchasing treasury bonds through BK Capital, a subsidiary of BK Group. Diaspora clients also have access to discounted mortgage loans in both USD and FRw.

In 2023, Bank of Kigali's Diaspora Banking Business witnessed substantial growth, boasting 3,532 diaspora customers, including 778 new accounts, representing a notable 30% y-o-y expansion. This surge significantly strengthened the Bank's deposit and loan portfolios. Deposits expanded by 50% y-o-y, reaching FRw 26.7 billion, while loans recorded a substantial 74% y-o-y increase, closing the year at FRw 9.9 billion.

Aligned with its strategic goals to enhance investments from diaspora communities, Bank of Kigali's Diaspora Banking team has been organizing virtual awareness sessions in partnership with the Ministry of Foreign Affairs and International Cooperation (MINAFFET) and Rwandan Embassies. Held in January 2024, these sessions covered four continents: Africa, Europe, Asia, and America. Additionally, a Diaspora Banking promotion, which ran from November 2023 to January 2024, yielded significant outcomes, with 300 new accounts opened and deposits reaching FRw 9.5 billion.

In March 2022, Bank of Kigali Plc established a Mortgage Center aimed at enhancing customer experience and expediting mortgage processing. Providing specialized advisory services for housing solutions seekers, the Center has fostered partnerships with real estate developers since its launch. Currently, 10 Memoranda of Understanding (MoUs) are in place to facilitate swift access to residential real estate for mortgage applicants. Additionally, Bank of

Kigali Plc has collaborated with the Development Bank of Rwanda (BRD) to develop affordable housing products tailored to aid low-income households in achieving home ownership aspirations.

In 2023, the Mortgage Center at Bank of Kigali continued its proactive approach to customer engagement and partnership expansion. The team organized a human resource (HR) partner event focused on financial literacy, targeting various HR managers to showcase their diverse product offerings. This event not only aimed to foster collaborations with different institutions but also served as a platform to directly engage with valued customers.

Furthermore, the Mortgage Center collaborated closely with branches, conducting training sessions for upcountry branches to enhance their sales capabilities for home loans and develop compelling product propositions. They also strengthened partnerships with various real estate players, including realtors and developers, resulting in significant referral business for the Bank. Particularly noteworthy was the positive response from diaspora and foreign customers, who showed strong interest in purchasing high-end properties facilitated by these partnerships. Notably, customers can now acquire homes through partnered realtors at no additional cost.

By the end of 2023, the mortgage book closed with net loans totaling FRw 80.0 billion, surpassing the set target of FRw 75.0 billion. Additionally, they achieved a commendable home loan non-performing loan (NPL) ratio of 1%, well below the Bank's 3% threshold. These results underscore Bank of Kigali's commitment to providing accessible and sustainable housing finance solutions while maintaining prudent risk management practices.

Building Our Brand

In the last few years, Bank of Kigali undertook strategic measures to enhance its brand recognition and expand market outreach. A significant milestone was the naming rights partnership with QA Venue Solutions, resulting in the rebranding of the Kigali Arena as the "BK Arena" for the subsequent six years. In tandem, the introduction of the "BK Arena prepaid card" as a flagship product facilitated seamless payments within and outside the arena, effectively raising awareness and driving the uptake of prepaid card sales. This campaign significantly bolstered the Bank's brand equity across local, regional, and international platforms, with a targeted focus on the youth demographic. By offering banking solutions to the unbanked and encouraging the adoption of BK Payment tools, the move solidified BK Group's position as a premier financial institution in Rwanda and broadened its global footprint.

Additionally, the Bank collaborated with MTN Rwanda for a Device Financing Program, allowing customers to purchase smartphones and tablets on credit from various MTN distribution centers. Aimed at increasing smartphone penetration and extending banking services to the informal sector, the program also supported the expansion of the Bank's loan book in the retail segment. This initiative enabled Bank of Kigali to reach previously untapped customer segments, fostering accessibility to digital financial services while advancing the Bank's growth agenda.

Demonstrating its commitment to customer centricity, the Bank implemented a comprehensive customer outreach and engagement program throughout 2023. Senior leadership members embarked on visits across the country to express gratitude to customers, gather feedback, and address service-related concerns. This proactive approach not only enhanced customer satisfaction but also led to an improvement in the NPS, which reached 79 in 2023 compared to 5 in 2022, reinforcing brand presence and fostering stronger customer relationships.

Furthermore, Bank of Kigali partnered with several universities and higher learning institutions, including East African University Rwanda, University of Kigali, and Adventist University of Central Africa, to recognize outstanding students during graduation ceremonies. This strategic initiative aims to cultivate long-term relationships with the younger generation while solidifying BK Group's position as a prominent financial institution in Rwanda. By actively contributing to the development of the education sector, promoting financial awareness among youth, and encouraging the adoption of BK products and services, the Bank aims to strengthen its brand positioning and further its commitment to societal development.

Ensuring Positive Customer Experiences

Bank of Kigali remains dedicated to delivering customer-centric services through a blend of traditional and digital channels. With strategically located branches across Rwanda and an extensive network of 103 ATMs countrywide, the Bank ensures convenient access to its services. In parallel, the Bank has undertaken a comprehensive digital transformation journey with a focus on migrating customers toward online and digital banking platforms, assessing customer satisfaction, and streamlining processes. During 2023, executed online retail transactions amounted to 11.7 million with a total value of FRw 2.0 trillion.

The shift toward online and digital banking is being streamlined through several strategies, including the integration of a chatbot and the IKAZE platform, which allows for instantaneous customer feedback. Implemented across all branches, the IKAZE platform furnishes Management with weekly feedback. Following the success of the platform in 2023, the Bank is looking to roll out IKAZE across mobile devices during the first half of 2024, allowing customers to express their satisfaction without needing to physically visit an office or branch.

In 2023, Bank of Kigali prioritized elevating its customer service standards and enhancing brand positioning by addressing evolving client needs through innovative offerings while reinforcing the existing Customer Experience Management (CEM) Strategic Plan. To gauge customer satisfaction, the Bank has implemented service rating and feedback systems across all branches, in addition to conducting ongoing Customer Satisfaction Surveys through an independent firm. Management regularly receives updates on resolved and pending CRM cases, facilitating a better understanding of prevalent customer concerns. The Bank currently boasts an NPS of 79% and a Customer Satisfaction (CSAT) rate of 40%.

Bank of Kigali prioritizes process automation, as demonstrated by its ongoing efforts to enhance CRM tools. A specialized Business Processes Unit is dedicated to reviewing and optimizing key operations to enhance efficiency and customer satisfaction. Substantial advancements have been made in streamlining account opening, loan executions, and other services, reducing the Bank's total turnaround time for its services from one hour to just 15 minutes. To maintain high-quality service, the Bank has implemented comprehensive training programs for the staff of both the call center and branches. The Bank also expanded its call center project, which included initiatives such as cross-selling the IKAZE product package, developing FAQs and communication templates, implementing quality assurance standards, and establishing guidelines for agent etiquette.

In alignment with the second phase of its strategic planning, Bank of Kigali continued its dedication to strengthening its CRM capabilities. This involved the ongoing rollout of an Electronic Document Management System (EDMS), integrating e-filing and mailroom automation functionalities. Efforts were concentrated on fostering customer migration toward digital channels, thus reducing dependency on physical visits to the Bank's branches. Throughout 2023, the Bank's focus remained on enhancing the digital experience and promoting the adoption of channels such as self-onboarding to boost transaction volume. The prioritization of automating key operational processes has significantly contributed to enhancing overall efficiency.

Positive outcomes were observed from the initiatives undertaken last year to implement the Financial Services Consumer Protection Law (FSCP Law) and standardize all bank forms. Furthermore, there has been continual assessment and continuous improvement in customer satisfaction levels, supported by the establishment of a dedicated Quality Assurance Unit tasked with enforcing interdepartmental service level agreements and escalations. This underscores the Bank's commitment to prioritizing the implementation of the Consumer Protection Regulation.

Outlook

In its ongoing commitment to enhancing customer experience and operational efficiency, Bank of Kigali continues to prioritize digital transformation initiatives. Efforts to improve the digital experience and increase channel usage, such as self-onboarding, are underway to bolster transaction volume. Moreover, the automation of key processes and integration of AI technologies are being pursued to further enhance operational efficiency.

Looking ahead to 2024, Bank of Kigali remains steadfast in its efforts to upgrade customer service and brand positioning to better address the evolving needs of its clientele through innovative offerings.

Amid heightened competition in the market, the Bank remains focused on enhancing its retail offering to maintain a competitive edge. In the upcoming year, the Bank intends to host a home expo, offering a platform to showcase its home loan products and bolster partnerships, cementing its position in the market.

In parallel, Bank of Kigali's Diaspora Banking segment anticipates significant advancements in 2024. These include the introduction of self-account opening with passport, virtual cards, agency banking, and the digitalization of loan requests. These initiatives are poised to streamline and enhance the banking experience for the diaspora community, underscoring the Bank's unwavering dedication to serving this crucial customer segment.

Corporate Banking

Bank of Kigali Plc has established itself as the bank of choice for large corporates, Small and Medium Enterprises (SMEs), and NGOs in Rwanda. For decades, Bank of Kigali Plc's Corporate Banking division has been providing exceptional services to a wide array of businesses and, today, it boasts a comprehensive corporate portfolio of 520 active clients across a variety of industries. The division's services include loans that address CAPEX requirements, commercial mortgages, overdrafts, and working capital financing. Through its exceptional service offering, the Bank has been able to build a successful loan portfolio, which stood at FRw 901 billion in 2023.

Gross Loan Portfolio Breakdown

Gross Loans	Dec 2023 FRw '000	Dec 2022 FRw '000
Large Corporates	901,927	891,603
SMEs	207,839	183,533
Retail Banking	208,689	133,740
Agri-Business (previously known as Non-banking Activities)	27,923	5,261
Total	**1,346,279**	**1,214,137**

Total Deposit Portfolio Breakdown

Total Deposits	Dec 2023 FRw '000	Dec 2022 FRw '000
Large Corporates	716,564	541,920
SMEs	289,222	348,497
Retail Banking	310,541	184,039
Agri-Business (previously known as Non-banking Activities)	22,952	9,866
Total	**1,339,279**	**1,084,322**

2023 in Review

Bank of Kigali's corporate gross loan portfolio expanded by 9.7% in the year ended 31 December 2023, underscoring its ability to attract new customers while effectively managing credit risk. Similarly, the Bank grew its off-balance sheet portfolio by 76% y-o-y to reach FRw 544 billion, well ahead of its targets for the year. Arguably even more impressive was the ability to digitally onboard new customers during the year. In fact, of the 72 new accounts onboarded during 2023, 94% of corporate customers were onboarded digitally, recording a usage rate of 83% and activity level at 78%. Meanwhile, customer deposits reached an impressive FRw 907 billion, up 16% y-o-y. Net interest income for 2023 recorded FRw 81.3 billion, with the segment's net profit after tax coming in at an impressive FRw 41.9 billion, contributing the lion share of the Bank's net profit for the year.

During the year, the Bank continued to expand it corporate banking offering. As of 2023, Bank of Kigali is officially working with Africa Global Logistics (formerly Bollore Logistic) to provide trade finance products for sugar and rice importers. This has not only helped remove a bottleneck in the value chain for these two vital commodities but has also created a new segment for the Bank to expand into, with the team expecting to execute on a notable transaction pipeline in the coming year.

Furthermore, in an effort to continue driving innovation across the country's banking sector, the team successfully deployed 23 live payment integrations during 2023, with seven completed and 16 underway, enhancing operational efficiency and customer experience. Meanwhile, in line with the Bank's commitment to talent acquisition and development, the division expanded its team in 2023 with the addition of three new key hires, including one recruited from BK Academy, ensuring it continues to boast a robust and dynamic workforce to drive future success.

Outlook

The Corporate Banking division intends to continue prudently managing its loan portfolio, leveraging its robust lending capacity and experienced team to diversify financial solutions and introduce innovative products. It aims to attract new clients and expand market share by growing its loan book, especially in trade finance, increasing deposits, and broadening services in transactional banking, institutional banking, and financial institutions in the foreseeable future. Meanwhile, in line with the strategic direction undertaken by the wider BK Group, digitalization will continue to feature heavily in the division's priorities for 2024, as it looks to increasingly rely on new AI solutions to enhance the quality and timeliness of its services.

SME Banking

The SME Center established by Bank of Kigali in July 2022 has played a crucial role in offering specialized financial and advisory services to entrepreneurs aiming to grow their businesses. To meet the changing requirements of SME clients, the Bank's product development team has sanctioned seven SME loan options and three SME liability products. Additionally, they are actively working on creating more solutions to aid customers. These initiatives aim to enhance financial access and assist entrepreneurs in effectively managing their funds.

Segment	Number of Customers
Large SME	2,243
Medium SME	13,158
Small SME	13,631
Micro SME	29,008

Expansion and Partnerships

In 2023, Bank of Kigali's SME division introduced a range of tailored products aimed at meeting the needs of entrepreneurs. These offerings include various loan products, such as SME Stock Loan, SME Overdraft, SME Residential Mortgage Loan, SME Commercial Mortgage, SME Bank Guarantees, SME Letter of Credit, SME Contract Finance, and SME Invoice Discount. Account products, such as SME Current Account, SME Term Loan, and SME Starter Current Account, were also introduced. Notable successes were observed in the SME Stock Loan and SME Current Accounts categories within a short period.

To bolster SME business, Bank of Kigali implemented various measures in 2023, including ensuring reliable, timely, and flexible services to existing clients to cultivate loyalty and positive referrals within the SME sector. Government schemes, including the Economic Recovery Fund were utilized, with campaigns conducted across major cities in Rwanda. Robust marketing strategies were employed to raise awareness about the Bank's SME Banking department. Furthermore, the Bank focused on reactivating dormant SME client accounts and set new targets for relationship officers, with regular monitoring of progress.

Over the last 12 months, the Bank bolstered its non-financial services for SMEs by forging strategic partnerships with industry leaders, such as BPN and IFC. These collaborations facilitate the exchange of knowledge and the sharing of expertise, enhancing service delivery and the value-added for the Bank's SME customers. Additionally, the Bank initiated a Training of Trainers program among its staff, setting the stage for the development of its proprietary non-financial services program scheduled for rollout in 2024.

The Bank has taken proactive measures to achieve the target of a 60–40 mix between corporations and SMEs. It recruited over 40 dedicated SME Officers and Managers to provide personalized support for customers within relevant segments, aligning with the customer value proposition. Furthermore, the introduction of new products, such as Merchant Finance and Agency Finance, leverages technology to streamline processes and meet the unique needs of SMEs. The Bank's efforts over the last three years have been yielding positive results. In 2021, SME loans accounted for 8.6% of the loan portfolio. This share has since grown to reach 11.3% in 2022 and 15.0% in 2023, showcasing the effectiveness of the division's growth and investment strategies.

In terms of training, the Bank of Kigali conducted a comprehensive program for SME staff in 2023. This initiative aimed to deepen staff understanding of SME financial requirements, enabling better service provision. Leveraging government facilities like the Economic Recovery Fund, the Bank attracted new SME customers and provided loans at favorable rates. The SME department, in collaboration with BPN Rwanda and IFC, coordinated various training sessions focusing on essential topics that include taxation, bookkeeping, financial management, and overall SME capacity building.

Additionally, specialized SME-focused training for Relationship Officers (ROs) and Relationship Managers (RMs) was conducted. These sessions focused on areas such as CRM, financial and credit analysis, sales techniques, and customer care. Notably, clients have expressed their satisfaction, citing the significant assistance these training sessions provided in their day-to-day operations.

Women in Business

Last year, Bank of Kigali launched a new initiative, supported by the EIB East Africa COVID-19 Rapid Response Facility grant of EUR 40 million to promote gender equality in the business community. Notably, 30% of this grant was dedicated to female-led companies and organizations advocating for gender equality. Additionally, the grant included the Africa Women Rising Initiative (AWRI), aimed at providing capacity building support and financial access to women-led micro- to medium-sized enterprises in Rwanda. The goal of the initiative was to unlock the potential of women entrepreneurs, ultimately fostering economic growth and development in the country.

In line with its continued commitment to supporting women in business, the Bank undertook further initiatives this past year. One notable endeavor was the successful pilot of an Unsecured Stock Loan program tailored for businesses, with a particular emphasis on benefiting women-led SMEs. Through this initiative, the Bank extended support to over 30 women-led SMEs, resulting in a total disbursement exceeding FRw 300 million. This initiative not only provided crucial financial assistance but also contributed to fostering the growth and sustainability of women-led enterprises within the business landscape.

Outlook

The SME department at Bank of Kigali is poised for sustained expansion, leveraging technology to boost efficiency and enhance customer satisfaction. With a focus on becoming the go-to bank for reliable financial advisory services, innovative products tailored for the medical sector are in the pipeline to facilitate growth without additional collateral. Emphasizing the value chain of corporate and public institutions as a key driver, the department's commitment to enhancing SME offerings underscores its leadership in the sector, contributing to Rwanda's economic development.

Moreover, ongoing staff training remains a top priority to ensure that employees are equipped with the necessary skills and knowledge to deliver exceptional services to customers. With these efforts in place, the department is well-positioned to secure more deals, attract new customers, and ultimately enhance overall satisfaction. These collective initiatives are aimed at driving SME portfolio growth and achieving set targets for 2024.

BK General Insurance

An innovative insurance provider in Rwanda

Established in 2015, BK Insurance provides a comprehensive suite of high-quality insurance services and products that cater to the evolving needs of stakeholders in Rwanda and beyond. The company's array of non-life insurance offerings cover automotive assets, agriculture, property, aviation, transport, bonds, engineering, technological assets, personal assets, and group accident coverage.

Today, the Group boasts a nationwide agency network of more than 118 agents, up from 67 agents in 2022. Most of these agents are dedicated to agricultural (crop and livestock) products to ensure that the company continues to expand farmers' access to insurance coverage in line with BK Group's wider financial inclusion targets.

Over the years, BK Insurance has distinguished itself with an innovative approach to product redesign, which, when coupled with a focus on delivering exceptional customer service, has positioned the company as one of the most customer-centric insurance providers in Rwanda.

2023 in Review

The insurance sector in Rwanda witnessed commendable growth in 2023, with overall premium sales rising by 22%. Notably, motor, fire, and agriculture emerged as leading contributors to this growth, with a combined increase in premiums sales of 28% between 2022 and 2023. Conversely, medical insurance experienced modest growth, with only a 5% increase during the same period. In light of evolving global business trends, the key to unlocking further opportunities lies in embracing technology and leveraging data analytics to inform strategic decision-making.

Against a positive operating environment, BK Insurance recorded impressive growth in 2023. The company recorded revenue growth of 33% for the year, primarily driven by a 38% surge in motor insurance, closely followed by a 36% increase in fire insurance, a notable 34% increase in engineering insurance, and, lastly, a 33% growth in agriculture insurance. Investment revenue was up 23% y-o-y, reflecting the effectiveness of the company's investment strategies. Net profit subsequently rose 9% versus 2022 to reach FRw 3.2 billion for the year (note that the 2022 net profit has been restated due to the implementation of IFRS 17). Meanwhile, total assets increased 26% y-o-y to FRw 29.7 billion and equity rose 18% after the dividend of 25% of the net profit to be distributed to shareholders.

BK Insurance complied with Key Prudential Ratios in 2023 as follows:

#	Item	Ratio %
1	Solvency Margin	502%
2	Claims Ratio	42%
3	Liquidity Ratio	144%
4	ROAE	22%
5	ROAA	12%
6	Asset Growth y-o-y	26%
7	Equity Growth y-o-y	18%

Furthermore, BK Insurance upheld its competitive edge by expediting claims settlements and providing comprehensive training to both clients and intermediaries on insurance products. Additionally, the company actively engaged in road safety awareness campaigns, orchestrated by the Rwanda National Police, aimed at mitigating fatalities and property damage. These initiatives, coupled with robust claims management strategies, have yielded positive outcomes, maintaining the stability of BK Insurance's claims register with a consistent claims ratio below the benchmark of 65%. The loss ratio for 2023 was at 42%.

In 2023, BK Insurance strategically balanced its product portfolio, with motor insurance accounting for 61%, fire insurance for 13%, agriculture for 11%, and the remaining products comprising 15%. This deliberate diversification is successfully helping to mitigate the risk associated with overreliance on a single product, bolstering the company's long-term sustainability.

Additionally, BK Insurance has successfully implemented IFRS 17, marking a significant advancement in aligning with international accounting standards. The financial statements for the year ended December 2023 have been meticulously prepared in accordance with IFRS 17.

Efforts were dedicated to crucial tasks such as the IFRS 17 financial gap analysis, conducted in both 2022 and 2023. Rigorous simulations of financial statements were carried out over the past two years across various reporting periods to thoroughly assess any potential impacts on retained earnings.

Furthermore, a comprehensive policies manual was meticulously developed, considering its implications on financial reporting. This manual served as a guiding framework for the development of the IFRS 17 engine and the refinement of the chart of accounts, ensuring the robustness of the Group's financial reporting in line with global standards.

Digitalization Initiatives

In an effort to further streamline operations, bolster resilience, and enhance customer experience, BK Insurance has undertaken strategic initiatives to embrace digitalization and strengthen business continuity strategies. Recognizing the dynamic nature of the market, the company has launched digital insurance services and payment systems to enhance its agility and responsiveness to evolving demands. The successful introduction of an online self-service portal last year has enabled customers to seamlessly access insurance offerings with real-time feedback.

Aligned with its digitalization roadmap, BK Insurance has initiated several transformative projects in 2022, and it continued to advance and refine them in 2023. These initiatives include the implementation of a robust insurance core system and Oracle Enterprise Resource Planning (ERP) software to comprehensively digitize its operational framework. During the past 12 months, the company also worked tirelessly to understand, assess, and plan for the rise of AI and its potential value-generative applications in the insurance sector. The company is in the process of devising its AI strategy, which it will look to deploy in the coming months to drive profitability and improve the customer journey.

Strategic Partnerships

Throughout the year, BK Insurance fostered mutually beneficial relationships with insurance intermediaries to improve its retail insurance portfolio. Collaborating with 27 underwriting agencies across the nation, particularly those specializing in agriculture insurance, has strengthened the company's market presence and diversified its offerings.

In alignment with its commitment to CSR, BK Insurance has actively engaged with sports and recreational associations in Rwanda. By sponsoring various tournaments, including cycling events, the company not only contributes to community development but also enhances its brand visibility among diverse demographics. Additionally, its partnership with BK Arena ensures its presence at all events hosted there, offering relevant insurance solutions to participants and further amplifying its brand recognition.

Looking Ahead: 2024

As BK Insurance enters 2024, it does so armed with a comprehensive strategy aimed at solidifying its position as the premier provider of innovative and high-quality insurance services in Rwanda. This strategy focuses on several key areas, including the identification of additional target markets to unlock value, the advancement of bancassurance services for SMEs and retail clients, the continuous tailoring of products to meet evolving stakeholder needs, and the enhancement of overall customer retention through effective marketing and an improved self-service product and service offering.

In keeping with its forward-looking vision, BK Insurance maintains its focus on digitization throughout 2024, with ongoing efforts to procure a cutting-edge system slated for completion by mid-2024. This initiative aims to facilitate the online sale of motor third-party and property insurance, representing a significant advancement in the company's digital capabilities. Furthermore, plans are underway to establish online claims management for motor insurance by the end of 2024, further enhancing its digital infrastructure.

Aligned with its commitment to excellence, BK Insurance remains dedicated to upholding its core values of customer centricity, shareholder value maximization, and CSR. The company is steadfast in its mission to sustain its reputation as a trusted insurance provider, ensure resilience in the face of challenges, and actively contribute to the welfare of its stakeholders and communities.

BK TecHouse

Overview

Established in 2016 as a subsidiary of BK Group, BK TecHouse is a leading force in Rwanda's technology and digital financial services space. Renowned for its innovative platforms, it champions digital solutions that drive financial inclusion and commercial growth. Its strategic focus and comprehensive offerings encompass EdTech, AgriTech, Retail, FinTech, Internet of Things (IoT), and broadband connectivity (fiber optic and 4G LTE) to serve a diverse clientele ranging from enterprises to educational institutions, residences, governmental agencies, and commercial establishments.

From fortifying security for enterprises to revolutionizing education and agriculture management with cutting-edge software, BK TecHouse delivers holistic solutions designed to enhance everyday experiences. In an era where cybersecurity is of upmost importance, the company guarantees the protection of its systems and users by deploying enterprise-grade security products and complying with industry standards, such as PCI DSS and ISO Certifications. BK TecHouse plays a pivotal role in expanding BK Group's reach through transformative technology, underpinned by connectivity, digitalization, automation, and data-driven insights.

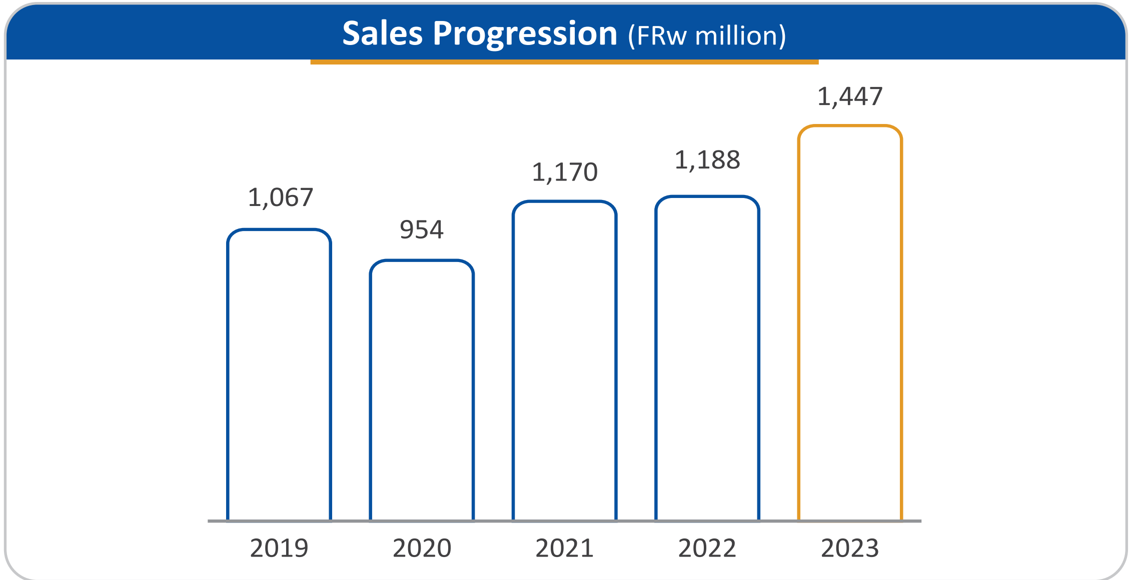
Spearheading Financial Inclusion

Benefiting from the Rwandan government's emphasis on financial inclusion, BK TecHouse is playing a frontline role in fostering an environment conducive to the uptake of digital financial services and technology driven solutions.

Leveraging its expertise, the company has pioneered innovative solutions such as UrubutoPay, a universal payment gateway, in alignment with the national strategy for financial inclusion. UrubutoPay has emerged as a crucial tool in advancing financial inclusion, providing both businesses and individuals with a seamless and secure payment platform.

Additionally, initiatives like Irondo Security Fees Collection, Cyamunara Auction Payments Collection, and BK Arena ticket sales are propelling the transition toward a cashless economy. Finally, to increase access to credit in the agriculture sector, the company is collaborating with the Rwanda Agriculture Board (RAB) and Clecam Ejo Heza to digitize agricultural loans through the Smart Nkunganire System (SNS).

2023 Highlights



Despite global economic volatility, BK TecHouse demonstrated the resilience and flexibility of its business model, delivering robust revenue growth of 22% in 2023. Part of the company's resilience stems from its diversified offering, which enables it to tap into a wide addressable market and navigate sector-specific challenges efficiently. During 2023, broadband sales accounted for 59% of BK TecHouse's total sales, with digital services constituting 38% of sales, and IoT contributing the remaining 4%. During the year, the company's focus on boosting digital sales paid off, with revenue generated from digital sales increasing an impressive 76% y-o-y. Moreover, BK TecHouse successfully reached 4.2 million digital users across all digital platforms in 2023, achieving an 18% y-o-y increase from 2022.

Over the past 12 months, BK TecHouse has dedicated itself to enhancing its digital financial services and technological solutions to increase its share of the market across existing solutions and drive further improvements in user experience, thus guaranteeing better brand equity and long-term loyalty. The company's strategy at the start of 2023 continued to span three main pillars: 1) fortify its digital platforms, 2) broaden its product range, and 3) enhance its technological capabilities. The company ended the year having delivered solid progress across the board, with the foundations laid this year setting it up to achieve further growth in the year to come, as it looks to continue generating incremental value for customers and the wider Rwandan society.

After conducting several risk assessments and analyses of its systems, BK TecHouse identified areas for improvement and developed policies, processes, and procedures accordingly to ensure compliance with quality and security standards. The company also conducted several internal audits to verify its readiness for compliance ahead of external audits. As a result, BK TecHouse was able to obtain certifications ISO 27001 (Information Security), 9001 (Quality Management System), and Data Processor certifications in 2023. The organization continued to strengthen the information security control environment and promoted strong awareness among staff members to incorporate ISO standard procedures into daily operations.

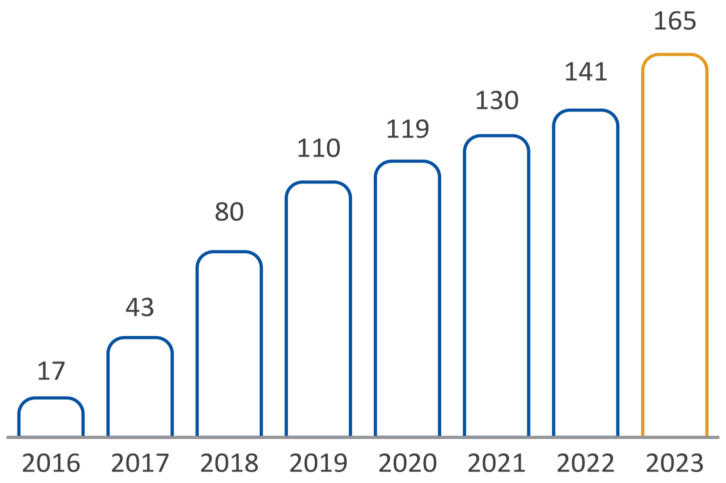
Education

In the field of EdTech, the company's premier offering is the Urubuto Education System, an all-encompassing school management platform designed for schools, administrators, students, and parents. This system grants access to academic performance data, student behavior records, attendance tracking, and enables tuition fee collection via UrubutoPay. In 2023, Urubuto successfully onboarded 30 new schools, broadening its reach. Despite implementing a cost-reduction strategy that involved removing inactive schools from our database, the total transaction value experienced robust growth, reaching FRw 26.7 billion, a 39% y-o-y increase.

Additionally, BK TecHouse introduced a new Teacher's Mobile Application as part of the Urubuto Education platform in 2023. This dynamic mobile app is tailored to streamline school management processes and enhance educational experiences. It caters to the needs of school administrators, teachers, parents, and students by facilitating various tasks, such as timetable management, student attendance tracking, academic performance monitoring, and seamless communication between schools and parents.

Highlights

Number of Active Subscriptions



Fintech

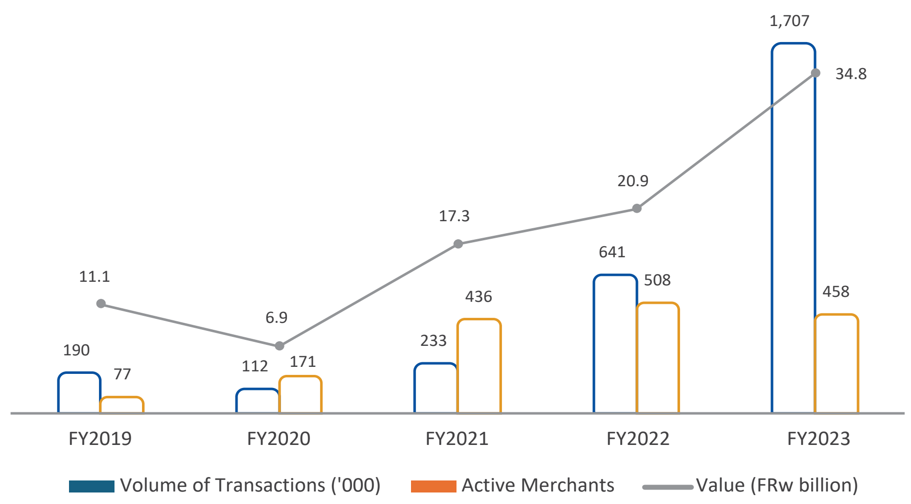
In 2021, BK TecHouse secured a Payment Service Provider license from the Central Bank, laying the foundation for the transformation and expansion of UrubutoPay into a Universal Payment Gateway across various industries. The platform gained momentum in 2022, with UrubutoPay penetrating new markets, such as retail and entertainment, notably exemplified by its integration with BK ARENA. Furthermore, it found utility in local governance through Sector Administration in Kigali, facilitating the collection of diverse community fees.

UrubutoPay's integration with financial institutions, like Umwalimu SACCO and Bank of Kigali, enabled automatic fee payments for all customers, including Visa and Mastercard clients. Moreover, the successful integrations with MTN Mobile Money and Airtel Money broadened its accessibility.

Continuing this trajectory into 2023, UrubutoPay underwent significant enhancements aimed at improving performance and extending customer reach. Notable additions included features like pay with link, USD payments, bulk payments, and a WordPress web payment plug-in tailored for e-commerce businesses. The platform continued to onboard 50 new merchants and establish partnerships with key entities, including MINIJUST, Bank of Africa, and BK Capital, thus expanding its user base across diverse sectors.

Furthermore, UrubutoPay achieved the Payment Card Industry Data Security Standard (PCIS DSS) compliance certification, ensuring robust security, and it streamlined payment processing for users. Obtaining the PCIS DSS compliance certification signifies that UrubutoPay adheres to stringent security standards set for the payment industry. This certification ensures that users' sensitive payment information is securely handled and protected, reducing the risk of data breaches or unauthorized access.

Total UrubutoPay Transactions



Agriculture

The Smart Nkunganire System (SNS), developed through a Public Private Partnership (PPP) between BK TecHouse and Rwanda Agriculture and Animal Resources Development Board (RAB), is an agritech platform that digitalizes the agriculture subsidy inputs supply chain by creating the value chain. It does this by generating a database of value chain stakeholders, monitoring agro-inputs demand and supply, and promoting transparency and efficiency, all while providing relevant analytics for decision-making, encouraging cashless payments, and unlocking access to agriculture insurance and financial services for smallholder farmers and agri-focused SMEs.

Currently, the platform has over 2.4 million registered farmers, 1,800 agro-dealers, and 30 agro-input suppliers. Agro-dealers have ordered more than 76,000 metric tons of agro-inputs, with transactions reaching FRw 85.0 billion in 2023.

In collaboration with the Bill and Melinda Gates Foundation, the platform has been undergoing program enhancements since 2022. Key initiatives include establishing a revamping SNS architecture to a high-quality, robust, and scalable platform; adding new financial inclusion capabilities, including providing farmers with finance and crop insurance; enabling digital extensions that promote the adoption of good agriculture practices (GAP) among the SNS farmer community; and facilitating market linkages for SNS farmers to access post-harvest markets at better prices. Current implementation stands at 90%.

Smart Nkunganire System in 2023

2.4+ MN
Registered Farmers

1,800+
Agro-dealers

30+
Agro-input Companies

75,000 metric tons
Agro-inputs Ordered by Agro-dealers in 2023

85+ FRw bn
Value of Transactions between Agro-dealers and Suppliers in 2023

Another agritech digital platform offered by the company is the Smart Kungahara System (SKS), tailored for the coffee value chain. It enables efficient traceability of coffee supply, record-keeping, and digital payments. Currently, SKS boasts a subscriber base of over 378,737 farmers, with 331 coffee washing stations and records for 113.0 million coffee trees. SKS has been mandated by the National Agricultural Export Development (NAEB) as the official platform for input distribution and cherry collection.

Smart Kungahara System in 2022

378,737
Farmers

331
Coffee Washing Stations

113.0 MN
Coffee Trees

Retail

Kiliziya Yacu is BK TecHouse's management information system developed in partnership with the Catholic Church (Butare Diocese) to ease daily church operations and promote efficiency by digitalizing church members management, as well as cashless payments of church services and tithes, and enabling direct communication between the Church's leadership and its members.

In 2023, the Kiliziya Yacu system continued to be piloted in the Butare Diocese in Rwanda, with plans for nationwide deployment. Currently, 26 parishes have been onboarded, with an additional two parishes from other dioceses joining the pilot program, bringing the total number of onboarded church members to 29,000. The system's collections for the year amounted to FRw 169 million, reflecting a significant 50% y-o-y growth from 2022.

Forward-Looking Strategy

In the upcoming year, BK TecHouse's core focus will lie in the development and launch of four new Digital Financial Services (DFS) products, including School Fees Loan, Aguka Fund, Micro Insurance, and Coffee Washing Station loan. The addition of the new DFS products will further enhance the company's portfolio and cater to diverse customer needs, reinforcing its commitment to innovation and customer-centric solutions.

Furthermore, BK TecHouse is poised to advance its growth trajectory by targeting double-digit growth in total sales, with a primary emphasis on boosting digital sales revenue to constitute 52% of the total amount. Leveraging its marketing strategies to enhance customer awareness and engagement, as well as targeting new markets and new DFS services to broaden its customer base, remains a key focus. Additionally, BK TecHouse will continue to elevate service quality and optimize pricing strategies to fortify its position as a formidable player in the market. This strategic shift aligns with evolving market trends and positions the company for sustained growth in the digital landscape.

Furthermore, BK TecHouse is positing itself as the fintech arm of the Group, aiming to pursue opportunities for cross-selling digital financial services within the BK Group, leveraging collaborations with industry stakeholders to extend its offerings and reach. With an ambitious projection, the company aims to grow its digital consumer base to 4.6 million across all platforms by the end of 2024.

BK Capital

Originally established in 2012 as the Group's securities brokerage arm, BK Capital has since expanded its offering, transforming into a full-fledged investment bank. Today, BK Capital leverages its team's extensive experience and proven track record to offer clients tailored solutions, insights, and strategies geared toward maximizing returns and overall value generation.

Investment and Wealth Management

BK Capital's Investment and Wealth Management division provides access to a broad portfolio of investment products and global investment capabilities across a spectrum of asset classes. BK Capital is able to consistently deliver seamless execution and settlement for its growing client base through competitive pricing, transparent fee structure, and optimized approach to risk management. The company also manages portfolios for affluent individuals; develops public and private investment schemes, including pensions and trust funds; and ensures compliance with regulatory requirements and reporting standards. Finally, the division also offers its services to customers looking for transactional, advisory, or discretionary services.

In 2023, the Investment and Wealth Management business reported solid results, navigating challenging market conditions and, once more, demonstrating the resilience and adaptability of its business model. More specifically, assets under management continued their sustained expansion and reached FRw 42.8 billion as at year-end 2023, up from FRw 33.2 billion as at 31 December 2022. This represents a 29% y-o-y expansion and underscores both the trust placed in BK Capital's expertise by investors and the effectiveness of its investment strategies in generating returns and expanding its client base.

Key Statistics - Q4 2023

3,091 Total number of BK Capital unique clients	Total BK Capital AUM - FRw 42.81 BN	Aguka Current Yield as at Dec 2023 10.03%

Securities Brokerage and Global Trading

BK Capital is a licensed market intermediary and depository participant that capitalizes on a wide network of regional and global partnerships to offer securities brokerage and global market research services. BK Capital's brokerage activities are supplemented by its research team, which offers in-depth market research reports that provide local and regional macroeconomic insights and analysis on publicly listed companies through equity reports. The company currently stands as the leading licensed stockbroker in Rwanda.

During 2023, the division reported a 25% decline in total activity on the back of difficult market conditions. More specifically, over the past 12 months, annual bonds and equities turnover on the RSE declined 22% and 73%, respectively. Total turnover at BK Capital's securities brokerage business came in at FRw 7.8 billion for equities and FRw 24.4 billion for bonds during 2023. Meanwhile, the division continued to develop its increasingly popular research offering.

BK Capital turnover on Rwanda Stock Exchange secondary market trading

Corporate Finance Advisory

BK Capital's Corporate Finance and Advisory Services division is mainly responsible for providing tailored structured products and alternative financing solutions relating to a wide range of transactions in the capital markets space. The division's focus extends from capital budgeting and financial restructuring to valuations and deal advisory services in the M&A, equity capital market, and debt capital market spaces.

During the year, the division close Rwanda's inaugural Sustainability-Linked Bond (SLB), a landmark issuance that was awarded the "ESG Bond of the Year" title at the Bonds, Loans and ESG Capital Markets Africa Awards 2024.

Outlook

The team enters 2024 with a clear set of priorities and a well-thought-out execution plan to deliver on. While the economic uncertainty that accompanied BK Capital throughout 2023 is likely to remain in 2024, the division's strong positioning and adaptable infrastructure will continue to enable it to navigate shifting market dynamics and seize emerging opportunities as it continues to generate sustainable growth for the business and value for its stakeholders.

Corporate Finance Advisory Functions

CAPITAL RAISING (END-TO-END)

- IPO and Equity Private Placement Advisory
- Private and Public Debt Advisory

M&A ADVISORY (END-TO-END)

- Sell side advisory
- Buy side advisory
- Vendor due diligence or assistance

SPECIAL SITUATIONS

- Asset sale and leaseback
- Divestitures/Spin Offs
- Restructuring

DEAL SUPPORT

- Investor readiness assessment
- Company valuation
- Fairness opinions
- Financial modelling
- Financial due diligence
- Balance sheet optimization

BK Foundation

Driving Positive Change Through Strategic Philanthropy

Launched in January 2023, the BK Foundation stands as a testament to BK Group's commitment to fostering positive change in Rwanda. Rooted in the belief that impactful investment can catalyze change, the Foundation has swiftly become a cornerstone of philanthropic endeavors within the nation. Aligned with Rwanda's National Strategy for Transformation 2050 Goals, The Africa We Want 2063 Goals, and The Sustainable Development Goals (SDGs), the Foundation aims to achieve measurable impact for the betterment of Rwandan communities. Its mission focuses on education, innovation, and environmental conservation, driving evidence-based funding solutions and fostering continuous collaboration with partners. Operating as a common benefit foundation, the BK Foundation provides grants to national and local NGOs aligned with its philanthropic pillars.

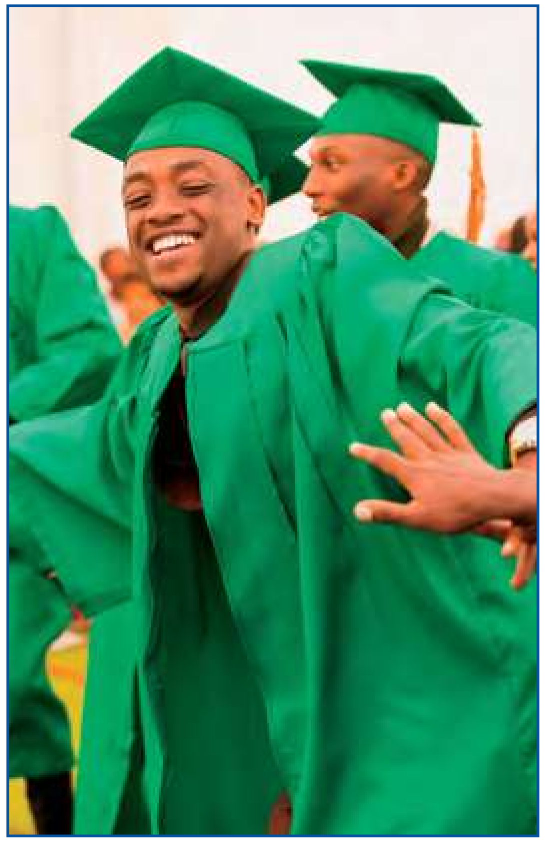
Our Approach to Driving Impact

The Foundation extends grants of varying sizes, ensuring a 100% budget execution of yearly donations received, predominantly sourced from profit-making subsidiaries of BK Group. To bolster its impact, each profit-making subsidiary of the BK Group commits to providing 1% of its profit before tax to the BK Foundation, supporting the Foundation in making a meaningful and sustainable difference in the sectors it supports.

Recipients of BK Foundation grants undergo a rigorous selection process, with projects aligned with the Foundation's pillars receiving consideration. Final approval is made by an internal Technical Working Committee to ensure transparency and alignment with the Foundation's mission. Beyond financial support, the Foundation serves as an ecosystem catalyst, leveraging its network to provide partners and grantees with access to various resources, emphasizing collaboration within the ecosystem.

2023 Initiatives

In its inaugural year, the BK Foundation achieved several significant milestones, including empowering students through scholarships, supporting SMEs with accelerated entrepreneurship skills training, providing interest-free loans through banking partnerships, promoting women's empowerment and inclusivity, and undertaking substantial environmental conservation efforts to reduce the Group's carbon footprint. The BK Foundation's dedication to driving positive change in Rwanda through strategic philanthropy is evident in its multifaceted approach to addressing the complex needs within the education, innovation, and environmental conservation sectors.



Education

Rwanda's commitment to a knowledge-based economy underscores the importance of education. The BK Foundation aligns with this vision by promoting academic excellence and empowerment through strategic partnerships. Focusing on early childhood development, vocational skills, and financial literacy, the BK Foundation supports Rwanda's aim for regional and global competitiveness. In the education pillar, the BK Foundation has made significant strides through strategic partnerships and initiatives, extending grants to five organizations and contributing to various educational initiatives:

- **Advancing Higher Education at University of Kigali**
  In a strategic collaboration with the University of Kigali, the BK Foundation provided crucial support to undergraduate students, furthering their academic pursuits and bolstering the institution's 7th Graduation Ceremony.
  This assistance included the provision of a scholarship for a Master's degree and four prepaid cards, collectively amounting to FRw 4 million.

- **Empowering Students at Agahozo-Shalom Youth Village**
  In collaboration with Agahozo-Shalom, an NGOs dedicated to empowering youth, notably at the Agahozo-Shalom Youth Village (ASYV), BK Foundation's grant facilitated significant advancements in education. ASYV saw remarkable progress, providing scholarships to 64 students, with a focus on promoting inclusivity and gender equality, particularly in STEM fields.

- **Promoting Educational Diversity with Imbuto Foundation**
  The BK Foundation partnered with the Imbuto Foundation to provide scholarships to 163 students across diverse educational levels in Rwanda. These scholarships, distributed across various categories such as ordinary level, TVET, STEM, and TTC, not only foster educational diversity but also nurture talent across the country.

- **Empowering Teen Mothers**
  Through its partnership with the Paroisse Rutongo Initiative, the Foundation has empowered a total of 106 teen mothers with both economic skills and crucial life lessons, including family planning and sexual and reproductive health education. Additionally, in collaboration with the Umuhuza organization, the Foundation has extended its impact by empowering 78 graduates with essential skills and knowledge. Through this partnership, these graduates have been equipped with economic skills, vital life lessons, and other necessary tools for personal and professional growth.

- **Impact through the Chevening Scholarship Program**
  Since 2018, the Bank of Kigali has partnered with the Foreign, Commonwealth, and Development Office (FCDO) of the United Kingdom to support the Chevening Scholarship Program, enabling exceptional scholars in Rwanda to pursue one-year master's degrees in the UK. Renewing our commitment, in 2021, the Bank of Kigali extended its partnership with the FCDO for another three years to continue supporting students in the Chevening Scholarship Program. In 2023, the BK Foundation sustained its collaboration with the program, sponsoring transformative education for five females and one male, backed by a GBP 35,000 grant. This reaffirms our dedication to empowering scholars to catalyze positive change in their communities and beyond.

Innovation

Innovation is at the core of the BK Foundation's mission, driving forward-thinking solutions to address the region's financial, social, and environmental challenges. Through strategic initiatives, the BK Foundation passionately supports innovative projects and local entrepreneurs. Embracing creativity and entrepreneurship, the Foundation believes in fostering new ideas and concepts that have the potential to create lasting change.

- **Miss Innovation: Empowering Change**
  The BK Foundation supported the "Miss Innovation" project spearheaded by Jeannette Uwimana, the 2022 Miss Innovation Rwanda. Miss Uwimana's visionary pig farm project is not only empowering women but also fostering community growth with inclusivity at its core.

- **BK Urumuri Initiative: Fostering Entrepreneurship**
  The BK Urumuri Initiative, an annual award program, empowers innovative business projects with skills and funding. Led by the BK Foundation in collaboration with Inkomoko, it supports youth entrepreneurs in Rwanda. Now in its 7th edition, the initiative assisted 25 SMEs and provided accelerated entrepreneurship training. Six participants received interest-free loans, ranging from FRw 3 to 5 million, boosting their financial capabilities and fostering economic growth.

Environmental Conservation

The BK Foundation's commitment to environmental conservation involves strategic partnerships aimed at mitigating pollution, reducing carbon footprint, and minimizing waste. Through collaborative efforts, initiatives are implemented to promote sustainable environmental management practices, such as tree planting, sustainable waste management, water pollution abatement, and the development of urban green spaces. The Foundation also facilitates access to renewable energy in rural areas through solar energy solutions.

Women Empowerment in Entrepreneurship

Women Empowerment in Entrepreneurship (WEE) is leading Rwanda toward a greener and fairer future by empowering women and youth to take charge in the green e-mobility and transport sector, tackling climate change and gender inequality simultaneously. Supported by the BK Foundation, WEE equips women with vital skills and resources for sustainable transportation solutions. Out of 120 trained women, 20 have received electric motorcycles through the BK Foundation, enhancing access to sustainable transportation and economic opportunities.

With over 25,000 collective hours invested and FRw 2.5 million in gross revenue generated, WEE members demonstrate entrepreneurial spirit and financial independence. With a trip success rate of 98.8%, WEE contributes to a more efficient and sustainable transport network, benefiting both the environment and the economy. As a powerful example of women's empowerment, WEE has the potential to scale further, empowering more women as change makers in the green e-mobility revolution.

Wildlife Conservation Initiative

The Wildlife Conservation Initiative (WCI), established in collaboration with Bank of Kigali through the BK Foundation, launched a project to restore the Mukungwa River in Musanze District. With the Foundation's support, an FRw-5-million grant funded a plant nursery aiming to combat erosion with indigenous plants. Currently, 20,000 plants have sprouted, with 5,000 more in progress and another 5,000 in the seed nursery bed. This initiative revitalizes the ecosystem along the Mukungwa River, fostering environmental sustainability and community empowerment. Through the planting of 30,000 trees, WCI aims to rejuvenate the river and uplift the local community in the Northern Province.

Special Grants

The BK Foundation allocated support to 12 grantees, totaling over FRw 984 million.

- **Unity Club:** The BK Foundation's grant aims to improve living conditions for 41 vulnerable community members, including six men, eight women, and 27 children and adults in Huye District. This support involves constructing eight houses to provide community members with safe homes.

- **Supporting Flood Victims:** BK Group, through the BK Foundation, raised over FRw 127 million to aid victims of natural disasters in Rwanda.

- **Bisesero Film Project:** This initiative aspires to produce a feature film depicting the heroic resistance of Tutsi civilians in Bisesero during the 1994 genocide against Tutsi in Rwanda, aiming to inspire unity and resilience worldwide.

Looking Forward

Looking ahead to 2024, the BK Foundation remains focused on supporting education through scholarships, skill enhancement, and vocational training for youth, along with initiatives to promote financial literacy and empowerment programs. Numerous projects are already in the pipeline for 2024 to further develop quality education and youth skills development for job creation, as well as emphasize financial literacy throughout its programs. Additionally, the foundation plans to advance its strategic priorities across various sectors, with a particular focus on sustainable environmental practices and entrepreneurship.

While the mandate remains centered on education, innovation, and environmental conservation, the BK Foundation is open to exploring opportunities to expand the scope and scale of projects within these sectors. Moreover, the foundation is assessing new projects and considering smaller grants between FRw 10 and 50 million to ensure broad and impactful support for initiatives aligned with its mission.

05.

Creating Shared Value

Our People

At BK Group, we recognize that our 1,257 team members, ranging from seasoned executives to entry-level staff, form the bedrock of our organization. Their unwavering commitment, diligent efforts, and specialized knowledge have been instrumental in driving our remarkable accomplishments. We remain steadfast in our dedication to fostering an inclusive workplace, actively pursuing gender equality and fostering the professional growth of women across all our subsidiaries. Today, 45% of our workforce consists of women boasting a diverse range of experience and spanning a wide age bracket, with 33% assuming leadership and governance roles within BK Group.

As a Group, we continue to hold ourselves to the highest industry standards, seeking to recruit the best talents to our organization. In an effort to enhance our positioning as a premier employer in Rwanda, and to be able to consistently attract top talent, we utilize a competitive compensation philosophy, in addition to prioritizing the continuous development of our employees through comprehensive training programs, skill development, and exhaustive succession planning within the organization.

Following through with our ongoing human capital development strategy, we continued implementing our dual approach to talent acquisition, prioritizing internal recruitment where possible while remaining vigilant to attractive talents through external recruitment. Internally, we focused on nurturing homegrown talents, recognizing our employees' right to professional advancement within the Group's ranks and fostering professional growth opportunities. Externally, we sought to onboard subject matter experts to complement our existing team, prioritizing gender diversity in our recruitment processes.

Meanwhile, in line with our effort to create a healthy environment for our people, we actively maintain transparent communication channels with our employees, seeking valuable insights through engagement surveys. These insights, previously gathered and shared with management, consistently enhance our ability to maintain high employee satisfaction levels, evidenced by our remarkable retention rate of 89%.

Training and Education

Recognizing the pivotal role our employees play in driving our success, the Group remains steadfast in creating a work environment that nurtures growth, development, and job satisfaction for all. To this end, our collaboration with universities through the Entry Level Training Program (ELTP) Initiative, which aims to attract and cultivate top talent, equips fresh Rwandan graduates with top banking and business skills from local and international trainers to fill diverse functions within the Bank. Upon completion, participants are awarded certifications and offered employment. We recently launched the second cohort of our three-month ELTP.

Additionally, we actively engaged in employment fairs at UR Huye Campus, UR CBE Gikondo campus, and CMU, providing motivated young professionals an opportunity to launch their careers with the Group. We also provided academic and professional internships for youth, students, and graduates, with potential opportunities for permanent positions within the Bank.

With regards to internal talent development initiatives, we are equally committed to nurturing our existing talent through programs such as the Management Trainee Program. The program prepares employees for managerial roles by providing comprehensive training in leadership, client management, negotiation, team management, and managerial skills, paving the way for future leaders within the organization. Additionally, our talent development program utilizes a competency based approach to enhance employee skills, recognize top performers, and prepare potential successors. This strategic initiative bolsters our business continuity plan and ensures a robust talent pipeline for the future.

On top of our Management Trainee Program, we offer a host of development initiatives for all our existing employees. Our Learning and Development initiatives are centered on improving employees' soft, technical, and leadership skills. We provide various training opportunities, including certifications, technical courses, leadership and soft skills workshops, as well as sponsored business visits, workshops, seminars, and conferences.

To continue recognizing our people, their potential, and their professional development, we give precedence to internal growth opportunities in our recruitment strategy, with external hiring processes only conducted for roles that are unsuitable via internal movements or to onboard external experts bringing significant added value to our team. Additionally, staff members benefit from participating in large-scale bank projects, which enables them to acquire valuable knowledge and skills.

In 2023 alone, a total of 193,330 hours of training were given to our employees, averaging 168.7 training hours per staff member. Of those programs, 63,810 hours were completed under the Management Trainee Program, empowering our people to take the leap into managerial positions. These concentrated efforts underscore our commitment to empowering our employees and fostering a culture of continuous learning and development within the organization.

Employee Age Group and Gender Breakdown

Age Group and Gender Breakdown

Number of Staff per Age and Gender for the Group

AGE BAND	NUMBER OF STAFF	GENDER	
		FEMALE	MALE
Under 25	40	16	9
25-30	217	92	125
31-35	273	103	170
36-40	451	217	234
41-45	261	108	153
46-50	85	38	47
Above 50	35	15	20
TOTAL	1,257	547	706

Number of Staff per Age and Gender – New Hires

AGE BAND	NUMBER OF STAFF	GENDER	
		FEMALE	MALE
UNDER 30	91	43	48
30-50	60	17	43
TOTAL	151	60	91

Occupational Health and Safety

The occupational health and safety management system at BK Group was established to adhere to international standards (BCMS 22301:2019) and regulatory mandates, including labor regulations from the Ministry of Public Service and Labor and BNR regulations.

Bank of Kigali has recruited a Health and Safety Officer and a Clinic Officer as components of this system. To ensure the well-being of all BK employees, the HR department has designated health and safety champions from each department, who have received specialized training in providing first aid assistance and conducting emergency evacuations. Additionally, the Bank has formulated a health and safety plan and policy, assigning responsibility to HR, Risk, Operations, and other business units for identifying and addressing health and safety risks promptly.

The goal of the system is to guarantee that the workplace effectively meets the health, safety, and welfare needs of all personnel, including those with disabilities, as well as visitors who utilize the premises and may be impacted by the organization's activities. To ensure organizational readiness, those tasked with executing these protocols undergo routine training on optimal response methods. The process of monitoring, measuring, analyzing, and evaluating business continuity encompasses ongoing assessments, which entail planning and executing health and safety tests regularly.

The occupational health and safety management system promotes a culture where employees are encouraged to report any incidents concerning occupational health and safety to the HR department, following the established reporting lines and channels. The Bank has instituted frequent training sessions and developed a health and safety recovery plan document to assist employees in maintaining a safe and healthy work environment, ensuring it remains injury-free and healthy. Additionally, there is an incident response plan in place detailing the steps for investigating work-related incidents, including hazard identification and risk assessment.

The Group manages occupational health and safety risks through a dedicated framework of policies, procedures, and resources aimed at preventing risks and promptly managing them if they occur. The HR department, BCMS unit, Physical Security unit, and department heads share the responsibility for ensuring health and safety assurances. Moreover, the Crisis Management Committee is tasked with discussing and addressing critical incidents based on the nature of the hazard.

Our Clients

Customer Centricity

Acknowledging that our clients are at the heart of our business, BK Group constantly strives to provide superior services and an unmatched experience for our customers. To this end, we focus on continually improving our service offering, automating our processes, and ensuring hands-on customer support around the clock through a variety of channels.

Our strategy revolves around six main pillars through which we ensure effective and transparent operations with our clients, gaining their loyalty and providing positive experiences at all points of contact.

1. **Training** : A central part of our strategy is training our staff on the soft and hard skills needed to guarantee customer satisfaction. During 2023, we provided several training rounds for our employees, ensuring they are knowledgeable on our services, helpful to our clients, and empathetic to their questions and concerns.

2. **Access:** BK Group provides multiple channels through which our clients are able to access our banking services. These channels include internet banking, USSD, our BK mobile application, an extensive network of ATMs and branches around the country, agency banking, as well as automated loan applications (BK Quick). BK Group also provides 24/7 customer support to ensure that its customers have access to the guidance they need to resolve issues promptly whenever they arise.

3. **Digitalization**: As the world around us increasingly turns to new digital solutions to maximize value creation, in 2023, the Group placed a growing focus on digitalizing its product offering and customer experience. Efforts during the past 12 months have focused on upgrading the Group's entire digital product suite to ensure it remains at the forefront of the industry in terms of product and service offering, user experience, and data security. The consistent improvement of BK Group's digital offering has reflected in the steady rise of registered and active users across its platforms, with total internet banking registrations reaching 56,000 in December 2023 versus 43,000 at the end of the previous year.

4. **Transparency**: Across our operations, we strive to be fully transparent on our fees, terms, and conditions to build trust with customers. In line with the Financial Service Consumer Protection Regulation, we provide clear and easily understandable information about our products and services, including interest rates, account fees, and loan terms, to help customers make informed financial decisions and empower them through greater financial independence.

5. **Customer Relationship Management (CRM):** To ensure continued customer satisfaction, we have recently rolled out a new CRM tool across the Group to assist in handling customer complaints, tracking resolution times, and capturing feedback on the complaint resolution process. Through the CRM system, BK Group can accurately pinpoint gaps in customer service and implement methods of client communication improvements.

6. **Feedback**: Through our IKAZE platform, which is now installed across our entire branch network, the Group actively seeks feedback from its customers, rating services provided in real-time and allowing written feedback through the platform. The Group also runs quarterly and yearly customer satisfaction surveys to ensure the quality of its services and customer experience are consistently monitored and improved.

The consistent adherence to our multi-pillar approach has continued to generate the desired results, with the Group's 2023 NPS recording 79, well ahead of industry averages in the country.

Digital Clients as of December 2023

Clients	BK App	Internet Banking	Mobiserve	Agents	Cards Issued
Total onboarded	58,049	56,082	186,053	730	45,386
Active	19,350	9,485	69,176	4,470	73,298

Throughout 2023, BK Group relied on three main policies to guarantee that clients are receiving top-tier customer service at all stages. The Complaints Handling Policy places significant emphasis on customer complaints, recognizing that direct client feedback is the cornerstone of developing the business and providing positive experiences for our clients. Meanwhile, the Customer Care and Service Delivery Policy ensures that we remain committed to providing excellent customer service, and the Transparency and Disclosure Policy ensures fairness in all business practices that BK Group and employees create and in which they engage.

Consumer Protection

Prioritizing the safety and privacy of our clients' data, BK Group takes measures to ensure that our clients' information is protected throughout every interaction, in line with the Financial Service Consumer Protection Law (FSCP) regulations.

As the threats posed by cyberattacks continue to evolve and expand, BK Group has introduced several new initiatives throughout the year to ensure its protection and mitigation measures remain in line with the latest global standards to effective safeguarding against potential cyber risks.

Throughout the year, BK Group developed and implemented a comprehensive cybersecurity strategy, specifically tailored to address the risks faced by the Group. Through this strategy, the Group seeks to fortify its cybersecurity protocols by conducting regular risk assessments, performing vulnerability scans, and providing security awareness training for its employees.

Additionally, the Group adopted ISO 27001 standards for Information Security Management Systems (ISMS), establishing frameworks for both managing and protecting sensitive client information. To ensure its compliance with ISO 27001 requirements, we implemented rigorous controls and processes to mitigate information security risks.

During 2023, BK Group also implemented several data protection measures to ensure compliance with Rwanda's data protection and privacy laws, including the General Data Protection Regulation (GDPR) aspect. To this end, we implemented encryption techniques, enforcing access controls to safeguard sensitive information and ensure compliance with regulatory requirements.

Finally, to limit the effects of any potential future cybersecurity incidents, we designed and implemented a robust incident response protocol, configured to detect, respond to, and recover from security incidents. As part of this framework, we established clear roles and responsibilities for key personnel, defined escalation procedures, and conducted regular drills to enhance our preparedness for future events.

These key initiatives implemented throughout the year serve to highlight our commitment to strengthening our security defenses and protecting our clients' data from all angles. By proactively assessing vulnerabilities and conducting regular sweeps of our systems, as well as having in place defined frameworks and guides for incident response, we can guarantee the privacy of our customers' information and continue gaining the trust of our communities.

Responsible Banking

BK has remained committed to promoting financial inclusion across Rwanda while maintaining sustainable operations and enhancing the standards of living of the communities it serves. As the country's largest financial services group, BK has consistently played a frontline role in helping the Rwandan government achieve its target of total financial inclusion by 2024, providing the products, access, and knowledge needed to deliver on this goal.

Additionally, the Group undertakes a wide range of initiatives to ensure that sustainability remains at the center of all its strategies and operations. To this end, BK Group implemented an Environmental and Social Management System (ESMS) tool to identify the environmental and social risks associated with its projects, scheduled to be launched in 2024. This helps quantify the Group's positive and negative impacts and ensure that its initiatives result in a positive social impact across its footprint.

During the year, the Group signed key partnerships with electric vehicle providers to convert a portion of its fuel-operated fleet to electric vehicles. BK is also a member of the United Nations Global Compact (UNGC) and wholeheartedly supports the Ten Principles of the UNGC on human rights, labor, environment and anti-corruption.

Finally, to ensure a positive indirect environmental and social impact, BK conducts due diligence on all credit proposals. The Group also sets forth terms for its corporate clients, conducting regular visits to corporate customers to identify any potential sustainability risks. For corporate clients with high environmental and social risks, specifically, the Group includes covenants in its contracts, ensuring no negative impacts from its investments affects its communities.

Social Development

Overview

BK Group is deeply committed to advancing sustainability in Rwanda, firmly believing in its capacity to address critical societal issues, particularly through its recently launched subsidiary, BK Foundation. Integral to the Group's strategy is its commitment to advancing the welfare and development of Rwandan society. BK Group dedicates itself to impactful social initiatives that harmonize with both local and international agendas, seamlessly integrating with Rwanda's National Strategy for Transformation (NSTI), Vision 2050, the 14 Sustainable Development Goals (SDGs), and the African Union Agenda 2063.

CSR Strategy:

Leveraging the BK Foundation for Social Development

The Group prioritizes projects with maximal societal impact, covering a range of social concerns, encompassing poverty alleviation, malnutrition mitigation, environmental preservation, gender parity promotion, and the establishment of shelters for vulnerable groups such as women and orphans. Additionally, we actively engage in various rural development ventures. In January 2023, the company established the BK Foundation as its philanthropic arm, dedicated to the common good. As part of its three-year impact strategy, the Foundation is expanding its philanthropic activities, focusing on education, innovation, and environmental conservation for the benefit of the Rwandan community. BK Foundation advances the comprehensive CSR strategy. By adhering closely to the group's CSR goals, the Foundation channels resources towards projects that align with its core pillars. Through strategic grant allocations, the Foundation actively contributes to the Group's commitment to social responsibility, driving positive change, and fostering sustainable development within the communities it serves.

To ensure the fruition of these social development endeavors, BK Group diligently procures requisite funding through diverse financing avenues. This entails harnessing donations, fostering sponsorships, and forging strategic alliances with key stakeholders in sustainable development. Through unwavering support for these initiatives, we remain steadfast in our commitment to driving transformative change and nurturing sustainable development within Rwanda and beyond.

Development

The Group endeavors to assist the government in achieving a fully banked population of the country by 2024. To fulfill this objective, we actively engage in advocating for social development through various initiatives aimed at improving the quality of life for individuals in all areas. Additionally, the BK Foundation plays a vital role in supporting these efforts by implementing programs that contribute to societal progress and financial inclusion.

Forward-Looking Strategy

As we pursue our mission to improve the lives of the Rwandan people through sustainable development, BK Group is ready to amplify its impact with the support of our newly established philanthropic arm, the BK Foundation. Aligned with BK Group Strategy, UN's SDGs, and the objectives of the Rwandan government, our forward-thinking strategy aims to expand our reach across key sectors such as education, health, poverty alleviation, and environmental conservation.

Looking ahead, we are dedicated to increasing our efforts and involvement in these crucial areas, reaching more segments of the population, and exploring innovative approaches to community impact. Through these endeavors and the establishment of the BK Foundation, we are reaffirming our commitment to making a meaningful difference in Rwanda's societal development and fostering a brighter future for all Rwandans.

Our Environment

Acknowledging our responsibility to mitigating the environmental impact of our operations across our subsidiaries, we remain wholeheartedly dedicated to supporting Rwanda's environmental preservation efforts. As such, we continue to focus on the environmental impacts of our operations, minimizing our carbon footprint and preserving the environment, both directly through our head office and branch network, and indirectly through our loans and financing operations.

In line with this commitment to societal betterment, we launched our newest subsidiary in 2023, the BK Foundation, aligning with Rwanda's National Strategy for Transformation 2050 Goals, The Africa We Want 2063 Goals, and The Sustainable Development Goals (SDGs). With a strong focus on environmental conservation, the Foundation is actively engaged in achieving measurable impact within Rwandan communities. Specifically targeting SDG13: Climate Action, we have implemented frameworks to measure and reduce our carbon footprint, ensuring compliance with national environmental laws, particularly Law N°48/2018, which provides guidelines for environmental protection, conservation, and promotion.

In tandem with these commitments, the Bank joined the United Nations Global Compact in 2023, demonstrating our drive to embrace sustainable and socially responsible practices. The UN Global Compact supports businesses worldwide in adopting best practices, with its core principles covering key areas including Environment, Labor, Human Rights, and Anti-corruption. By ensuring these vital issues remain central to our operations, our membership offers access to invaluable networking opportunities, tools, training sessions, and a platform for exchanging best practices with a global network of leading companies.

Sustainability Through Digitalization

A core aspect of our environmental conservation involves transitioning towards a cashless banking model by enhancing and expanding digital service offerings. This shift significantly reduces our carbon footprint by decreasing paper usage for client services and conserving resources including electricity, water, and waste emissions at physical branches. Moreover, a substantial portion of our internal processes has transitioned to paperless systems, utilizing digital signatures and other electronic methods. Our partnership with DirectPay Online Rwanda (DPO) further promotes digitalization, enabling BK clients to access efficient e-commerce and payment services through DPO's comprehensive platform. To bolster digital services, we successfully introduced five new features on our digital platform, allowing BK clients to conveniently pay various bills online, from water bills to school tuition, directly from their homes.

Sustainable Practices and Conservation Efforts

We have recently implemented systems to reduce electricity consumption at both our head offices and branches by installing eco-friendly equipment and LED lighting across various operational areas. In conjunction, we have prioritized staff education and awareness, ensuring they are informed on energy-saving practices. This transition has led to significant cost savings over the years, with an estimated monthly saving of up to FRw 4 million.

Additionally, we adhere to regulations set by the Rwanda Utilities Regulatory Authority regarding the disposal of e-waste, ensuring it's managed in the most sustainable manner possible. To minimize waste generation throughout our activities and value chain, we've initiated measures to reduce our waste footprint. This includes recycling construction materials, such as aluminum partitions, glass, and MDF boards, from previously demolished buildings, yielding both waste management and cost reduction benefits. Finally, the Bank has begun replacing a portion of its fleet with electric vehicles to further reduce its carbon footprint.

A Look Ahead

Looking ahead, BK Group remains steadfast in its commitment to spearheading robust environmental policies across the Group and its subsidiaries. Over the course of 2024, we aim to establish a comprehensive ESG strategy, setting measurable milestones in the years to come. We will further expand our initiatives, particularly through the BK Foundation, collaborating closely as a group to mitigate our environmental impact. Partnering with strategic local environmental partners, we will continue to lead initiatives aimed at advancing environmental sustainability, agroforestry, and the conservation of natural resources.

06.

Governance

Anti-Corruption

Bank of Kigali Plc is fully committed to preventing corruption by maintaining ethical behavior among its staff, customers, suppliers, contractors, other providers of our sourced activities, representatives, and agents.

Corruption has both financial and reputational costs, not only on the Bank but the entire country. In this respect, the Bank has a zero-tolerance policy toward actual or attempted bribery. In fighting corruption and in execution of the anti-corruption policy, and in accordance with the law No 54/2018 of 13/08/2018 on fighting against corruption, the Board of Directors of Bank of Kigali Plc approved the Anti-Corruption and Anti-Bribery Policy in November 2018 and reviewed it in 2022 to guide the Bank in this endeavor.

The policy is applicable to all of the Bank's employees, including senior managers, directors, and third-party service providers (suppliers, agents, and sponsors). The policy prohibits accepting, offering, paying, granting, or authorizing bribes. The policy clearly states that the Bank's operations, including lending and staff engagement with stakeholders, should be conducted with utmost honesty and integrity and without the use of corrupt practices. The policy prohibits offering or receiving bribes on behalf of Bank of Kigali to gain business advantage either in lending or deposit taking.

The policy sets out processes and mechanisms to fight corruption in Bank of Kigali, including the following:

- Gifts and entertainment that a Bank of Kigali staff can offer or receive in a one-off event are limited to FRw 50,000 and to an annual cumulative value of FRw 200,000. The policy requires any other gift received outside the set limit to be reported to the Bank.

Risks

Incidences of corruption and other unethical behavior are taken into account in any assessment. Corruption cases are investigated as part of fraud investigations, which are conducted whenever a suspicious or detected fraud act occurs.

Training

The anti-corruption initiatives, including the policy, have been approved by the Board of Directors of Bank of Kigali Plc. The policy is cascaded to the executive management, heads of departments, and 100% of the entire staff. All business partners, including suppliers and agents, have been informed of our Anti-Corruption Policy. Furthermore, out of our 1,093 employees, consisting of 841 officers, 238 managers and Heads of Departments (HoDs), and seven Executive Committee members, have undergone training on anti-corruption measures.

There have been two incidents of corrupt practices in 2023, and all staff involved have had their contracts terminated. During the reporting period, there have been no public legal cases regarding corruption brought against the organization or its employees.

Risk Management

The Group's philosophy surrounding risk culture is anchored by an all-encompassing approach, which acknowledges that proper risk management is company-wide responsibility and not that of a single team or committee. The Group is actively engaging with employees at every managerial level across its operations and business divisions to ensure that they are well-versed and comply with the its risk management policies.

The Group boasts a comprehensive risk and compliance framework that complies with the most effective standards for risk management, as well as the applicable regulations and laws, and acts as the driving force behind its ability to manage and balance financial and non-financial risks. The Group's risk management process is structured in a manner that allows its risk officers and managers to accurately identify, measure, monitor, and control a variety of risks. The Group's risk management program is guided by a multitude of regulatory frameworks that cover a variety of areas, including:

- Risk Management for Banks
- Credit Classification and Provisioning
- Corporate Governance
- Management of Related Parties and Credit Concentration Risk
- Capital and Liquidity Requirements for Banks
- Business Continuity Management

Our Risk Organization's Structure

The Group's operations are regulated by Rwanda's Central Bank, the National Bank of Rwanda (BNR). In its efforts to comply with and ensure proper alignment with the BNR's regulatory requirements, the Board of Directors established the Board Risk Committee (BRC). The BRC is responsible for overseeing the formulation of risk management policies and adherence to risks appetites in coordination with the Group's four lines of defense. Additionally, the BRC ensures that risk management policies are regularly updated to be in line with the Group's strategy, the BNR's regulatory requirements, and international best practices.

Risk Outline and Policies

Risks	Procedures and Measurements	Outcomes in 2023
Credit Risk	Policies and procedures, including credit approval matrices and a credit review system that utilizes standardized measures and ratios to monitor the health of the Group's portfolio, are in place.	The Group's policies and procedures have allowed the Group to maintain a healthy loan portfolio. Regular monitoring of loan portfolio metrics enables the identification of early warning indicators of distress, allowing the Group to take proactive measures in developing recovery strategies.
Market Risk	The Group manages market risk by monitoring currency risk and interest rate risk. The Board of Directors sets limits on the level of exposure by currency and in total for both overnight and intra-day positions, which are monitored daily. Moreover, hedging strategies are used to ensure that positions are maintained within the established limits.	The Group continued to closely monitor foreign exchange positions and exchange rate movements to mitigate the risk of revaluation losses. All key metrics, including LCR, NSFR, and NOP, are maintained within internal and regulatory limits.
Operational Risk	An operational risk management program that manages behavioral risk, cyber risk, credit risk, and compliance risk. The Bank utilizes the Basic Indicator Approach to measure and maintain operational risks across the Group's divisions.	The Group maintained regular monitoring and reporting of its operational risk profile and continued to train its employees to prepare for any and all potential risks that may arise
Concentration Risk	Controls and measures to minimize undue concentration of exposure in the Group's two client segments. These include portfolio and counterparty limits, as well as approval and review controls.	The concentration risk per name and group concentration, economic sector, and business segment was closely monitored, and efforts were deployed to minimize the concentration risk to the maximum allowable limits. Notable efforts were made by the Bank of Kigali to maintain a more strategically diverse portfolio by promoting lending services to retail and SME clients.
Capital and Solvency Risk	An actively managed capital base to cover risks inherent in the businesses through its Asset-Liability Committee (ALCO). The adequacy of the Group's capital is monitored using, among other measures, the rules and ratios established by the National Bank of Rwanda.	Maintained a strong capital base and maintained investor, creditor, and market confidence, and successfully continued to sustain the future development of the business. As at the end of 2023, the Bank's CAR stood at 19%, quite above both internal and regulatory limits.
Funding Risk	A multitude of ratios are used as essential indicators for the risks associated with project cashflows.	Maintained a strong capital base and maintained investor, creditor, and market confidence, and successfully continued to sustain the future development of the business.
Liquidity Risk	The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. The daily liquidity position is monitored, and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions.	Maintained sufficient liquidity to meet its liabilities when due under both normal and stressed conditions without incurring unacceptable losses or risking damage to the Group's reputation. The liquidity coverage ratio was maintained at 202.1% and net stable funding ratio at 128.9% as at the end of 2023.

Compliance

The Group is fully committed to complying with the highest standards associated with banking and financial regulatory frameworks and policies. It is constantly aiming to set the bar for sound and ethical business practices to ensure the best interest of the Group's stakeholders and align with international best practices.

The Group is committed to implementing all regulations, including Regulation n° 55/2022 of 27/10/2022 relating to financial service consumer protection and Law Nº 058/2021 of 13/10/2021 relating to the protection of personal data and privacy.

The Board is responsible for putting in place policies that align with the regulations. It maintains oversight on regulatory compliance by receiving and assessing, on a quarterly basis and whenever required, various reports from management, including compliance, risk, and internal and external audit reports, all of which allow it to make an informed decision and take measures that ensure. The Group is subjected to regulatory audits through onsite inspections and offsite reviews. These audits by the regulator complement the work done by the Group's three lines of defense, namely the compliance, risk, and internal audit functions. These internal control functions are an essential component of the Group's compliance framework, as they bolster its ability to identify, measure, and mitigate significant risks to the Group's operations.

Tax Compliance

The income tax expense for the period is the tax payable on the current period's taxable income, based on the income tax rate applicable for Rwanda and adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted at the end of the reporting period in Rwanda. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to tax authorities.

The Group complies with tax law to ensure automation is implemented in core banking to collect taxes automatically where applicable and proper tax set-up is executed in ERP to ensure that taxes are correctly captured during payment processes. Monthly tax returns are prepared by a tax accountant and reviewed by direct supervisors within the Finance department (Group Finance Manager and Group Head of Finance), and the payment is completed within the specified timelines stipulated by tax law. The tax health check is conducted annually by an external advisor with experience in applicable tax laws in Rwanda. They provide guidance on compliance as needed. Additionally, we engage tax authority directly in case of guidance or any dispute regarding tax. The Group also uses Rwanda Banker's Association (RBA), BNR, MINECOFIN, and other tax practitioners, including professional audit firms, for collecting and considering the views and concerns of stakeholders, including external stakeholders.

Corporate Governance Framework

The Group has established a Group Corporate Governance Framework which is now implemented across all subsidiaries

BK Group places the principles of good governance practices at the core of its values and efforts to create and sustain shareholder value for each and every one of its stakeholders. As the country's leading Holding Company, it works continuously to ensure it upholds the highest ethical and legal standards and maintains transparency. In light of its commitment to safeguarding and improving shareholders' value through transparent best practices in line with local regulatory standards and international best practices, the Group's governance framework facilitates checks and balances and ensures the application of appropriate controls. The framework centers on authority, accountability, stewardship, leadership, direction, and control and ensures that the Board and senior management's responsibilities and functions are clearly defined.

BK Group Plc Board

As of 31 December 2023, the BK Group Plc Board comprised seven directors:

N◦	Name	Directorship type	Date of appointment
1.	**Marc Holtzman (Chairperson of the Board)**	Independent	6 February 2019. (Appointed to another Board of Directors on 31 March 2023)
2.	**Jean Philippe Prosper (Chairperson of the Board)**	Independent	27 June 2023
3.	**Darren K. Smith**	Independent	11 February 2022
4.	**Gilbert Nyatanyi**	Non-Independent	28 September 2021 (Resigned on September 11th, 2023)
5.	**Sonia M. Kubwimana (Vice Chairperson of the Board)**	Independent	15 November 2021
6.	**Roselyne Uwamahoro**	Independent	7 June 2022
7.	**Francis Gatare Kabera**	Non-Independent	24 August 2022
8.	**Achumile Majija**	Independent	26 April 2023

BK Group Plc Committees:

Nomination and Governance Committee

Members of the Nomination and Governance Committee are appointed by the Board, and the Company Secretary acts as the Secretary to the Committee. The Committee takes the lead on all major C-suite level, senior, full-time hires and all subsidiaries' Board vacancies, and it deals with all corporate governance issues across the Group. It is also tasked with setting and reviewing the oversight of the strategic matters related to people and governance, including employee retention, equality and diversity, other significant employee relations matters, and compliance with all corporate governance requirements.

Following Corporate Governance best practice on bonus process establishment, BK Group Plc bonuses are established after a detailed review of individuals' performance against targets set at the beginning of the year.

The bonus pool is set after reviewing the overall performance of the Group against the year's targets.

Finally, the Governance and Nomination Committee reviews and approves Group Staff compensation and bonuses.

The policies fall in line with the requirement of the Law N° 007/2021 du 05/02/2021 Governing Companies in Rwanda, especially its article 164 on disclosure of remuneration and other benefits for directors and other employees under its paragraph 5 which states that: "The company competent organ shall disclose to the shareholders the total compensation, including bonuses and incentive schemes, paid to each director, managing director, executive director and any other officer or manager who has responsibility for management and operation of current activities of the company. Such disclosure must be made at least once annually and shall in any event be included in the notice inviting shareholders to each annual general meeting of shareholders."

Based on this, **BK Group Plc** provides full disclosure of each individual Group Board Member's remuneration and similar information is provided for the BK Group Plc Subsidiaries Chief Executive Officers/ Managing Directors.

Investment Committee

Members of the Committee are appointed by the Board, and the Company Secretary acts as the Secretary to the Committee. The Investment Committee's role is to determine, implement, and review an investment strategy to deliver the Group's agreed investment objectives. The Committee reviews and recommends to the full Board the Group's internal and external significant investments. It reviews the appropriateness of the Group's investment strategies, whether the investment performance and investment risk levels appropriately reflect the chosen investment strategies, whether investment performance meets expectations relative to projected performance and objectives, and risk exposure for various asset classes, and it provides guidance on corrective action.

BK Group Plc Board Total Annual Remuneration in FRw'000

N◦	Name	2023	2022
1.	**Marc Holtzman**	194,153	315,817
2.	**Sonia Masimbi Kubwimana**	34,774	27,247
3.	**Gilbert Nyatanyi**	18,346	27,247
4.	**Darren Smith**	43,988	20,824
5.	**Roselyne Uwamahoro**	29,881	10,437
6.	**Francis Gatare Kabera**	31,113	10,437
7.	**Jean Philippe Prosper**	52,155	-
8.	**Majija Achumile**	18,438	-

BK Group Plc Subsidiaries CEO/MD Total Annual Remuneration in FRw'000

No	CEO/MD's Name	Subsidiary	2023	2022
1.	**Béata U. Habyarimana**	BK Group	318,673	-
2.	**Dr. Diane Karusisi**	Bank of Kigali Plc	471,720	389,254
3.	**Alex Bahizi**	BK General Insurance Ltd	256,495	233,796
4.	**Siongo Kisoso**	BK Capital Ltd	156,551	144,704
5.	**Ingrid Karangwayire**	BK Foundation Ltd	58,076	-
6.	**Deogratius Stephen Massawe**	BK TecHouse Ltd	174,950	-

Bank of Kigali Plc Board

Bank of Kigali Plc is governed by a Board of Directors elected by the Bank's shareholders. The Board is accountable to the shareholders for the Bank's overall performance and is collectively responsible for its long-term success. The Board determines the Bank's strategic objectives and policies to deliver long-term value, providing overall strategic direction within a framework of rewards, incentives, and controls. It also ensures that management strikes an appropriate balance between promoting long-term growth and delivering short-term objectives. The Board ensures that the Bank effectively manages risks and monitors financial performance and reporting.

The Board is currently structured with two non-independent directors and five independent directors, including the chairman. The Board determines its size and composition, subject to the Bank's Articles of Association, Board Charter, and applicable laws.

As of 31 December 2023, the Bank of Kigali Plc Board comprised seven directors:

N◦	Director	Directorship type	Date of appointment
1.	**Rod Reynolds (Chairman)**	Independent	06 February 2019
2.	**Regis Rugemanshuro (Vice Chairman)**	Non-Independent	29 September 2020
3.	**Angela Wamola**	Independent	02 March 2023
4.	**Risper Alaro Mukoto**	Independent	11 February 2019
5.	**Laban Bayingana**	Non-Independent	03 October 2023
6.	**William Juma Arogo**	Independent	12 March 2020
7.	**Ubalijoro Eugene**	Independent	25 November 2020

Board Operations and Control

The Board's executive and non-executive directors act in accordance with the Bank's Memorandum and Articles of Association to promote the success of the Bank for the benefit of all stakeholders. The Board is governed by and is in full compliance with the law governing Companies in Rwanda, Company's Memorandum and Articles of Association, Board Charter, and BNR Regulation on Corporate Governance for Banks, as well as any other relevant laws or regulations as enacted by the government or the regulator. In accordance with the Board Charter, directors are appointed by the Bank's shareholders through the execution of a shareholders' resolution. The selection process of Board Directors adheres to a number of criteria, including, but not limited to, financial literacy, leadership qualities, technical skill, and diversity. As part of the Bank's continued commitment to promoting diversity among its ranks, academic qualifications, technical expertise, relevant industry knowledge, experience, nationality, age, and gender are also taken into consideration. Executive and non-executive directors share the same responsibilities in relation to the Bank.

The Board is tasked with creating and delivering sustainable stakeholder value through determining the Group's strategic objectives and policies to deliver long-term value. The Board also ensures that management strikes an appropriate balance between promoting long-term growth and delivering short-term objectives. As the decision-making body, the Board's mandate includes the approval of quarterly, half yearly, and full year financial statements; significant changes in accounting policy and practice; the review of the Chief Executive Director's performance; the appointment or removal of directors and the company secretary; changes in capital structure and major acquisitions, mergers, disposals, or capital expenditure; and the approval of dividends and the annual budget.

The Board meets at least once per quarter, and all directors are expected to attend each meeting. Each member is required to attend at least 75% of the Board meetings in any financial year. Members who fail to attend meetings as required are to resign. In 2023, the Board held four Ordinary Meetings and one Extraordinary Meeting.

Board Committees

The Board may establish committees and appoint their members as deemed necessary, with committees primarily serving to assist the Board in the execution of its mandates. Any committee shall, in the exercise of its powers, conform to the regulations laid down by the Board. Committee members are expected to attend each committee meeting.

The responsibility of the determination of committees' terms of reference lies with the Board. The committees must render reports to the Board at quarterly meetings. In accordance with these guidelines, the Board currently has five committees under its purview, each of which meets regularly under well-defined and materially delegated terms of reference set by the Board.

Board and Committee Participation

No:	Director	Directorship Type	Board	Audit Committee	Risk Committee	Credit Committee	Nomination and Remuneration Committee	IT Committee
1.	Rod Reynolds	Independent	5/5	N/A	N/A	N/A	N/A	N/A
2.	Regis Rugemanshuro	Non-Independent	5/5	N/A	4/4	7/9	N/A	4/4
3.	Reuben Karemera	Non-Independent	3/3	2/2	N/A	5/5	2/2	N/A
4.	Laban Bayingana	Non-Independent	1/1	1/1	N/A	2/2	1/1	N/A
5.	William Juma Arogo	Independent	5/5	N/A	4/4	9/9	N/A	N/A
6.	Eugene Ubalijoro	Independent	5/5	4/4	N/A	N/A	4/4	4/4
7.	Risper Alaro Mukoto	Independent	5/5	4/4	N/A	N/A	4/4	N/A
8.	Angela Wamola	Independent	5/5	N/A	4/4	N/A	N/A	4/4

Nomination and Remuneration Committee

The Nomination and Remuneration Committee is tasked with setting and reviewing the oversight of strategic people-related matters, including employee retention, equality, and diversity, as well as other significant employee relations matters.

The Committee advises the Board on and leads the process for Board appointments, and it ensures that the Board and its committees have an appropriate balance of skills, experience, availability, independence, and knowledge of the Company that enable them to discharge their respective responsibilities effectively. It also advises the Board on developing an overall remuneration policy that is aligned with the Company's business strategy and objectives, risk appetite, values, and long-term.

The Committee also advises the Board on salaries, bonuses, employee contracts, severance retirement benefits, and share-based or long-term incentive schemes. It is chaired by an Independent Director.

Credit Committee
The Credit Committee is responsible for the approval of the Bank's credit facilities. It reviews all credits granted by the Bank and approves specific loans above the Management Credit Committee's authority limit, as may be defined from time to time by the Board. The Committee is also responsible for ensuring that the Bank's internal control procedures in the area of risk assets remain high to safeguard the quality of the Bank's risk assets. Given the volume of transactions that require Credit Committee approvals, instances may arise in which credits will need to be approved by members expeditiously between Credit Committee meetings. Such urgent credits are circulated among the members for consideration and approval, in accordance with a defined procedure that ensures that all members of the Committee receive full information on such credits.

Audit Committee
The Board's Audit Committee must ensure the Bank's compliance with all the relevant policies and procedures laid out by regulators and the Board of Directors. It is tasked with the approval of the internal auditors' annual audit plan, review and approval of the audit scope and plan of the external auditors, and review of the audit report on internal weaknesses observed by both the internal and external auditors. It must ascertain whether the Bank's accounting and reporting policies comply with legal requirements and agreed ethical practices.

The Committee also reviews the Bank's annual and interim financial statements, including reviewing the effectiveness of the Bank's disclosure controls and of internal control, and areas of judgment involved in the compilation of the Bank's results. It is responsible for the review of the integrity of the Bank's financial reporting and must oversee the independence and objectivity of the external auditors. The Committee shall have access to external auditors to seek explanations and additional information.

The Chairman of the Board does not have membership in the Audit Committee but may be invited to attend meetings as deemed necessary by the Committee.

Board Risk Committee
The Board Risk Committee is responsible for the implementation of a sound risk management program to enable the effective identification, measurement, control, and monitoring of all risks affecting the Bank, as well as an effective HR and compensation structure, policies, and programs.

The Committee must review and assess the integrity of the risk control systems and ensure the effective management of risk policies and strategies. It is tasked with setting out the nature, role, responsibility, and authority of the risk management function within the Bank and outlining the scope of risk management work, including the Assets Liability Committee (ALCO), which is operational at the Bank's management level. The Committee discusses the risk strategies on an aggregated basis and by type of risk, and it issues recommendations to the Board accordingly. Additionally, it reviews the Bank's risk profiles at least annually and ensure management's implementation of processes to promote the Bank's adherence to the approved risk policies.

The Risk Committee's mandate includes advising the Board on the Bank's overall current and future risk appetite, overseeing senior management's implementation of the Risk Appetite Statement, and reporting on the state of the Bank's risk culture. The Committee provides independent and objective oversight and review of the information presented by management on corporate accountability and specifically associated risk, taking account of risk concerns raised by management in the Audit Committee and Asset and Liability Committee meetings on financial, business, and strategic risks.

Board IT Committee
The Board IT Committee is to oversee the IT Steering Committee and the implementation of the requirements set out in the relevant cybersecurity laws and regulations. Accordingly, it must investigate activities within this scope, seek information from any employee, and seek external experts, if it is deemed necessary.

The Committee must work in partnership with other Board Committees and senior management to provide input on, review, and amend the aligned corporate and IT strategies.

Company Secretary Mandate
As per the Bank's Board Charter, the Company Secretary provides a point of reference and support to all directors and will consult regularly with directors to ensure that they receive required information. The Board may obtain information from external sources, such as consultants and other advisers, either via the Company Secretary or directly, if there is a need for outside expertise. The Secretary advises members of the Board of Directors on their responsibilities and powers.

The Company Secretary is also responsible for assisting the Board and management in the implementation of this Code, coordinating the orientation and training of new directors and the continuous education of directors. This is in addition to assisting the Chairman and Chief Executive Director in formulating an annual Board Plan and with the administration of other strategic issues at the Board level, organizing Board meetings, and ensuring that the minutes of Board meetings clearly and properly capture the Board's discussions and decisions.

External Auditor
The audit or review conducted by the external auditor provides a further level of protection of the integrity of the financial statements. The Audit Committee oversees the external audit function. This includes reviewing and approving the external audit plan and engagement and assessing the performance of the external auditor.

Whereas the Directors are responsible for preparing the accounts and for presenting a balanced and fair view of the financial position of the Bank, the external auditor, Ernst and Young, examines and gives their opinion on the reasonableness of the financial statements. The independence of the external auditor is key to the integrity of the audit function. The external auditor is invited to meetings with the Audit Committee and reports independently and directly to the Board every quarter for interim results and at the end of year Board meetings.

BK Capital

Board Attendance

Director's Name	Category	Meetings Attended
Moses Kiiza	Independent	4/4
Flora Nsinga	Non-independent	4/4
Benjamin Mutimura	Non-independent	2/4

Remuneration

Director's	2023 (FRw)	2022 (FRw)
Moses Kiiza	2,857,148	2,857,148
Flora Nsinga	1,714,284	1,714,284
Benjamin Mutimura	857,142	1,714,284
Total	**5,428,574**	**7,142,858**

BK General Insurance

Board Attendance

Director's Name	Category	Meetings Attended
Chantal Habiyakare	Chairperson	3
Jean Enoch Habiyambere	Vice chairperson	4
Noella M. Mupole	Director	3
Yves Gatsimbanyi	Director	4
Shehzad Noordally	Director	4
Patrice Bastide M.G.M	Director	4
Athanase Rutabingwa	Director	3

Remuneration

Director's	2023 (FRw)	Director's	2022 (FRw)
Chantal Habiyakare	5,000,000	Sandra Rwamushaija	4,285,714
Jean Enoch Habiyambere	10,000,001	Jean Enoch Habiyambere	10,857,146
Noella M. Mupole	5,000,000	Jack N. Kayonga	5,285,716
Athanase Rutabingwa	5,000,000	Nathalie Mpaka	6,142,861
Shehzad Noordally	8,285,714	Shehzad Noordally	8,000,004
Yves Gatsimbanyi	7,428,571	Yves Gatsimbanyi	7,428,575
Patrice Bastide M.G.M	7,428,571	Patrice Bastide M.G.M	5,714,289
Total	**48,142,857**	**Total**	**47,714,305**

BK TecHouse

Board Attendance

Director's Name	Category	Meetings Attended
Nathalie Munyampenda	Independent	4/4
Dr. Diane Karusisi	Non-independent	4/4
Samuel Nshimiyimana	Non-independent	2/4

Remuneration

Director's Name	2023 (FRw)	2022 (FRw)
Nathali Munyampenda	1,714,286	1,714,284
Dr. Diane Karusisi	1,714,286	1,285,713
Samuel Nshimiyimana	1,714,286	1,714,284
Total	**5,142,858**	**4,714,281**

BK Group Board of Directors

Jean Philippe Prosper
Chairman

Darren K. Smith
Board Member

Gilbert Nyatanyi
Board Member

Sonia M. Kubwimana
Board Member

Roselyne Uwamahoro
Board Member

Francis Gatare Kabera
Board Member

Achumile Majija
Board Member

Marc Holtzman
Board Member

Bank of Kigali Board of Directors

Rod Reynolds
Chairman

Regis Rugemanshuro
Vice Chairman

Angela Wamola
Board Member

Risper Alaro Mukoto
Board Member

Laban Bayingana
Board Member

William Juma Arogo
Board Member

Eugene Ubalijoro Kabera
Board Member

Béata U. Habyarimana
Board Member

BK General Insurance Board of Directors

Chantal Habiyakare
Chairperson

Jean Enoch Habiyambere
Vice Chairperson

Noella Mupole
Board Member

Yves Gatsimbanyi
Board Member

Shehzad Noordally
Board Member

Patrice Bastide
Board Member

Athanase Rutabingwa
Board Member

BK Capital Board of Directors


Moses Kiiza
Chairman


Flora Nsinga
Board Member


Benjamin Mutimura
Board Member

BK TecHouse Board of Directors


Nathalie Munyampenda
Chairperson


Dr. Diane Karusisi
Board Member


Samuel Nshimiyimana
Board Member

BK Foundation Council Members


Bonaventure Urimube


Adolphe Ngunga


Jacqueline Nkwihoreze

07.

Financial Statements

BK GROUP PLC
DIRECTORS AND STATUTORY INFORMATION
FOR THE YEAR ENDED 31 DECEMBER 2023

The directors that served during the year and to the date of this report are shown below:

DIRECTORS

Non-Executive and Independent Directors

Mr. Marc Holtman - Chairman
Mr. Jean Philippe Prosper Chairman, Appointed 19 May 2023
Sonia Masimbi Kubwimana
Darren Keith Smith
Roselyne Uwamahoro
Majija Achumile

Non-Executive and Non-Independent Directors

Francis Gatare
Gilbert Nyatanyi (Resigned on September 11th 2023)

GROUP CHIEF EXECUTIVE OFFICER

Béata Uwamaliza Habyarimana

SECRETARY

Emmanuel Nkusi
9 KN 3 Ave, Kigali
P.O Box 175
Kigali-Rwanda

AUDITOR

Ernst & Young Rwanda Limited
Certified Public Accountants
M-Peace Plaza Executive Wing, 6th Floor
KN 4 Avenue 72 St
PO Box 3638
Kigali - Rwanda

REGISTERED OFFICE & PRINCIPAL PLACE OF BUSINESS

BK Bank PLC Building
KN4 Ave No 12, Plot No 790
P.O Box 175
Kigali-Rwanda

ADVOCATES

Mr. Emmanuel Rukangira
P.O Box 3270
Kigali-Rwanda

Mr. Athanase Rutabingwa
P.O Box 6886
Kigali-Rwanda

BK GROUP PLC
REPORT OF THE DIRECTORS'
FOR THE YEAR ENDED 31 DECEMBER 2023

The directors have the pleasure of submitting their report together with the audited consolidated financial statements for the year ended 31 December 2023 which disclose the state of affairs of BK Group Plc and its subsidiaries (together, the "Group").

1. Principal activities

The principal activities of the Group are provision of retail and corporate banking services, insurance services, brokerage services, internet and digital services.

2. Results

The results for the year are set out on page 131.

3. Dividends

The proposed dividend for the year ended 2023 is Frw 22,444,772,983 (2022: Declared divided was Frw 29,862,155,000).

4. Reserves

The reserves of BK Group Plc are set out in note 209.

5. Directors

The Directors who served during the year and up to the date of this report are set out on page 122.

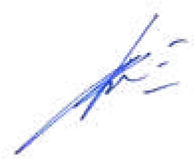
6. Auditors

The Group's auditor, Ernst & Young Rwanda Limited has expressed willingness to continue in office.

7. Approval of the financial statements

The consolidated financial statements which appear on pages 11 to 102 were authorised for issue by the Directors have the power to amend and reissue the financial statements.

BY ORDER OF THE BOARD



Emmanuel Nkusi
Company Secretary

BK GROUP PLC
STATEMENT OF THE DIRECTORS' RESPONSIBILITIES
FOR THE YEAR ENDED 31 DECEMBER 2023

The Group's directors are responsible for the preparation and fair presentation of the consolidated financial statements, comprising the consolidated statement of financial position at 31 December 2023 the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the twelve months period then ended, and the notes to the consolidated financial statements, which include a summary of significant accounting policies and other explanatory notes, in accordance with International Financial Reporting Standards and Law Law No. 007/2021 of 05/02/2021 Governing Companies as amended by Law No. 019/2023 of 30 March 2023 and for such internal control as the Directors determine is necessary to enable the preparation of the consolidated financial statements that are free from material misstatement whether due to fraud or error.

The directors' responsibilities include designing, implementing and maintaining internal control relevant to the preparation and fair presentation of these consolidated financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances. They are also responsible for safeguarding the assets of the Group.

The directors accept responsibility for the consolidated financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements No. 007/2021 of 05/02/2021 Governing Companies as amended by Law No. 019/2023 of 30 March 2023. The Directors are of the opinion that the consolidated financial statements give a true and fair view of the state of the financial affairs and the profit and cash flow for the year ended 31 December 2023.

The directors have made an assessment of the Group's ability to continue as a going concern and have no reason to believe the Group will not be a going concern for at least the next twelve months from the date of this statement.

The auditor is responsible for reporting on whether the annual consolidated financial statements are fairly presented in accordance with the International Financial Reporting Standards and Law Law No. 007/2021 of 05/02/2021 Governing Companies as amended by Law No. 019/2023 of 30 March 2023.

The Consolidated financial statements which appear on pages 11 to 102 were approved by the Board of Directors and signed on its behalf by:

Jean Philippe Propser

____
Chairman of the Board

____
Director

Béata Uwamaliza HABYARIMANA

____
Group Chief Executive Officer

BK GROUP PLC
CORPORATE GOVERNANCE STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2023

BK Group plc is committed to world class corporate governance standards as set from time to time by the National Bank of Rwanda, Capital Market Authority, Rwanda Stock Exchange and by itself in accordance with international best practise. The Board of Directors are responsible for the long-term strategic direction for profitable growth of the Group whilst being accountable to the shareholders for compliance and maintenance of the highest corporate governance standards and business ethics.

The Board of Directors

The Board is made up of four Non-Executive and Independent Directors, one Non-Executive and Non-Independent Director. The Board is provided with full, appropriate and timely information to enable them to maintain full and effective control over the strategic, financial, operational and compliance issues of the Group. The day to day running of the business of the Group is delegated to the Group Chief Executive Officer but the Board is responsible for establishing and maintaining the Group's system of internal controls so that the objective of profitable and sustainable growth and shareholders' values are realised. The Board also makes recommendations to the shareholders on Board succession planning and annual financial statements.

Board Meetings

The Board of Directors meet quarterly or as required in order to monitor the implementation of the Group's planned strategy, review it in conjunction with its financial performance and approves issues of strategic nature. Specific reviews are also undertaken on operational issues and future planning. At the end of each financial year, the Board reviews itself, Board Committees, Senior Management and the Group Chief Executive Officer against targets agreed at the beginning of the year. The Board held four meetings during the year.

Board attendance

The following table gives the record of attendance of the directors of the board for the Financial Year 2023.

Structure	Category	BK Group
Mr. Marc Holtzman -Resigned on 31 March 2023	Independent	2/4
Mr. Jean Philippe Prosper - Appointed on 19 May 2023	Independent	2/4
Mrs. Roselyne Uwamahoro	Independent	4/4
Mr. Darren Keith Smith	Independent	4/4
Mrs. Masimbi Sonia Kubwimana	Independent	4/4
Mr. Gilbert Nyatanyi - Resigned on 11 September 2023	Non-Independent	3/4
Mr. Majija Achumile	Independent	4/4
Mr. Francis Gatare	Non-Independent	4/4

Management committees

The Board has delegated the management of the business to the Chief Executive Officer of each subsidiary together with their respective Management Committees. The following management committees are in place at the subsidiary level to ensure that the Group carries out its obligation efficiently and effectively.

Bank of Kigali Plc	BK General Insurance Ltd	Other Subsidiaries
Management Committee	Management Committee	Management Committee
Assets And Liability Committee	Assets, Liabilities and Investments Committee	Audit Committee
Credit Committee	Risk and Compliance Committee	
Debt Recovery Committee	Remuneration and Compensation Committee	
Human Resource Committee		
Product Development Committee		
Information & Communication Technology Committee		
Procurement Committee		
Branch Expansion Committee		

REPORT OF THE INDEPENDENT AUDITOR
TO THE MEMBERS OF
BK GROUP PLC

Report of the Independent Auditor on the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of BK Group PLC and its subsidiaries ('the group') set out on pages 11 to 104, which comprise of the consolidated and separate statements of financial position as at 31 December 2023, and the consolidated and separate statements of profit or loss and other comprehensive income, the consolidated and separate statements of changes in equity and the consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated including a summary of significant accounting policies.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the group as at 31 December 2023, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Law No. 007/2021 of 05/02/2021 governing companies as amended by Law No. 019/2023 of 30 March 2023.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the consolidated and separate financial statements section of our report. We are independent of the group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and other independence requirements applicable to performing audits of BK Group Pie. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code, and in accordance with other ethical requirements applicable to performing the audit of BK Group Pie. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated and separate financial statements of the current period: These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. Our description below of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the Consolidated and separate financial statements section of our report, including in relation tc- these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated and separate financial statements. The results of our audit procedures, in<:luding the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated and separate financial statements.

REPORT OF THE INDEPENDENT AUDITOR
TO THE MEMBERS OF
BK GROUP PLC

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

Key Audit Matters	How The Matter Was Addressed In Our Audit
IFRS 9. Expected Credit Losses	
IFRS 9 requires the Bank to recognize expected credit losses ("ECL") on financial instruments which involves significant judgement and estimates. The key areas where we identified greater levels of management judgement and therefore increased levels of audit focus in the Bank's implementation of IFRS 9 are: • Economic scenarios- IFRS 9 requires the Bank to measure • ECLs on a forward-looking basis reflecting a range of future economic conditions. Significant management judgment is applied to determining the economic scenarios used and the probability weightings applied. • Significant increase in credit risk ("SICR")- for the logistic model the criteria selected to identify a significant increase in credit risk is a key area of judgement within the Bank's ECL calculation as these criteria determine whether a 12 month or lifetime provision is recorded. • Model estimations- inherently judgmental modelling is used to estimate ECL which involves determining probabilities of default ("PD"), loss given default ("LGD"), and exposures at default ("EAD"). The PD models used are a key drivers of the Bank's ECL results and are therefore the most significant judgmental aspect of the Bank's ECL modelling approach. • Qualitative adjustments- adjustments to the model driven ECL results are raised by management to address known impairment model limitations or emerging trends. Such adjustments are inherently uncertain and significant management judgement is involved in estimating these amounts. • The effect of these matters is that, as part of our risk assessment, we determined that the impairment of loans and advances to customers to be a key audit matter due to the high degree of estimation uncertainty and significant management judgement involved in determination of ECL. • Estimation and incorporation of multiple forward-looking macroeconomic scenarios and weightings into the ECL calculation • These scenario forecasts are developed by the Bank's Chief Credit Risk Officer and require management judgement, given the uncertain macroeconomic environment and the complexity of incorporating these scenario forecasts and probability weightings into the estimation of ECL. • Post-model management adjustments Where the Bank's ECL models are not fully calibrated to cater for the impact of the current levels of economic volatility and complexity, management adjustments are applied. These adjustments are subject to a high degree of subjective management judgement and bias	Our audit procedures in this area included, among others: 1. Performing end to end process walkthroughs to identify the key systems, applications and controls used in the ECL processes. 2. Assessed the appropriateness of the Bank's methodology for determining the economic scenarios used. 3. Assessed managements' forecast and forecast narrative against available market data and our independent judgement 4. On a sample basis, testing the key inputs and assumptions impacting ECL calculations to assess the reasonableness of economic forecasts, weights, and PD assumptions applied including key aspects of the Bank's SICR determinations and assessing model predictions against actual results; and 5. Evaluating on a sample basis the post model adjustments, considering the size and complexity of management overlays, in order to assess the reasonableness of the adjustments by challenging key assumptions, inspecting the calculation methodology and tracing a sample back to source data. 6. Assessing whether the disclosures appropriately disclose and address the uncertainty which exists when determining the expected credit losses and the key judgements and assumptions made was sufficiently clear. 7. Challenged management and macroeconomic adjustments or justification of lack thereof. 8. Re-performed credit loss provisioning computation to test for accuracy 9. Reviewed security dockets to confirm existence and valuation of collaterals 10. Obtained and tested the data supporting assumptions relating to haircuts, CCF and time to realization for completeness, accuracy, and reasonableness. 11. Obtained evidence that deteriorated loans are discussed and risk rating approved in the appropriate committees 12. Engaged our financial reporting and quantitative specialist teams to evaluate the reasonableness of macroeconomic scenarios used in the adjustments of PDs

REPORT OF THE INDEPENDENT AUDITOR
TO THE MEMBERS OF
BK GROUP PLC

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

Key Audit Matters	How the matter was addressed in our audit
Determination of insurance contract liabilities	
Insurance contract liabilities included in note 7 of the financial statements are made up the liabilities for remaining coverage and liabilities for incurred claims. These were considered a matter of most significance to the current year audit for the following reasons: • The estimation of the provisions involves significant judgement given the inherent uncertainty in estimating expected future outflows in relation to claims incurred. • The valuation of these liabilities relies on the accuracy of claims data and the assumption that future claims development will follow a similar pattern to past claims development experience. • The magnitude of the insurance contract liabilities balance (Rwf'000 10,944,629) in relation to total liabilities of (Rwf 14,477,701}. 2022; Rwf 000' 7,813,869 in relation to total liabilities Rwf 000' 10,651,143. These insurance contract liabilities involve significant judgment over uncertain future outcomes, mainly the ultimate total settlement value of the insurance contract.	Our testing approach included amongst others, the following procedures with the assistance of our actuarial specialists: • Evaluating and testing the controls around the • claim reserving and settlement process. • Evaluating managements' review process of the provisions. • Comparing, for a sample of claims, the amounts as recorded in the claims systems to source documents. • Reviewing the reconciliation between the claims data and that used to calculate the reserves. • Considering the methodology and assumptions used by the Appointed Actuary and management in the estimation of reserves and assessing the methodologies applied against general accepted actuarial approaches; and • Back testing the robustness of the reserving process by performing an actual versus expected analysis on prior year's reserves to • assess this for any surpluses or shortfalls.

Other information Included the group's 2023 annual report

Other information consists of the information included in the Group's Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.
Our opinion on the financial statements does not cover the other Information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

REPORT OF THE INDEPENDENT AUDITOR
TO THE MEMBERS OF
BK GROUP PLC

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures.
- that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

REPORT OF THE INDEPENDENT AUDITOR
TO THE MEMBERS OF
BK GROUP PLC

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Law No. 007/2021of 05/02/2021 governing Companies as amended by Law No. 019/2023 of 30 March 2023,

We confirm that:

i. We have no relationship, interests and debts in the Group.
ii. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.
iii. In our opinion, proper books of account have been kept by the Group, so far as appears from our examination of those books.
iv. We have communicated to you through the management letter, internal control weaknesses identified in the course of our audit including our recommendations with regard to those matters.

Stephen K Sang
For Ernst & Young Rwanda Limited

Consolidated statement of profit or loss and other comprehensive income

For the year ended 31 december 2023

	Note	31 December 2023 FRw'000	Restated 31 December 2022 FRw'000
Interest revenue calculated using the effective interest	7	216,837,693	187,448,813
Interest expense calculated using the effective interest method	8	(51,452,655)	(49,673,037)
Net interest income		**165,385,038**	**137,775,776**
Fee and commission income	9(i)	43,288,034	29,167,427
Fee and commission expense	9(ii)	(3,726,771)	(2,894,123)
Foreign exchange related income	10	13,878,201	13,529,522
Insurance revenue	11	12,430,634	11,244,741
Insurance service expenses	12(i)	(9,163,399)	(8,213,198)
Net insurance finance expenses	12(iii)	(190,190)	(143,576)
Net expenses from reinsurance contract held	12(ii)	(944,004)	(772,989)
Other operating income	13	3,404,471	1,838,818
Operating income before impairment losses and claims		**224,362,014**	**181,532,398**
Credit impairment losses	14	(18,606,589)	(10,006,879)
Net operating income		**205,755,425**	**171,525,519**
Employee benefits expense	15(i)	(42,826,475)	(33,386,960)
Depreciation and amortisation	15(ii)	(10,245,958)	(8,285,599)
Administration and general expenses	15(iii)	(42,865,172)	(41,154,923)
Total operating expenses		**(95,937,605)**	**(82,827,482)**
Operating profit		**109,817,820**	**88,698,037**
Interest on lease liabilities	15(iv)	(105,900)	(111,769)
Profit before income tax		**109,711,920**	**88,586,268**
Income tax expense	16	(34,894,241)	(28,730,466)
Profit for the year		**74,817,679**	**59,855,802**
Other comprehensive income:			-
Total comprehensive income for the year		**74,817,679**	**59,855,802**
Attributable to:			
Equity holders of the parent		**73,869,360**	**58,986,464**
Non-controlling interests		**948,319**	**869,338**
Basic and diluted earnings per share in FRw	17	**80.6**	**65.1**

The notes set out on pages 135 to 216 form an integral part of these financial statements.

** Consolidated Profit or Loss has been restated to reflect the adoption of IFRS 17

Consolidated statement of financial position

For the year ended 31 december 2023

	Note	Restated 31 December 2023 FRw'000	Restated 31 December 2022 FRw'000	Restated 01 January 2022 FRw'000
Cash in hand	18(a)	30,615,453	21,757,316	21,723,165
Balances with the National Bank of Rwanda	18 (b)	305,656,016	328,750,207	231,758,146
Due from other banks	19	251,404,182	48,979,707	77,804,297
Investments at amortised cost	20(a)	186,541,766	216,899,036	164,115,134
Investment in corporate bond	20(b)	18,531,463	12,069,536	12,703,795
Investment in specialized fund	20(c)	13,255,670	12,605,141	7,850,099
Loans and advances to customers	21	1,244,843,264	1,134,512,318	990,267,321
Insurance contract assets	23	5,111,545	3,092,783	4,590,192
Reinsurance contract	22	2,515,513	2,203,173	1,901,532
Other assets	24	12,552,527	19,111,508	25,433,010
Deferred income tax	25	4,734,412	10,647,966	9,546,653
Right of use assets	27(iii)	1,152,743	1,760,557	1,659,359
Assets classified as held for sale	26	566,145	566,145	734,678
Property and equipment	27(i)	32,352,686	30,057,613	29,608,749
Intangible assets	27(iii)	10,282,757	10,494,510	10,273,785
Total assets		**2,120,116,142**	**1,853,507,516**	**1,589,969,915**
Liabilities				
Due to banks	28	195,184,606	280,588,198	190,223,687
Deposits and balances from customers	29	1,374,342,881	1,075,188,572	974,494,626
Income tax payable	16(ii)	1,079,716	5,920,034	10,013,864
Dividends payable	30	23,145,719	30,704,511	26,928,781
Insurance Contract liabilities	31(i)	10,944,628	7,813,869	7,757,524
Creditors arising from reinsurance	31(ii)	1,026,489	931,761	1,235,766
Other liabilities	32	42,658,933	28,611,890	35,466,746
Lease liabilities	33	1,653,690	1,787,992	2,087,323
Long-term finance	34	103,722,062	102,718,352	56,026,996
Total liabilities		**1,753,758,724**	**1,534,265,179**	**1,304,235,313**
Capital and reserves				
Share capital	35(i)	9,281,625	9,185,147	9,045,474
Share premium	35(ii)	82,423,448	79,953,617	76,573,491
Revaluation reserves	35(ii)	13,099,993	13,099,993	13,099,993
Statutory reserves	35(iii)	2,321,973	2,321,973	2,321,973
Retained earnings	35(iv)	254,971,032	211,133,499	182,014,901
Equity attributable to the owners of the parent		**362,098,071**	**315,694,229**	**283,055,832**
Non-controlling interests		4,259,347	3,548,108	2,678,770
Total equity		**366,357,418**	**319,242,337**	**285,734,602**
Total liabilities and equity		**2,120,116,142**	**1,853,507,516**	**1,589,969,915**

These financial statements were approved by the Board of Directors and were signed on its behalf by:

Director

Director

The notes set out on pages 135 to 216 form an integral part of these financial statements.

Consolidated statement of changes in equity

For the year ended 31 december 2023

Year ended 31 December 2023	Note	Issued capital FRw'000	Share premium FRw'000	Revaluation FRw'000	Statutory reserves FRw'000	Retained earnings FRw'000	Non-controlling interests FRw'000	Total FRw'000
As at 1 January 2023		9,185,147	79,953,617	13,099,993	2,321,973	211,133,499	3,548,108	319,242,337
DRIP Shares issued		96,478	2,469,831	-	-	(3,849)	-	2,562,460
Comprehensive Income								
Profit for the year		-	-	-	-	73,869,360	948,319	74,817,679
Transaction with owners:								
Dividends Proposed		-	-	-	-	(30,027,978)	(237,080)	(30,265,058)
		9,281,625	**82,423,448**	**13,099,993**	**2,321,973**	**254,971,032**	**4,259,347**	**366,357,418**

	Note	Issued capital FRw'000	Share premium FRw'000	Revaluation FRw'000	Statutory reserves FRw'000	Retained earnings FRw'000	Non-controlling interests FRw'000	Total FRw'000
Balance as at 31/12/2021		9,045,474	76,573,491	13,099,993	2,321,973	181,990,759	2,668,423	285,700,113
IFRS17 day 1 Adjustment		-	-	-	-	24,142	10,347	34,489
Restated Balance as at 1 January 2022		**9,045,474**	**76,573,491**	**13,099,993**	**2,321,973**	**182,014,901**	**2,678,770**	**285,734,602**
DRIP Shares issued		139,673	3,380,126	-	-	(5,711)	-	3,514,088
Comprehensive Income								
Profit for the year(Restated)		-	-	-	-	58,986,464	869,338	59,855,802
Transaction with owners:								
Dividends declared		-	-	-	-	(29,862,155)	-	(29,862,155)
As at 31 December 2022		**9,185,147**	**79,953,617**	**13,099,993**	**2,321,973**	**211,133,499**	**3,548,108**	**319,242,337**

The notes set out on pages 135 to 216 form an integral part of these financial statements.

Consolidated statement of cash flows

For the year ended 31 december 2023

Cash flows from operating activities	Note	31 December 2023 FRw'000	31 December 2022 FRw'000
Profit before income tax		**109,711,920**	**88,454,776**
Adjusted for:			
Depreciation of property and equipment	27(i)	6,330,916	4,637,801
Amortization of intangible assets	27(ii)	3,121,337	2,865,223
Gain on disposal of property and equipment	27(i)	(20,909)	(91,020)
Depreciation on right of use assets	27(iii)	1,068,411	1,035,510
Interest incurred and revaluation loss on long-term financing	34	12,311,456	5,732,724
Finance cost on lease	15(iv)	105,900	221,212
Dividend income	13	(70,343)	(40,450)
Change in expected credit losses	14	18,606,589	10,006,879
Unrealised foreign exchange gain	10	(6,183,984)	(2,581,113)
Accrued interests on other investments		(1,320,776)	(891,930)
Cash flows before changes in working capital		**143,660,517**	**109,349,612**
Changes in working capital			
Increase in loans and advances	21	(128,937,535)	(154,086,432)
Decrease in Insurance and reinsurance Contract Assets	22&23	(2,331,102)	999,129
Decrease in other assets	24	6,558,982	6,435,882
Increase in cash reserve requirement	18(b)	(10,687,535)	(21,200,106)
Increase in deposits and balances from customers	29	299,154,308	100,693,946
Decrease in due to banks	28	(37,718,411)	9,396,760
Increase in insurance liabilities	31(i&ii)	(3,225,487)	(1,282,854)
Increase in other liabilities	32	(14,047,044)	(5,622,388)
Unrealised foreign exchange gain	10	(6,183,984)	(2,581,113)
		258,610,676	**47,264,662**
Income tax paid	16(ii)	(33,522,643)	(33,866,550)
Payment of interest portion on lease liabilities	33	(105,900)	(221,212)
Repayment of interests on long-term finance	34	(8,419,679)	(3,976,406)
Net cash generated/(used in) from operating activities		**216,562,454**	**9,200,494**
Investing activities			
Purchase of property and equipment	27(i)	(8,646,839)	(5,086,664)
Purchase of intangible assets	27(ii)	(2,909,484)	(3,085,949)
Proceeds from sale of fixed assets		143,788	91,020
Proceed from sale of asset held for sale		-	168,537
Investment securities:			
Additions in investment in securities	20(a)	(401,435,597)	(469,433,513)
Receipts on investment maturities	20(a)	429,444,595	416,484,167
Corporate bond			
Additions in corporate bond	20(b)	(6,616,367)	(585,000)
Receipts in corporate bond	20(b)	1,245,222	1,706,047
Investment in specialised fund	20(c)	(1,000,000)	(5,000,000)
Receipts in specialized fund	20(c)	453,497	614,784
Dividend Received	13	70,343	40,450
Net cash flows (used in)/ from investing activities		**10,749,158**	**(64,086,121)**
Financing activities			
Dividends paid	30	(37,586,770)	(26,086,425)
Drawdown of long-term finance	34	7,875,439	57,459,057
Repayment of long-term finance	34	(10,763,507)	(12,524,019)
Payment of principal portion on lease liability	37	(594,900)	(1,417,971)
Proceeds from issue of new shares	35(i)	96,478	139,673
Increase in share premium on new shares	35(ii)	2,469,831	3,380,126
Net cash flows (used in)/ generated from financing activities		**(38,503,429)**	**20,950,441**
Net increase in cash and cash equivalents		**188,808,184**	**(33,935,186)**
Net foreign exchange difference		(28,736,190)	(4,128,047)
Cash and cash equivalents at 1 January		145,769,147	183,832,380
Cash and cash equivalents at 31 December		**305,841,141**	**145,769,147**
Additional information on operational cashflows from;			
Interest paid		(3,727,771)	(3,976,406
Interest received		216,837,693	188,793,618
Dividend received		70,343	40,350

Notes to the financial statements

For the year ended 31 december 2023

1. Corporate information

BK Group Plc is a non-operating holding company registered with Rwanda Development Board (RDB) under Law No. No. 007/2021 of 05/02/2021 Governing Companies as amended by Law No. 019/2023 of 30 March 2023
The Group provides corporate and retail banking services, insurance services, brokerage and management services, internet and digital services.

The Group is incorporated in Rwanda and is publicly traded on the Rwanda Stock and cross listed in the Nairobi Securities Exchange. The address of its registered office is as follows:

Old I&M Bank Building
KN4 Ave No 12 Plot No 790
P.O Box 175
Kigali-Rwanda
Representative Office – Nairobi

2. Summary of material accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below, these policies have been consistently applied to all years presented, unless otherwise stated.

a) Basis of preparation

The financial statements have been prepared in accordance with "IFRS Accounting Standards" The measurement basis applied is the historical cost basis, except for fair value through other comprehensive income investments and loan note at fair value through profit or loss which have been measured at fair value.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates, It also requires the directors to exercise judgement in the process of applying the Group's accounting policies, The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

Changes in accounting policy and disclosures

BK Group applied for the first-time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2023. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

(i) New and amended standards adopted by BK Group Holding company

IFRS 17 Insurance Contracts

IFRS 17 Insurance Contracts is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. IFRS 17 replaces IFRS 4 Insurance Contracts. IFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them as well as to certain guarantees and financial instruments with discretionary participation features; a few scope exceptions will apply. The overall objective of IFRS 17 is to provide a comprehensive accounting model for insurance contracts that is more useful and consistent for insurers, covering all relevant accounting aspects. IFRS 17 is based on a general model, supplemented by:

A specific adaptation for contracts with direct participation features (the variable fee approach)

A simplified approach (the premium allocation approach) mainly for short-duration contracts

The new standard had no impact on the Group's financial statements.

2. Summary of significant accounting policies (continued)

2.1. New and amended standards and interpretations

Supplier Finance Arrangements - Amendments to IAS 7 and IFRS 7

In May 2023, the IASB issued amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures to clarify the characteristics of supplier finance arrangements and require additional disclosure of such arrangements. The disclosure requirements in the amendments are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2024. Early adoption is permitted but will need to be disclosed.

The amendments are not expected to have a material impact on the Company's financial statements.

Amendments to IFRS 16: Lease Liability in a Sale and Leaseback

In September 2022, the IASB issued amendments to IFRS 16 to specify the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024 and must applied retrospectively to sale and leaseback transactions entered into after the date of initial application of IFRS 16. Earlier application is permitted and that fact must be disclosed.

The amendments are not expected to have a material impact on the Group's financial statements.

The Group will apply the amendments to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment.

b) Going concern

BK Group Plc's directors have made an assessment of BK Group Plc' ability to continue as a going concern and is satisfied that BK Group Plc has the resources to continue in business for the foreseeable future, Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon BK Group Plc's ability to continue as a going concern, Therefore, the financial statements have been prepared on the going concern basis.

c) Use of estimates and judgments

The preparation of BK Group Plcs's consolidated financial statements is in conformity with IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the BK Group Plc's Consolidated financial statements and the reported amounts of revenues and expenses during the reporting period.

The estimates and assumptions are based on the Directors' best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about the carrying values of assets and liabilities that are not readily apparent from other sources, Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an on-going basis, Revisions to accounting estimates are recognised in the period which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods, In particular, information about significant areas of estimation and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are described in Note 3.

2. Summary of significant accounting policies (continued)

2.1. New and amended standards and interpretations (continued)

d) Principles of consolidation

i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which BK Group Holding company has control, BK Group Holding company controls an entity when BK Group Holding company is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity, Subsidiaries are fully consolidated from the date on which control is transferred to BK Group Holding company, They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by BK Group Holding company.

Intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated, Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset, Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by BK Group Holding company.

Non-controlling interest in the results and equity of subsidiaries are shown separately in the consolidated statement of profit and loss and other comprehensive income, statement of changes in equity and statement of financial position respectively.

ii) Changes in ownership interest

BK Group treats transaction with non-controlling that do not result in a loss of control as transactions with equity owners of BK Group Holding company, A change in ownership interest results in an adjustment between the carrying amount of the controlling and non-controlling interests to reflect their relative interests in the subsidiary, Any difference between the amount of the adjustment to non-controlling interests and any consideration paid or received is recognised in a separate reserve within equity attributable to owners of BK Group Plc.

When BK Group Holding company ceases to consolidate because of loss of control any retained interest in the entity is measured at fair value with changes in carrying amount recognised in profit and loss.

f) Revenue recognition

(i) Interest income

See note 2(i) below on financial assets and liabilities

(ii) Fees and commission

Fees and commission income – including account servicing fees, investment management fees, sales commission, placement fees and syndication fees – are recognised as the related services are performed.

Other fees and commission expense relate mainly to transaction and service fees, which are expensed as the services are received.

Insurance and investment contract policyholders are charged for policy administration services, investment management services, surrenders and other contract fees, These fees are recognised as revenue over the period in which the related services are performed. If the fees are for services provided in future periods, then they are deferred and recognised over those future periods.

(iii) Dividend income

Dividends are received from financial assets measured at fair value through profit or loss (FVPL) and at fair value through other comprehensive income (FVOCI). Dividends are recognised as other income in profit or loss when the right to receive payment is established. This applies even if they are paid out of pre-acquisition profits, unless the dividend clearly represents a recovery of part of the cost of an investment. In this case, the dividend is recognised in OCI if it relates to an investment measured at FVOCI.

(iv) Net trading income

Net trading income' comprises gains less losses related to trading assets and liabilities, and includes all realised and unrealised fair value changes, interest, and foreign exchange differences.

2. Summary of significant accounting policies (continued)
2.1. New and amended standards and interpretations (continued)
g) Property and equipment

Land and buildings are recognised at fair value based on periodic, but at least every 3-5 years, valuations by external independent valuers, less subsequent depreciation for buildings. A revaluation surplus is credited to revaluation reserves in shareholders' equity. All other property and equipment is stated at historical cost less depreciation, Historical cost includes expenditure that is directly attributable to the acquisition of the items. Cost may also include transfers from equity of any gains or losses on qualifying cash flow hedges of foreign currency purchases of property, plant and equipment.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to BK Group Holding company and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred.

Increases in the carrying amounts arising on revaluation of land and buildings are recognised, net of tax, in other comprehensive income and accumulated in reserves in shareholders' equity. To the extent that the increase reverses a decrease previously recognised in profit or loss, the increase is first recognised in profit or loss, decreases that reverse previous increases of the same asset are first recognised in other comprehensive income to the extent of the remaining surplus attributable to the asset; all other decreases are charged to profit or loss.

Depreciation is calculated using the straight-line method to allocate their cost or revalued amounts, net of their residual values, over their estimated useful lives or, in the case of leasehold improvements and certain leased plant and equipment, the shorter lease term as follows:

Buildings	5%
Motor vehicles	25%
Furniture and fittings	25%
Office equipment	25%
Computers	33%
IT equipment including servers	20%

Freehold land is not depreciated as it is deemed to have an indefinite life.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing proceeds with carrying amount, these are included in profit or loss. When revalued assets are sold, it is group policy to transfer any amounts included in other reserves in respect of those assets to retained earnings.

h) Provisions

Provisions are recognised when BK Group Plc has a present legal or constructive obligation as a result of past events, for which it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation, Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to that liability. The expense relating to any provision is presented in the statement of profit or loss and other comprehensive income net of any disbursement.

2. Summary of significant accounting policies (continued)
2.1. New and amended standards and interpretations (continued)
h) Provisions (continued)

Definition of Accounting Estimates - Amendments to IAS 8

In February 2021, the IASB issued amendments to IAS 8, in which it introduces a definition of 'accounting estimates'. The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023 and apply to changes in accounting policies and changes in accounting estimates that occur on or after the start of that period.

The amended standard clarifies that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors.

i) Financial assets and liabilities

Measurement methods

Amortised cost and effective interest rate

The amortised cost is the amount at which the financial asset or financial liability is measured at initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset (i,e, its amortised cost before any impairment allowance) or to the amortised cost of a financial liability, The calculation does not consider expected credit losses and includes transaction costs, premiums or discounts and fees and points paid or received that are integral to the effective interest rate, such as origination fees, For purchased or originated credit-impaired (`POCI›) financial assets — assets that are credit-impaired at initial recognition — BK Group Holding company calculates the credit-adjusted effective interest rate, which is calculated based on the amortised cost of the financial asset instead of its gross carrying amount and incorporates the impact of expected credit losses in estimated future cash flows.

When BK Group Holding company revises the estimates of future cash flows, the carrying amount of the respective financial assets or financial liability is adjusted to reflect the new estimate discounted using the original effective interest rate, Any changes are recognised in profit or loss.

Interest income

Interest income is calculated by applying the effective interest rate to the gross carrying amount of financial assets, except for:

(a) POCI financial assets, for which the original credit-adjusted effective interest rate is applied to the amortised cost of the financial asset.
(b) Financial assets that are not ‹POCI› but have subsequently become credit-impaired (or ‹stage 3›), for which interest revenue is calculated by applying the effective interest rate to their amortised cost (i,e, net of the expected credit loss provision).

Initial recognition and measurement

Financial assets and financial liabilities are recognised when BK Group Holding company becomes a party to the contractual provisions of the instrument, Regular way purchases and sales of financial assets are recognised on trade-date, the date on which BK Group Holding company commits to purchase or sell the asset.

At initial recognition, BK Group PLC measures a financial asset or financial liability at its fair value plus or minus, in the case of a financial asset or financial liability not at fair value through profit or loss, transaction costs that are incremental and directly attributable to the acquisition or issue of the financial asset or financial liability, such as fees and commissions, Transaction costs of financial assets and financial liabilities carried at fair value through profit or loss are expensed in profit or loss, Immediately after initial recognition, an expected credit loss allowance (ECL) is recognised for financial assets measured at amortised cost and investments in debt instruments measured at FVOCI, which results in an accounting loss being recognised in profit or loss when an asset is newly originated.

2. Summary of significant accounting policies (continued)
2.1. New and amended standards and interpretations (continued)
i) Financial assets and liabilities (continued)

Initial recognition and measurement (continued)

When the fair value of financial assets and liabilities differs from the transaction price on initial recognition, the entity recognises the difference as follows:

(a) When the fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e. a Level 1 input) or based on a valuation technique that uses only data from observable markets, the difference is recognised as a gain or loss,

In all other cases, the difference is deferred, and the timing of recognition of deferred day one profit or loss is determined individually, It is either amortised over the life of the instrument, deferred until the instrument›s fair value can be determined using market observable inputs, or realised through settlement.

Classification and subsequent measurement

BK Group Holding company classifies its financial assets in the following measurement categories:

- Fair value through other comprehensive income (FVOCI); or
- Amortised cost.

The classification requirements for debt and equity instruments are described below:

Debt instruments

Debt instruments are those instruments that meet the definition of a financial liability from the issuer›s perspective, such as loans, government and corporate bonds and trade receivables purchased from clients in factoring arrangements without recourse.

Classification and subsequent measurement of debt instruments depend on:

(i) BK Group business model for managing the asset; and
(ii) the cash flow characteristics of the asset.

Based on these factors, BK Group Plc classifies its debt instruments into one of the following two measurement categories:

Amortised cost: Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest (‹SPPI›), and that are not designated at FVPL, are measured at amortised cost, the carrying amount of these assets is adjusted by any expected credit loss allowance recognised and measured, Interest income from these financial assets is included in ‹Interest and similar income› using the effective interest rate method.

Fair value through other comprehensive income (FVOCI): Financial assets that are held for collection of contractual cash flows and for selling the assets, where the assets› cash flows represent solely payments of principal and interest, and that are not designated at FVPL, are measured at fair value through other comprehensive income (FVOCI), Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses on the instrument›s amortised cost which are recognised in profit or loss, When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in Net Investment income›, Interest income from these financial assets is included in ‹Interest income› using the effective interest rate method.

Business model: the business model reflects how BK Group Holding company manages the assets in order to generate cash flows, That is, whether BK Group Holding company›s objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets, If neither of these is applicable (e,g, financial assets are held for trading purposes), then the financial assets are classified as part of ‹other› business model and measured at FVPL, Factors considered by BK Group Holding company in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the asset›s performance is evaluated and reported to key management personnel, how risks are assessed and managed and how managers are compensated.

2. Summary of significant accounting policies (continued)
2.1. New and amended standards and interpretations (continued)
i) Financial assets and liabilities (continued)

Debt instruments (continued)

SPPI: Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, BK Group assesses whether the financial instruments› cash flows represent solely payments of principal and interest (the `SPPI test›), In making this assessment, BK Group Holding company considers whether the contractual cash flows are consistent with a basic lending arrangement i,e, interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement, Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

BK Group Plc reclassifies debt investments when and only when its business model for managing those assets changes, The reclassification takes place from the start of the first reporting period following the change, Such changes are expected to be very infrequent and none occurred during the period.

Equity instruments

Equity instruments are instruments that meet the definition of equity from the issuer›s perspective; that is, instruments that do not contain a contractual obligation to pay and that evidence a residual interest in the issuer›s net assets.

BK Group Holding company subsequently measures all equity investments at fair value through profit or loss, except where BK Group Holding company›s management has elected, at initial recognition, to irrevocably designate an equity investment at fair value through other comprehensive income, BK Group Holding company›s policy is to designate equity investments as FVOCI when those investments are held for purposes other than to generate investment returns, When this election is used, fair value gains and losses are recognised in OCI and are not subsequently reclassified to profit or loss, including on disposal, Impairment losses (and reversal of impairment losses) are not reported separately from other changes in fair value, Dividends, when representing a return on such investments, continue to be recognised in profit or loss as other income when BK Group Holding company›s right to receive payments is established.

Gains and losses on equity investments at FVPL are included in the Net trading income› line in the statement of profit or loss.

(ii) Impairment

BK Group Plc assesses on a forward-looking basis the expected credit loss (‘ECL’) associated with its debt instrument assets carried at amortised cost and FVOCI and with the exposure arising from loan commitments and financial guarantee contracts, BK Group Holding company recognises a loss allowance for such losses at each reporting date, the measurement of ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes.
- The time value of money; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions,

Note 4.1.4 provides more detail of how the expected credit loss allowance is measured.

(iii) Modification of loans

BK Group Plc sometimes renegotiates or otherwise modifies the contractual cash flows of loans to customers, when this happens, BK Group Holding company assesses whether or not the new terms are substantially different to the original terms, BK Group Holding company does this by considering, among others, the following factors:

- If the borrower is in financial difficulty, whether the modification merely reduces the contractual cash flows to amounts the borrower is expected to be able to pay,
- Whether any substantial new terms are introduced, such as a profit share/equity-based return that substantially affects the risk profile of the loan.
- Significant extension of the loan term when the borrower is not in financial difficulty,
- Significant change in the interest rate.
- Change in the currency the loan is denominated in
- Insertion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan.

2. Summary of significant accounting policies (continued)
2.1. New and amended standards and interpretations (continued)
(iii) Modification of loans (continued)

If the terms are substantially different, BK Group Plc derecognises the original financial asset and recognises a ‹new› asset at fair value and recalculates a new effective interest rate for the asset, the date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes, including for the purpose of determining whether a significant increase in credit risk has occurred.

However, BK Group Pls also assesses whether the new financial asset recognised is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments, Differences in the carrying amount are also recognised in profit or loss as a gain or loss on derecognition.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and BK Group Holding company recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss, the new gross carrying amount is recalculated by discounting the modified cash flows at the original effective interest rate (or credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets).

(iv) Derecognition other than on a modification

Financial assets, or a portion thereof, are derecognised when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either (i) BK Group Holding company transfers substantially all the risks and rewards of ownership, or (ii) BK Group Holding company neither transfers nor retains substantially all the risks and rewards of ownership and BK Group Holding company has not retained control.

BK Group enters into transactions where it retains the contractual rights to receive cash flows from assets but assumes a contractual obligation to pay those cash flows to other entities and transfers substantially all of the risks and rewards, these transactions are accounted for as ‹pass through› transfers that result in derecognition if BK Group plc:

(i) Has no obligation to make payments unless it collects equivalent amounts from the assets.
(ii) Is prohibited from selling or pledging the assets; and
(iii) Has an obligation to remit any cash it collects from the assets without material delay.

Collateral (shares and bonds) furnished by BK Group Holding company under standard repurchase agreements and securities lending and borrowing transactions are not derecognised because BK Group Holding company retains substantially all the risks and rewards on the basis of the predetermined repurchase price, and the criteria for derecognition are therefore not met, This also applies to certain securitisation transactions in which BK Group Holding company retains a subordinated residual interest.

Financial liabilities

(i) Classification and subsequent measurement

In both the current and prior period, financial liabilities are classified as subsequently measured at amortised cost, except for:

- Financial liabilities at fair value through profit or loss: this classification is applied to derivatives, Gains or losses on derivatives are recognised in profit or loss;
- Financial liabilities arising from the transfer of financial assets which did not qualify for derecognition, whereby a financial liability is recognised for the consideration received for the transfer, In subsequent periods, BK Group Holding company recognises any expense incurred on the financial liability; and
- Financial guarantee contracts and loan commitments.

2. Summary of significant accounting policies (continued)
2.1. New and amended standards and interpretations (continued)
Financial liabilities (continued)

(ii) Derecognition

Financial liabilities are derecognised when they are extinguished (i,e, when the obligation specified in the contract is discharged, cancelled or expires), The exchange between BK Group Holding company and its original lenders of debt instruments with substantially different terms, as well as substantial modifications of the terms of existing financial liabilities, are accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability, The terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

In addition, other qualitative factors, such as the currency that the instrument is denominated in, changes in the type of interest rate, new conversion features attached to the instrument and change in covenants are also taken into consideration, If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment, If the exchange or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

Financial guarantee contracts and loan commitments

Financial guarantee contracts are contracts that require the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due, in accordance with the terms of a debt instrument, Such financial guarantees are given to banks, financial institutions and others on behalf of customers to secure loans, overdrafts and other banking facilities.

Financial guarantee contracts are initially measured at fair value and subsequently measured at the higher of:

- The amount of the loss allowance; and
- The premium received on initial recognition less income recognised in accordance with the principles of IFRS 15.

Loan commitments provided by BK Group Holding company are measured as the amount of the loss allowance, BK Group Holding company has not provided any commitment to provide loans at a below-market interest rate, or that can be settled net in cash or by delivering or issuing another financial instrument.

For loan commitments and financial guarantee contracts, the loss allowance is recognised as a provision, However, for contracts that include both a loan and an undrawn commitment and BK Group Holding company cannot separately identify the expected credit losses on the undrawn commitment component from those on the loan component, the expected credit losses on the undrawn commitment are recognised together with the loss allowance for the loan, To the extent that the combined expected credit losses exceed the gross carrying amount of the loan, the expected credit losses are recognised as a provision.

(i) Cash and cash equivalents

Cash and cash equivalents comprise balances with less than three months maturity from the date of acquisition, including: notes and coins on hand, unrestricted balances deposited with the National Bank of Rwanda and highly liquid assets, subject to insignificant risk of changes in their fair value.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

(j) Foreign exchange forward and spot contracts

Foreign exchange forward and spot contracts are classified as held for trading, They are marked to market and are carried at their fair value, Fair values are obtained from discounted cash flow models which are used in the determination of the foreign exchange forward and spot contract rates, Gains and losses on foreign exchange forward and spot contracts are included in foreign exchange income as they arise, BK Group Holding company uses Rwanda's national currency, Rwanda Franc (FRw) as both functional and presentation currency.

2. Summary of significant accounting policies (continued)

2.1. New and amended standards and interpretations (continued)

(k) Income tax expense

The income tax expense or credit for the period is the tax payable on the current period's taxable income based on the applicable income tax rate for each jurisdiction adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period in the countries where the company and its subsidiaries and associates operate and generate taxable income, The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation, They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the BK Group Holding company's financial statements, However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill, Deferred income tax is also not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

The deferred tax liability in relation to investment property that is measured at fair value is determined assuming the property will be recovered entirely through sale.

Deferred tax assets are recognised only if it is probable that future taxable amounts will be available to utilise those temporary differences and losses.

Deferred tax liabilities and assets are not recognised for temporary differences between the carrying amount and tax bases of investments in foreign operations where the company is able to control the timing of the reversal of the temporary differences and it is probable that the differences will not reverse in the foreseeable future.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority, Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current and deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity, In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

(l) Fiduciary assets

BK Group plc provides trust and other fiduciary services such as nominee or agent that result in the holding or investing of assets on behalf of its clients, Assets held in a fiduciary capacity and income arising from related undertakings to return such assets to customers are not reported in the financial statements, as they are not the assets of BK Group Holding company.

2. Summary of significant accounting policies (continued)

2.1. New and amended standards and interpretations (continued)

(m) Intangible assets

BK Group's intangible assets currently only comprise computer software.

An intangible asset is recognised only when its cost can be measured reliably, and it is probable that the expected future economic benefits that are attributable to it will flow to BK Group Holding company.

Intangible assets acquired separately are measured on initial recognition at cost, The cost of intangible assets is their fair value as at the date of acquisition, Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite, Intangible assets with finite lives are amortised over the useful economic life, The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end.

Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates and accounted for prospectively, The amortisation expense on intangible assets with finite lives is recognised in the statement of profit or loss and other comprehensive income in the expense category consistent with the function of the intangible asset.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

Computer software	5 years

There are no intangible assets with indefinite useful lives.

(n) Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by BK Group Holding company›s shareholders, Interim dividends are deducted from equity when they are declared and no longer at the discretion of BK Group Holding company, Dividends for the year that are approved after the statement of financial position date are disclosed as an event after the reporting date.

(o) Employee benefits

Retirement benefit costs

BK Group Holding company contributes to a statutory defined contribution pension scheme, the Rwanda Social Security Board (RSSB), Contributions are determined by local statute and are currently limited to 5% of the employees' gross salary, the company's RSSB contributions are charged to the statement of profit or loss and other comprehensive income in the period to which they relate.

Short-term benefits

Short term benefits consist of salaries, bonuses and any non-monetary benefits such as medical aid contributions and transport allowance, Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A provision is recognised for the amount expected to be paid under short-term cash bonus if BK Group Holding company has a present obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

2. Summary of significant accounting policies (continued)
2.1. New and amended standards and interpretations (continued)
(p) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are disclosed as contingent liabilities, Estimates of the outcome and the financial effect of contingent liabilities is made by management based on the information available up to the date that the financial statements are approved for issue by the directors.

(q) Earnings per share

Basic and diluted earnings per share (EPS) data for ordinary shares are presented in the financial statements, Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of BK Group by the weighted average number of ordinary shares outstanding during the period, Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

3. Critical accounting estimates and judgements
The preparation of financial statements requires the use of accounting estimates which, by definition, will seldom equal the actual results, the directors also need to exercise judgement in applying BK Group Holding company›s accounting policies.

This note provides an overview of the areas that involve a higher degree of judgement or complexity, and major sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial year, Detailed information about each of these estimates and judgements is included in the related notes together with information about the basis of calculation for each affected line item in the financial statements.

i) Critical judgements in determining the lease term
In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option, Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

For leases of branch network, management considered the following:
With the transformation project having commenced, the business model for the Company subsidiary will be impacted and projecting beyond a five-year planning period has uncertainties as to BK Group Holding company exercising its extension options.

ii) Measurement of the expected credit loss allowance
The measurement of the expected credit loss allowance for financial assets measured at amortised cost is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e,g, the likelihood of customers defaulting and the resulting losses), Explanation of the inputs, assumptions and estimation techniques used in measuring ECL is further detailed in note 4,1.2.3 which also sets out key sensitivities of the ECL to changes in these elements.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for the measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL

Detailed information about the judgements and estimates made by BK Group in the above areas is set out in note 3

4. Financial risk management
The following section discusses BK Group Plc' risk management policies, The measurement of ECL under IFRS 9 uses the information and approaches that BK Group Holding company uses to manage credit risk, though certain adjustments are made in order to comply with the requirements of IFRS 9, The approach taken for IFRS 9 measurement purposes is discussed separately in note 4.1.2

4.1. Credit risk
Credit risk is the risk of suffering financial loss, should any of BK Group Holding company›s customers, clients or market counterparties fail to fulfil their contractual obligations to BK Group Holding company, Credit risk arises mainly from interbank, commercial and consumer loans and advances, and loan commitments arising from such lending activities, but can also arise from credit enhancement provided, such as credit derivatives (credit default swaps), financial guarantees, letters of credit, endorsements and acceptances.

BK Group Plc is also exposed to other credit risks arising from investments in debt securities and other exposures arising from its trading activities (‹trading exposures›) including non-equity trading portfolio assets and derivatives as well as settlement balances with market counterparties and reverse repurchase agreements, Credit risk is the single largest risk for BK Group Holding company›s business; the directors therefore carefully manage its exposure to credit risk, The credit risk management and control are centralised in a credit risk management team which reports regularly to the Board of Directors.

(a) Loans and advances (including loan commitments and guarantees)

The estimation of credit exposure for risk management purposes is complex and requires the use of models, as the exposure varies with changes in market conditions, expected cash flows and the passage of time, The assessment of credit risk of a portfolio of assets entails further estimations as to the likelihood of defaults occurring, of the associated loss ratios and of default correlations between counterparties, BK Group Holding company measures credit risk using Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD), This is similar to the approach used for the purposes of measuring Expected Credit Loss (ECL) under IFRS 9, Refer to note 4.1.2 for more details.

4.1.1 Credit risk management

Other than the change in credit risk rating for significant corporate exposures, there were no other material changes to the policies and practices for the management of credit risk . We continued to apply the requirements of IFRS 9 'Financial Instruments' within Credit Risk.

We have established Group-wide credit risk management and related IFRS 9 processes. We continue to assess actively the impact of economic developments in key markets on specific customers, customer segments or portfolios, As credit conditions change, we take mitigating action, including the revision of risk appetites or limits, adjustment of interest rates and tenors, as appropriate. In addition, we continue to evaluate the terms under which we provide credit facilities within the context of individual customer requirements, the quality of the relationship, market practices and our local regulatory requirements.

Credit risk grading

BK Group grades its significant corporate exposures based on the internal rating below. For SME and retail exposures BK Group Holding company uses the National Bank of Rwanda (BNR) credit risk gradings to reflect its assessment of the probability of default of retail counterparties. The facilities are rated as either performing, watch, substandard, doubtful or loss, based on the number of days overdue. The classification criteria are as follows:

Performing

These are credit facilities which are up to date in payments. Where there are no fixed payments, these are facilities that are operating within their approval limits and are unexpired.

Watch

These are credit facilities where principal or interest is due and unpaid for 30 days to 89 days, or for facilities with no fixed payments, the approval limit has been exceeded by 30 days to 89 days, or the credit line has expired for more than 30 days to 89 days.

4. Financial risk management (continued)

4.1.1. Credit risk management (continued)

Substandard

These are loan balances due for 90 days but less than 180 days. They are also those credit facilities that display well-defined credit weaknesses that jeopardize the liquidation of the debt such as inadequate cash flow to service the debt, undercapitalized or insufficient working capital, absence of adequate financial information or security documentation and irregular payment of principal or interest.

Doubtful

These are loan balances that are more than 180 days but less than 365 days overdue. They are also those credit facilities which, in addition to the weaknesses existing in substandard credits, have deteriorated to the extent that full repayment is unlikely or that realizable security values will be insufficient to cover the Group's exposure.

Loss

These are loans that are more than 365 days overdue. These are also those credit facilities that are considered uncollectable, or which may have some recovery value, but it is not considered practicable nor desirable to defer write off. They are also accounts classified as "Doubtful" with little or no improvement over the period it has been classified as such.

The credit grades are calibrated such that the risk of default increases exponentially at each higher risk grade. Once a facility is classified as substandard, the probability of default reaches 100%.

Internal credit rating

Rating Grid	Rating	Description	Rating score
1	AAA	Exceptional Credit	[90-100]
2	AA	Superior credit	[80-90]
3	A	Minimal Risk	[70-80]
4	BBB	Above Average Risk	[60-70]
5	BB	Average Risk	[55-60]
6	B	Acceptable Risk	[50-55]
7	CCC	Watch list	[40-50]
8	CC	Substandard Risk	[30-40]
9	C	Doubtful Risk	[20-30]
10	D	Loss	[0-20]

The table below shows the link between the regulator risk classifications and the IFRS 9 stage allocation for assets for the Group;

National Bank of Rwanda Guidelines	Days past due	Stage allocation
Normal	0-29	1
Watch	30-89	2
Sub-standard	90-179	3
Doubtful	180-364	3
Loss	Over 364 or considered uncollectible	3

For debt securities in the Treasury portfolio, external rating agency credit grades are used. These published grades are continuously monitored and updated. The PD›s associated with each grade are determined based on realised default rates over the prior 12 months, as published by the rating agency.

The rating methods are subject to an annual validation and recalibration so that they reflect the latest projections in the light of all actually observed defaults.

4. Financial risk management (continued)

4.1.2. Expected credit loss measurement

IFRS 9 outlines a ‹three-stage› model for impairment based on changes in credit quality since initial recognition as summarised below:

- A financial instrument that is not credit-impaired on initial recognition is classified in ‹Stage 1› and has its credit risk continuously monitored by the Group.
- If a significant increase in credit risk (‹SICR›) since initial recognition is identified, the financial instrument is moved to ‹Stage 2› but is not yet deemed to be credit impaired. Please refer to note 4.1.2.1 for a description of how the Group determines when a significant increase in credit risk has occurred.
- If the financial instrument is credit-impaired, the financial instrument is then moved to ‹Stage 3›. Please refer to note 4.1.3 for a description of how the Group defines credit-impaired and default.
- Financial instruments in Stage 1 have their ECL measured at an amount equal to the portion of lifetime expected credit losses that result from default events possible within the next 12 months. Instruments in Stages 2 or 3 have their ECL measured based on expected credit losses on a lifetime basis. Please refer to note 4.1.4 for a description of inputs, assumptions and estimation techniques used in measuring the ECL.
- A pervasive concept in measuring ECL in accordance with IFRS 9 is that it should consider forward-looking information. Note 4.1.5 includes an explanation of how the Group has incorporated this in its ECL models.
- Purchased or originated credit-impaired financial assets are those financial assets that are credit-impaired on initial recognition. Their ECL is always measured on a lifetime basis (Stage 3).

The following diagram summarises the impairment requirements under IFRS 9 (other than purchased or originated credit-impaired financial assets):

	Change in credit quality since initial recognition	
Stage 1	**Stage 2**	**Stage 3**
(Initial recognition)	(Significant increase in credit risk since initial recognition)	(Credit-impaired assets)
12-month expected credit losses	Lifetime expected credit losses	Lifetime expected credit losses

The key judgements and assumptions adopted by the Group in addressing the requirements of the standard are discussed below:

4.1.2.1 Significant increase in credit risk (SICR)

The Group in determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition considered reasonable and supportable information that is relevant and available without undue cost or effort, including both quantitative and qualitative information and analysis based on the Bank's historical experience, expert credit assessment and forward-looking information.

The Group identifies a significant increase in credit risk where

- Exposures have a regulatory risk rating of "WATCH"
- An exposure is 30 days or more days past due. This is in line with the IFRS 9 30 DPD rebuttable presumption;
- an exposure has been restructured in the past due to credit risk related factors or which was NPL and is now regular (subject to the regulatory cooling off period);or
- by comparing an exposure:
- credit risk quality at the date of reporting; with
- the credit risk quality on initial recognition of the exposure.

4. Financial risk management (continued)

4.1.2. Expected credit loss measurement (continued)

4.1.2.1 Significant increase in credit risk (SICR) (continued)

The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

- The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.
- The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.
- Generally, restructuring is a qualitative indicator of default and credit impairment and expectations of restructuring are relevant to assessing whether there is a significant increase in credit risk. Following restructuring, a customer needs to demonstrate consistently good payment behaviour over a period of time before the exposure is no longer considered to be in default/credit-impaired or the PD is considered to have decreased such that the loss allowance reverts to being measured at an amount equal to 12-month ECLs.

The assessment of SICR incorporates forward-looking information (refer to note 4.1.5 for further information) and is performed on a monthly basis at a portfolio level for all financial instruments held by the Group. The criteria used to identify SICR are monitored and reviewed periodically for appropriateness by the independent Credit Risk team.

Backstop

A backstop is applied, and the financial instrument considered to have experienced a significant increase in credit risk if the borrower is more than 30 days past due on its contractual payments.
The Group has not used the low credit risk exemption for any financial instruments in the year ended 31 December 2023.

4.1.2. Sensitivity analysis

The most significant assumptions affecting the ECL allowance are as follows:

(i) Collateral haircuts, and
(ii) Period to recovery of collateral

Set out below are the changes to the ECL as at 31 December 2023 that would result from reasonably possible changes in these parameters from the actual assumptions used in BK Group Holding company›s economic variable assumptions.

Time to realisation: The directors have assumed a time to realisation of 3 years both for commercial properties and residential properties, If time to realisation increased to 4 years, overall ECL would increase in the range of FRw 1,7 billion and FRw 2 billion.

Collateral haircuts: The directors have assumed collateral haircuts of 50% for commercial and 30% for residential properties, If haircuts were further adjusted by 10% the overall ECL would increase/reduce in the range of FRw 2,4 billion and FRw 3 billion.

4.1.3. Definition of default and credit-impaired assets

The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

Quantitative criteria

The borrower is more than 90 days past due on its contractual payments.

4. Financial risk management (continued)

4.1.3. Definition of default and credit-impaired assets (continued)

Qualitative criteria

The borrower meets unlikeliness to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:

- The borrower is in long-term forbearance
- The borrower is deceased
- The borrower is insolvent
- The borrower is in breach of financial covenant(s)
- An active market for that financial asset has disappeared because of financial difficulties
- Concessions have been made by the lender relating to the borrower›s financial difficulty
- It is becoming probable that the borrower will enter bankruptcy

The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to model the Probability of Default (PD), Exposure at Default (EAD) and Loss given Default (LGD) throughout the Group›s expected loss calculations.

An instrument is considered to no longer be in default (i.e. to have cured) when it no longer meets any of the default criteria for a consecutive period of six months. This period of six months has been determined based on an analysis which considers the likelihood of a financial instrument returning to default status after cure using different possible cure definitions.

4.1.4. Measuring ECL — Explanation of inputs, assumptions and estimation techniques

The Expected Credit Loss (ECL) is measured on either a 12-month (12M) or Lifetime basis depending on whether a significant increase in credit risk has occurred since initial recognition or whether an asset is considered to be credit-impaired. Expected credit losses are the discounted product of the Probability of Default (PD), Exposure at Default (EAD), and Loss Given Default (LGD), defined as follows:

- The PD represents the likelihood of a borrower defaulting on its financial obligation (as per «Definition of default and credit-impaired» above), either over the next 12 months (12M PD), or over the remaining lifetime (Lifetime PD) of the obligation. PDs have been developed using 36 months of empirical data and to avoid distortions caused by COVID 19 related payment holidays the data used was as at 28 February 2020.
- EAD is based on the amounts the Group expects to be owed at the time of default, over the next 12 months (12M EAD) or over the remaining lifetime (Lifetime EAD). For example, for a revolving commitment, the Group includes the current drawn balance plus any further amount that is expected to be drawn up to the current contractual limit by the time of default, should it occur.
- Loss Given Default (LGD) represents the Group›s expectation of the extent of loss on a defaulted exposure. LGD varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support. LGD is expressed as a percentage loss per unit of exposure at the time of default (EAD). LGD is calculated on a 12-month or lifetime basis, where 12-month LGD is the percentage of loss expected to be made if the default occurs in the next 12 months and Lifetime LGD is the percentage of loss expected to be made if the default occurs over the remaining expected lifetime of the loan.
- The ECL is determined by projecting the PD, LGD and EAD for each future month and for each individual exposure or collective segment. These three components are multiplied together and adjusted for the likelihood of survival (i.e. the exposure has not prepaid or defaulted in an earlier month).

This effectively calculates an ECL for each future month, which is then discounted back to the reporting date and summed. The discount rate used in the ECL calculation is the original effective interest rate or an approximation thereof.

The Lifetime PD is developed by applying a maturity profile to the current 12M PD. The maturity profile looks at how defaults develop on a portfolio from the point of initial recognition throughout the lifetime of the loans. The maturity profile is based on historical observed data and is assumed to be the same across all assets within a portfolio and credit grade band. This is supported by historical analysis.

4. Financial risk management (continued)

4.1.4. Measuring ECL — Explanation of inputs, assumptions and estimation techniques (contiuned)

The 12-month and lifetime EADs are determined based on the expected payment profile, which varies by product type.

- For amortising products and bullet repayment loans, this is based on the contractual repayments owed by the borrower over a 12month or lifetime basis. This will also be adjusted for any expected overpayments made by a borrower.
- For revolving products, the exposure at default is predicted by taking current drawn balance and adding a «credit conversion factor» which allows for the expected drawdown of the remaining limit by the time of default. These assumptions vary by product type and current limit utilisation band, based on analysis of the Group›s recent default data.

The 12-month and lifetime LGDs are determined based on the factors which impact the recoveries made post default. These vary by product type.

- For secured products, this is primarily based on collateral type and projected collateral values, historical discounts to market/book values due to forced sales, time to repossession and recovery costs observed.

For unsecured products, LGD›s are typically set at product level due to the limited differentiation in recoveries achieved across different borrowers. These LGD›s are influenced by collection strategies, including contracted debt sales and price.

Forward-looking economic information is also included in determining the 12-month and lifetime PD, EAD and LGD. These assumptions vary by product type. Refer to note 4.1.2.4 for an explanation of forward-looking information and its inclusion in ECL calculations.

The assumptions underlying the ECL calculation — such as how the maturity profile of the PDs and how collateral values change etc. — are monitored and reviewed on a quarterly basis.

There have been no significant changes in estimation techniques or significant assumptions made during the reporting period.

This effectively calculates an ECL for each future month, which is then discounted back to the reporting date and summed. The discount rate used in the ECL calculation is the original effective interest rate or an approximation thereof.

The Lifetime PD is developed by applying a maturity profile to the current 12M PD. The maturity profile looks at how defaults develop on a portfolio from the point of initial recognition throughout the lifetime of the loans. The maturity profile is based on historical observed data and is assumed to be the same across all assets within a portfolio and credit grade band. This is supported by historical analysis.

The 12-month and lifetime EADs are determined based on the expected payment profile, which varies by product type.

- For amortising products and bullet repayment loans, this is based on the contractual repayments owed by the borrower over a 12month or lifetime basis. This will also be adjusted for any expected overpayments made by a borrower.
- For revolving products, the exposure at default is predicted by taking current drawn balance and adding a «credit conversion factor» which allows for the expected drawdown of the remaining limit by the time of default. These assumptions vary by product type and current limit utilisation band, based on analysis of the Group›s recent default data. The 12-month and lifetime LGDs are determined based on the factors which impact the recoveries made post default. These vary by product type.
- For secured products, this is primarily based on collateral type and projected collateral values, historical discounts to market/book values due to forced sales, time to repossession and recovery costs observed.
- For unsecured products, LGD›s are typically set at product level due to the limited differentiation in recoveries achieved across different borrowers. These LGD›s are influenced by collection strategies, including contracted debt sales and price.

4. Financial risk management (continued)

4.1.4. Measuring ECL — Explanation of inputs, assumptions and estimation techniques (contiuned)

Forward-looking economic information is also included in determining the 12-month and lifetime PD, EAD and LGD. These assumptions vary by product type. Refer to note 4.1.2.4 for an explanation of forward-looking information and its inclusion in ECL calculations.

The assumptions underlying the ECL calculation — such as how the maturity profile of the PDs and how collateral values change etc. — are monitored and reviewed on a quarterly basis.

There have been no significant changes in estimation techniques or significant assumptions made during the reporting period.

4.1.5. Forward-looking information incorporated in the ECL models

The assessment of SICR and the calculation of ECL both incorporate forward-looking information. The Group has performed historical analysis and identified the key economic variables impacting credit risk and expected credit losses for each portfolio.

These economic variables and their associated impact on the PD, EAD and LGD vary by financial instrument. Expert judgment has also been applied in this process. Forecasts of these economic variables (the “base economic scenario”).

The impact of these economic variables on the PD, EAD and LGD has been determined by performing statistical regression analysis to understand the impact changes in these variables have had historically on default rates and on the components of LGD and EAD.

In addition to the base economic scenario, the Group›s credit team also provide other possible scenarios along with scenario weightings. The three scenarios and their attributes are reassessed at each reporting date. At 31 December 2021, the Group concluded that three scenarios appropriately captured non-linearities. The scenario weightings are determined by a combination of statistical analysis and expert credit judgement, taking account of the range of possible outcomes each chosen scenario is representative of. The assessment of SICR is performed using the Lifetime PD under each of the base, and the other scenarios, multiplied by the associated scenario weighting, along with qualitative and backstop indicators (see note 4.1.7.1). This determines whether the whole financial instrument is in Stage 1, Stage 2, or Stage 3 and hence whether 12-month or lifetime ECL should be recorded. Following this assessment, the Group measures ECL as either a probability weighted 12-month ECL (Stage 1), or a probability weighted lifetime ECL (Stages 2 and 3). This probability weighted ECLs are determined by running each scenario through the relevant ECL model and multiplying it by the appropriate scenario weighting (as opposed to weighting the inputs).

Economic variable assumptions

The most significant period-end assumptions used for the ECL estimate as at 31 December 2023 are set out below. The scenarios “base”, “upside” and “downside” were used for all portfolios.

Macroeconomic factors	Base scenario		Upside		Downside	
	Next 12 months	Remaining forecast period	Next 12 months	Remaining forecast period	Next 12 months	Remaining forecast period
Domestic GDP	3.3%	5.4%	6.6%	6.6%	-0.2%	3.9%
Interest rates	16.6%	15.6%	16.9%	15.9%	16.1%	15.1%
Inflation	121	113	115	107	126	118

4. Financial risk management (continued)

4.1.5. Forward-looking information incorporated in the ECL models (continued)

The weightings assigned to each economic scenario at 31 December were as follows:

	Base	Upside	Downside
	%	%	%
As at 31 December 2023			
Scenario probability weighting	50%	20%	30%
As at 31 December 2022			
Scenario probability weighting	66.0%	0%	34%

Other forward-looking considerations not otherwise incorporated within the above scenarios, such as the impact of any regulatory, legislative or political changes, have also been considered, but are not deemed to have a material impact and therefore no adjustment has been made to the ECL for such factors. This is reviewed and monitored for appropriateness on a quarterly basis.

The weights of Base and Upside have decreased/increased slightly reflecting the small change in dispersion in the scenarios. The impact on ECL is immaterial.

4.1.6. Sensitivity analysis

The most significant assumptions affecting the ECL allowance are as follows:

(i) Collateral haircuts, and
(ii) Period to recovery of collateral

Set out below are the changes to the ECL as at 31 December 2023 that would result from reasonably possible changes in these parameters from the actual assumptions used in the Group›s economic variable assumptions.

Time to realisation: The directors have assumed a time to realisation of 3 years both for commercial properties and residential properties. If time to realisation increased to 4 years, overall ECL would increase in the range of FRw 1.7 billion and FRw 2 billion.

Collateral haircuts: The directors have assumed collateral haircuts of 50% for commercial and 30% for residential properties. If haircuts were further adjusted by 10% the overall ECL would increase/reduce in the range of FRw 2.4 billion and FRw 3 billion.

4.1.2.7. Credit risk exposure

4.1.7.1. Maximum exposure to credit risk — Financial instruments subject to impairment

The following tables contain an analysis of the credit risk exposure of financial instruments for which an ECL allowance is recognised. The gross carrying amount of financial assets below also represents the Group›s maximum exposure to credit risk on these assets.

4. Financial risk management (continued)

4.1.2.7. Credit risk exposure (continued)

4.1.7.1. Maximum exposure to credit risk — Financial instruments subject to impairment (continued)

ECL determination for government securities, due from other banks

Government securities and due from other banks are considered to have low credit risk, and the loss allowance recognised during the period was therefore limited to 12 months' expected losses. Management consider 'low credit risk for these financial assets as they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term. The loss rate assigned to these has been determined to be 0.57% and 0.17% respectively which is the probability of default assigned to a B+ sovereign rating and investment grade by Standard & Poors rating agency.

	Corporate 2023				2022
	ECL staging				
	Stage 1 12-month ECL FRw'000	Stage 2 Lifetime ECL FRw'000	Stage 3 Lifetime ECL FRw'000	Total FRw'000	FRw'000
Normal	964,637,246	-	-	964,637,246	928,507,263
Watch	-	58,954,240	-	58,954,240	112,812,591
Default	-	-	72,533,384	72,533,384	28,761,876
Gross carrying amount	964,637,246	58,954,240	72,533,384	1,096,124,870	1,070,081,730
Expected credit loss	**(13,509,157)**	**(2,994,948)**	**(59,069,003)**	**(75,573,108)**	**(63,566,875)**
ERF Discount	(4,488,857)	(49,972)	(492,526)	(5,031,355)	(6,149,016)
Carrying amount	**946,639,232**	**55,909,320**	**12,971,855**	**1,015,520,407**	**1,000,365,839**

	Retail 2023				2022
	ECL staging				
	Stage 1 12-month ECL FRw'000	Stage 2 Lifetime ECL FRw'000	Stage 3 Lifetime ECL FRw'000	Total FRw'000	FRw'000
Normal	226,734,696	-	-	226,734,696	134,667,838
Watch	-	9,260,889	-	9,260,889	4,663,723
Default	-	-	14,158,334	14,158,334	10,872,808
Gross carrying amount	**226,734,696**	**9,260,889**	**14,158,334**	**250,153,919**	**150,204,369**
Expected credit loss	(3,038,240)	(1,325,323)	(11,676,886)	(16,040,449)	(16,057,889)
ERF Discount	(4,780,621)	(8,121)	(1,870)	(4,790,613)	-
Carrying amount	**218,915,834**	**7,927,445**	**2,479,578**	**229,322,857**	**134,146,480**

4. Financial risk management (continued)

4.1.7.1 Maximum exposure to credit risk — Financial instruments subject to impairment (continued)

Government securities	2023				2022
		ECL staging			
	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Normal	176,809,580	-	-	176,809,580	207,390,703
Gross carrying amount	176,809,580	-	-	176,809,580	207,390,703
Expected credit loss	(1,041,386)	-	-	(1,041,386)	(1,172,589)
Carrying amount	**175,768,194**	**-**	**-**	**175,768,194**	**206,218,114**

Guarantees and commitments	2023				2022
		ECL staging			
	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Normal	579,856,541			579,856,541	338,939,331
Watch		3,237,788		3,237,788	8,296,130
Default			21,036	21,036	611,505
Gross carrying amount	**579,856,541**	**3,237,788**	**21,036**	**583,115,365**	**347,846,966**
Expected credit loss	(5,125,848)	(149,418)	(242,606)	(5,517,872)	(832,613)
Carrying amount	**574,730,693**	**3,088,370**	**(221,570)**	**577,597,493**	**347,014,353**

Cash balances with other banks					
		ECL staging			
	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
A	185,480,148	-	-	185,480,148	8,790,103
A+	56,993,465	-	-	56,993,465	27,322,205
AA	1,617,122	-	-	1,617,122	229,978
B+	1,951,683	-	-	1,951,683	7,142,536
BB-	109,886	-	-	109,886	4,459
Expected credit loss	(1,106,622)	-	-	(1,106,622)	(169,676)
Carrying amount	**245,045,682**	**-**	**-**	**245,045,682**	**43,319,605**

4. Financial risk management (continued)

4.1.7.1 Maximum exposure to credit risk — Financial instruments subject to impairment (continued)

The Expected Credit Losses (ECL) for cash balances with other banks has been arrived at using the below credit ratings for financial institutions:

AA	Very high credit quality with low credit risk
A	High credit quality with low credit risk
A-	Good credit quality with some credit risk
A+	Strong credit quality with low credit risk
BB-	Speculative with substantial credit risk
B	Highly speculative with high credit risk
B+	Highly speculative with high credit risk

Balances with National Bank of Rwanda	2023				2022
		ECL staging			
	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Gross amount	309,686,367	-	309,686,367	309,686,367	335,093,302
Expected credit loss	(4,030,351)	-	(4,030,351)	(4,030,351)	6,343,095)
Carrying amount	**305,656,016**	**-**	**305,656,016**	**305,656,016**	**328,750,207**

Other Assets	2023				2022
		ECL staging			
	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Gross amount	12,936,700	-	-	12,936,700	20,008,729
Expected credit loss	(3,739,352)	-	-	(3,739,352)	(2,180,591)
Carrying amount	**9,197,348**	**-**	**-**	**9,197,348**	**17,828,138**

Information on how the Expected Credit Loss (ECL) is measured and how the three stages above are determined is included in note 4.1.4, "Expected Credit Loss Measurement".

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to external credit ratings (if available) or to historical information about counterparty default rates.

4. Financial risk management (continued)

4.1.8. Gross loans

Below is a transitional table between stages between 1 January 2023 to 31 December 2023:

	31 December 2023			
		ECL staging		
	Stage 1 12-month ECL FRw'000	Stage 2 Lifetime ECL FRw'000	Stage 3 Lifetime ECL FRw'000	Total FRw'000
Gross loans as at 1 January 2023	**1,059,643,574**	**115,464,884**	**39,040,624**	**1,214,149,082**
Transfers from stage 1 to stage 2	(13,149,876)	13,149,876	-	-
Transfers from stage 2 to stage 1	4,882,044	(4,882,044)	-	-
Transfers to stage 3	(1,238,231)	(7,481,859)	8,720,090	-
Transfers from stage 3	11,743,978	341,578	(12,085,556)	-
New loans disbursed	249,051,054	4,037,194	54,981,827	308,070,075
Repayments	(128,750,184)	(52,543,489)	-	(181,293,673)
Net movement in gross loans	**122,538,785**	**(47,378,744)**	**51,616,361**	**126,776,402**
Financial asset derecognised			(4,459,663)	(4,459,663)
Gross loans as at 31 December 2023	**1,182,182,359**	**68,086,140**	**86,197,322**	**1,336,465,821**

	31 December 2022			
		ECL staging		
	Stage 1 12-month ECL FRw'000	Stage 2 Lifetime ECL FRw'000	Stage 3 Lifetime ECL FRw'000	Total FRw'000
Gross loans as at 1 January 2022	**813,564,757**	**193,298,576**	**66,246,858**	**1,073,110,191**
Transfers from stage 1 to stage 2	(42,209,367)	42,209,367	-	-
Transfers from stage 2 to stage 1	98,656,601	(98,656,601)	-	-
Transfers to stage 3	(8,175,078)	(4,132,501)	12,307,579	-
Transfers from stage 3	6,671,121	5,655,151	(12,326,272)	-
New loans disbursed	191,126,540	737,102	1,043,443	192,907,085
Repayments	-	(23,646,210)	(12,536,244)	(36,182,454)
Net movement in gross loans	**1,059,634,574**	**115,464,884**	**54,735,364**	**1,229,834,822**
Financial asset derecognised	-	-	(15,697,740)	(15,697,740)
Gross loans as at 31 December 2022	**1,059,634,574**	**115,464,884**	**39,037,624**	**1,214,137,082**

4. Financial risk management (continued)

4.1.9. Loss Allowance-Investment securities

There has been no upgrade or downgrade in the investment securities in the year. All these investment securities are performing.

Below is a transitional table between stages between 1 January 2023 to 31 December 2023:

	31 December 2023			
	Stage 1 FRw'000	Stage 2 FRw'000	Stage 3 FRw'000	Total FRw'000
Loss allowance as at 1 January 2023	14,736,291	30,631,350	34,257,121	79,624,762
Movements with P&L impact				
Transfers from stage 1 to stage 2	(1,151,303)	1,151,303	-	-
Transfers from stage 2 to stage 1	1,991,337	(1,991,337)	-	-
Transfers to stage 3	(3,427,823)	(20,683,409)	24,111,232	-
Transfers from stage 3	399,059	113,873	(512,932)	-
ECL on new exposure raised	1,406,398	589,005	3,511,580	5,506,983
Subsequent changes in ECL	2,593,437	(5,490,515)	13,838,554	10,941,476
Net movement to profit or loss	**1,811,105**	**(26,311,080)**	**40,948,434**	**16,448,459**
Other movements with no P&L impact				
Financial asset derecognised			(4,459,663)	(4,459,663)
Loss allowance as at 31 December 2023	**16,547,396**	**4,320,270**	**70,745,892**	**91,613,558**

	31 December 2022			
	Stage 1 FRw'000	Stage 2 FRw'000	Stage 3 FRw'000	Total FRw'000
Loss allowance as at 1 January 2022	13,433,727	19,159,983	43,842,081	76,435,791
Movements with P&L impact				
Transfers from stage 1 to stage 2	(2,546,291)	2,546,291	-	-
Transfers from stage 2 to stage 1	15,232,908	(15,232,908)	-	-
Transfers to stage 3	(345,759)	(1,456,149)	1,801,908	-
Transfers from stage 3	3,608,994	2,205,686	(5,814,680)	-
ECL on new exposure raised	3,089,321	202,279	1,237,048	4,528,648
Subsequent changes in ECL	(15,648,807)	14,467,878	9,130,115	7,949,186
Net movement to profit or loss	**3,390,366**	**2,733,077**	**6,354,391**	**12,477,834**
Other movements with no P&L impact				
Financial asset derecognised	-	-	(15,697,738)	(15,697,738)
Loss allowance as at 31 December 2022	**16,824,093**	**21,893,060**	**34,498,734**	**73,215,887**

4. Financial risk management (continued)

The table below presents the credit quality of financial instruments:

Credit quality	Stage 1	Stage 2
Balances with National Bank of Rwanda	**308,520,650**	**328,750,207**
- Counterparty without credit rating		-
Government securities		
B+	175,768,193	206,218,114
Loans and advances	**1,336,387,537**	**1,214,137,083**
Counterparties without credit rating		-
Other assets		-
Counterparties without credit rating	**9,266,633**	**17,828,138**

Collateral and other credit enhancements

The Bank employs a range of policies and practices to mitigate credit risk. The most common of these is accepting collateral for funds advanced. The Bank has internal policies on the acceptability of specific classes of collateral or credit risk mitigation.

The Bank prepares a valuation of the collateral obtained as part of the loan origination process. This assessment is reviewed periodically. The principal collateral types for loans and advances are:

- Mortgages over residential and commercial properties;
- Charges over business assets such as premises, inventory and accounts receivable;
- Charges over financial instruments such as debt securities and equities; and
- Commitments and letters of undertaking from the Government of Rwanda.

Longer-term finance and lending to corporate entities are generally secured; revolving individual credit facilities are generally unsecured. Collateral held as security for financial assets other than loans and advances depends on the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured. Derivatives are not collateralised. The Bank›s policies regarding obtaining collateral have not significantly changed during the reporting period and there has been no significant change in the overall quality of the collateral held by the Bank since the prior period.

The Bank adopts a conservative approach in the foreclosure of mortgages and considers the foreclosure as a las t resort. After all the recovery options have failed, the bank will seek for approval from the Rwanda Development Board (RDB). Once the permit is given to the Bank, a Bailiff is appointed who in turn will begin the auction process. The auction process is open, and anyone is invited to participate. In the case that there is no outright buyer, the Bank normally considers acquiring the asset, in which case it will hold for a maximum of one year, and this is classified as assets held for sale.

The Bank closely monitors collateral held for financial assets considered to be credit-impaired, as it becomes more likely that the Bank will take possession of collateral to mitigate potential credit losses. In the case of repossession, the bank recognises the collateral as asset held for sale and derecognises the financial assets within one year. As at 31 December 2022, the Bank did not hold any collaterals re-possessed.

4. Financial risk management (continued)

Financial assets that are credit-impaired and related collateral held in order to mitigate potential losses are shown below:

As at 31 December 2023							
Corporate	**Stage 1**	**Stage 2**	**Stage 3**	**Gross Loans**	**Impairment allowance**	**Carrying amount**	**Fair value of collateral**
Overdrafts	560,433,055	24,164,044	65,571,814	650,168,913	(65,141,537)	585,027,376	201,439,713
Treasury loans	19,442,990	303,920	1,444,427	21,191,337	(1,013,448)	20,177,889	78,250,395
Equipment loans	327,570,940	33,969,984	4,205,745	365,746,669	(7,905,261)	357,841,408	941,883,361
Consumer loans	2,340,944	143,309	289,230	2,773,483	(337,154)	2,436,329	-
Mortgage loans	50,360,460	323,010	529,641	51,213,111	(1,175,708)	50,037,403	70,884,331
Others	-	0	-	-	-	-	-
Total	**960,148,389**	**58,904,267**	**72,040,857**	**1,091,093,513**	**(75,573,108)**	**1,015,520,405**	**1,292,457,800**
Retail							
Overdrafts	17,826,221	1,679,317	4,782,387	24,287,925	(4,658,238)	19,629,687	149,890,110
Treasury loans	466,925	3,773	0	470,698	(4,244)	466,454	14,409,370
Equipment loans	919,611	219,917	144,879	1,284,407	(140,337)	1,144,070	35,225,871
Consumer loans	138,025,636	5,500,204	8,423,536	151,949,376	(10,119,897)	141,829,479	403,079
Mortgage loans	64,715,682	1,849,557	805,662	67,370,901	(1,117,732)	66,253,169	33,440,159
Others	-	-	-	-	-	-	
Total	**221,954,075**	**9,252,768**	**14,156,464**	**245,363,307**	**(16,040,448)**	**229,322,859**	**233,368,589**
Overdrafts	578,259,276	25,843,361	70,354,201	674,456,838	(69,799,776)	604,657,062	351,329,822
Treasury loans	19,909,914	307,694	1,444,427	21,662,035	(1,017,692)	20,644,343	92,659,764
Equipment loans	328,490,551	34,189,901	4,350,624	367,031,076	(8,045,598)	358,985,478	977,109,234
Consumer loans	140,366,580	5,643,513	8,712,766	154,722,859	(10,457,051)	144,265,808	403,079
Mortgage loans	115,076,141	2,172,567	1,335,303	118,584,011	(2,293,440)	116,290,571	104,324,489
Others	-	-	-	-	-	-	-
Total	**1,182,102,462**	**68,157,036**	**86,197,321**	**1,336,456,819**	**(91,613,557)**	**1,244,843,262**	**1,525,826,388**

4. Financial risk management (continued)

As at 31 December 2022							
Corporate	Stage 1	Stage 2	Stage 3	Gross Loans	Impairment allowance	Carrying amount	Fair value of collateral
Overdrafts	80,520,084	3,639,935	4,509,710	88,669,729	(14,937,121)	73,732,608	201,439,713
Treasury loans	36,707,096	4,594,574	735,149	42,036,819	(1,072,251)	40,964,568	78,250,395
Equipment loans	766,427,131	93,503,505	17,152,519	877,083,155	(35,244,434)	841,838,721	941,883,361
Consumer loans	1,794,518	43,218	290,017	2,127,753	(14,714)	2,113,039	-
Mortgage loans	39,517,908	9,019,928	5,477,422	54,015,258	(12,298,355)	41,716,903	70,884,331
Others	-	-	-	-	-	-	-
	924,966,737	**110,801,160**	**28,164,817**	**1,063,932,714**	**(63,566,875)**	**1,000,365,839**	**1,292,457,800**
Retail							
Overdrafts	1,872,358	3,368	1,816,864	3,692,590	(2,634,921)	1,057,669	149,890,110
Treasury loans	5,736,316	192,927	202,898	6,132,141	(171,009)	5,961,132	14,409,370
Equipment loans	4,634,547	612,700	2,181,420	7,428,667	(71,400)	7,357,267	35,225,871
Consumer loans	67,452,029	1,785,654	4,843,737	74,081,420	(616,877)	73,464,543	403,079
Mortgage loans	54,972,588	2,069,074	1,827,889	58,869,551	(12,563,682)	46,305,869	33,440,159
Others	-	-	-	-	-	-	
Total	**134,667,838**	**4,663,723**	**10,872,808**	**150,204,369**	**(16,057,889)**	**134,146,480**	**233,368,589**
Overdrafts	82,392,443	3,643,303	6,326,574	92,362,320	(17,572,043)	74,790,277	351,329,822
Treasury loans	42,443,412	4,787,500	938,047	48,168,959	(1,243,259)	46,925,700	92,659,764
Equipment loans	771,061,677	94,116,206	19,333,939	884,511,822	(35,315,834)	849,195,988	977,109,234
Consumer loans	69,246,547	1,828,871	5,133,754	76,209,172	(631,591)	75,577,581	403,079
Mortgage loans	94,490,496	11,089,002	7,305,311	112,884,809	(24,862,037)	88,022,772	104,324,489
Others	-	-	-	-	-	-	-
Total	**1,059,634,575**	**115,464,882**	**39,037,625**	**1,214,137,082**	**(79,624,764)**	**1,134,512,318**	**1,525,826,388**

The loss allowance recognised in the period is impacted by a variety of factors, as described below:

- Transfers between Stage 1 and Stages 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit-impaired in the period, and the consequent «step up» (or «step down») between 12-month and Lifetime ECL;
- Additional allowances for new financial instruments recognised during the period, as well as releases for financial instruments de-recognised in the period;
- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Impacts on the measurement of ECL due to changes made to models and assumptions;
- Discount unwind within ECL due to the passage of time, as ECL is measured on a present value basis;
- Foreign exchange retranslations for assets denominated in foreign currencies and other movements; and
- Financial assets derecognised during the period and write-offs of allowances related to assets that were written off during the period (see note 5.1.6).

4. Financial risk management (continued)

4.1.10. Write-off policy

The Group writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity and (ii) where the Group›s recovery method is foreclosing on collateral and the value of the collateral is such that there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The outstanding contractual amounts of such assets written off during the year ended 31 December 2023 was FRw 15,697,738,497 (2022: FRw 15,697,738,497). The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery.

4.1.11. Modification of financial assets

BK group sometimes modifies the terms of loans provided to customers due to commercial renegotiations, or for distressed loans, with a view to maximising recovery.

Such restructuring activities may include extended payment term arrangements, payment holidays and payment forgiveness. Restructuring policies and practices are based on indicators or criteria which, in the judgement of management, indicate that payment will most likely continue. These policies are kept under continuous review. Restructuring is most commonly applied to term loans.

The risk of default of such assets after modification is assessed at the reporting date and compared with the risk under the original terms at initial recognition, when the modification is not substantial and so does not result in derecognition of the original asset. The Bank monitors the subsequent performance of modified assets. The Bank may determine that the credit risk has significantly improved after restructuring, so that the assets are moved from Stage 3 or Stage 2 (Lifetime ECL) to Stage 1 (12-month ECL). This is only the case for assets which have performed in accordance with the new terms for six consecutive months or more.

4.1.12. Concentration of credit risk

Concentrations of credit risk arise when a number of counterparties or exposures have comparable economic characteristics, or such counterparties are engaged in similar activities or operate in the same geographical areas or industry sectors so that their collective ability to meet contractual obligations is uniformly affected by changes in economic, political or other conditions. We use a number of controls and measures to minimise undue concentration of exposure in our two client segments. These include portfolio and counterparty limits, approval and review controls.

The Group monitors concentrations of credit risk by sector. An analysis of concentrations of credit risk at the reporting date is shown below:

	31 December 2023		31 December 2022	
	FRw'000	%age	FRw'000	%age
Large Corporate	856,787,935	64.1%	911,274,882	75.06%
SMEs	206,305,984	15.4%	137,272,913	11.30%
Agri business	27,999,595	2.1%	15,384,918	1.27%
Retail Banking	245,363,306	18.4%	150,204,369	12.37%
Gross loans	**1,336,456,820**	**100.0%**	**1,214,137,082**	**100%**

4. Financial risk management (continued)

4.2. Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations from its financial liabilities. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group's treasury maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The daily liquidity position is monitored, and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions.

The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. Details of the reported Group's ratio of net liquid assets to deposits from customers at the reporting date and during the reporting year were as follows:

Credit quality	31 December 2023	31 December 2022
At close of the year	48.9%	42.9%
Average for the year	46.3%	44.7%
Maximum for the year	49.8%	49.5%
Minimum for the year	40.8%	39.7%
Minimum statutory requirement	20.0%	20.0%

The table below summarizes the Group's liquidity risk as at 31 December 2023 and 31 December 2022, categorized into relevant maturity rankings based on undiscounted contractual cash flows.

4. Financial risk management (continued)

4.2. Liquidity risk (continued)

Assets	Up to 1 month	1 - 3 months	3 – 12 months	1 - 5 years	Over 5 years	Total
Balances with the National Bank of Rwanda	303,508,101	-	-	-	-	303,508,101
Cash balance with other banks	274,657,809	26,215,437	-	-	-	300,873,246
Held to maturity investments	13,928,710	26,441,920	80,217,555	62,130,972	5,440,378	188,159,535
Investment in corporate Bond		-	20,562,064	-	-	20,562,064
Investment in specialized funds	1,210,651	-	7,842,333	5,482,888		14,535,872
Loans and advances to customers	132,926,980	15,111,951	33,925,502	290,855,111	787,206,090	1,260,025,634
Other assets	6,645,368	1,190,694	4,752,834	-	-	12,588,896
Insurance Contract Assets	-		5,111,545			5,111,545
Reinsurance contract Asset	-		2,515,513			2,515,513
SWAP receivables	-	-	8,170,666	5,886,737	-	14,057,403
Total assets	**732,877,619**	**68,960,002**	**163,098,012**	**364,355,708**	**792,646,468**	**2,121,937,809**
Liabilities and equity						
Due to banks	157,985,072	3,779,452	14,200,419	19,219,663	-	195,184,606
Customer deposits	1,231,390,465	10,209,555	124,616,740	20,150,624	20,157,127	1,406,524,511
Dividends payable	-	-	23,145,720	-	-	23,145,720
Other liabilities	38,351,955	4,364,158	-	-	-	42,716,113
Insurance contract Liabilities			10,944,629			10,944,629
Long-term Finance	-	158,771	3,649,076	36,252,000	63,662,215	103,722,062
SWAP payables	-		8,170,666	5,886,737	-	14,057,403
At 31 December 2023	**1,427,727,492**	**18,511,936**	**184,727,250**	**81,509,024**	**83,819,342**	**1,796,295,044**
Off balance sheet items	21,115,132	15,131,919	82,554,962	62,157,252	402,156,100	583,115,365
Liquidity Gap December 2023	**(715,965,005)**	**35,316,147**	**(104,184,200)**	**220,689,432**	**306,671,026**	**(257,472,600)**

4. Financial risk management (continued)
4.2. Liquidity risk (continued)

FRw'000	Total Carrying amount	0-3 month	3 – 12 months	1 - 5 years	Over 5 years	Total
Assets						
Cash in hand	21,757,316	21,757,316	-	-	-	21,757,316
Balances with the National Bank of Rwanda	328,750,207	295,331,816	15,637,983	19,326,530	-	330,296,329
Cash balances with other banks	48,979,707	48,979,707	-	-	-	48,979,707
Investments at amortized cost	216,899,036	30,838,434	21,524,613	135,452,330	31,252,649	219,068,026
Investment in corporate bond	12,069,536	-	-	13,119,062		13,119,062
Investment in specialised fund	12,605,141	12,605,141	-	-	-	12,605,141
Loans and advances to customers	1,134,512,318	147,961,483	33,907,754	290,702,946	675,176,113	1,147,748,296
Insurance receivables	5,518,539	-	-	6,520,013	-	6,520,013
Other assets	19,374,250	9,223,609	4,001,625	7,264,905	-	20,490,139
Total assets	**1,800,466,050**	**566,697,506**	**75,071,975**	**472,385,786**	**706,428,762**	**1,820,584,029**
Liabilities						
Due to banks	280,588,198	178,723,674	71,197,865	33,119,993	-	283,041,532
Other customer deposits	1,075,188,572	952,458,832	99,074,711	15,958,833	9,448,149	1,076,940,525
Dividends payable	30,704,511	-	30,704,511	-	-	30,704,511
Insurance liabilities	8,162,379	8,162,379	-	-	-	8,162,379
Other liabilities	29,848,038	21,530,342	832,613	8,083,889	-	30,446,844
Long-term Finance	102,718,352	158,771	3,649,076	39,152,160	67,671,186	110,631,193
Lease liabilities	1,787,992	265,856	797,567	724,570	-	1,787,993
At 31 December 2022	**1,528,998,042**	**1,161,299,854**	**206,256,343**	**97,039,445**	**77,119,335**	**1,541,714,977**
Bank Guarantee	347,846,967	37,538,051	45,554,962	32,572,526	232,181,428	347,846,967
Loan commitments	46,082,353	18,069,711	15,245,545	6,552,545	6,214,552	46,082,353
Liquidity Gap December 2022	**271,468,008**	**(594,602,348)**	**(131,184,368)**	**375,346,341**	**629,309,427**	**278,869,052**

In managing its liquidity mismatch, the Bank has three sources of funding available namely its natural cash flow, investment securities assets and capacity to borrow additional funds. The Bank borrows from wholesale markets or other financial institutions long-term loans to cover for the short-term maturity gap. In addition, the analysis distinguishes between liquidity held to deal with normal conditions and additional liquidity held as a reserve for unforeseeable disruptions.

4. Financial risk management (continued)
4.3. Market risk

(i) Currency risk

BK Group Plc takes on exposure to effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in total for both overnight and intra-day positions which are monitored daily and hedging strategies used to ensure that positions are maintained within the established limits.

Transactions in foreign currency are recorded at the rate in effect at the date of the transaction. BK group Plc translates monetary assets and liabilities denominated in foreign currencies at the rate of exchange in effect at the reporting date. BK group Plc records all gains or losses on changes in currency exchange rates in profit or loss.

The table below summarises the foreign currency exposure for BK Group Plc as at 31 December 2023 and 31 December 2022:

	31 December 2023 FRw'000	31 December 2022 FRw'000
Assets in foreign currencies	664,872,625	475,584,513
Liabilities in foreign currencies	(684,020,635)	(481,681,397)
Net foreign currency exposure at the end of the year	**(19,148,010)**	**(6,096,884)**

The following table demonstrates the sensitivity to a reasonably possible change in the below mentioned exchange rates of major transaction currencies, with all other variables held constant, of BK group Plc's profit before tax (due to changes in the fair value of monetary assets and liabilities).

Currency	Increase/ decrease in exchange rate	31 December 2023 FRw'000	31 December 2022 FRw'000
USD	+5%	1,216,732	(623,172)
	-5%	(1,216,732)	623,172
GBP	+5%	113,876	293,730
	-5%	(113,876)	(293,730)
EUR	+5%	37,355	(12,075)
	-5%	(37,355)	12,075

4. Financial risk management (continued)

4.3. Market risk (continued)

(i) Currency risk (continued)

The various foreign currencies to which BK Group Plc is exposed as at 31 December 2023 are summarised below. All figures are in thousands of Rwandan francs (FRw'000):

	USD	EUR	GBP	Other foreign currencies	Total
Cash, deposits and advances to banks	401,314,858	31,778,011	3,003,726	3,038,816	439,135,411
Loans and advances to customers	192,858,388	14,770	927	176	192,874,261
Other assets, property and investments	9,278,993	232,724	78,626	100,542	9,690,885
Swap with BNR	23,172,068	-	-	-	23,172,068
At 31 December 2023	**626,624,307**	**32,025,505**	**3,083,279**	**3,139,534**	**664,872,625**
Liabilities and Equity					
Deposits from banks	52,586,439	274,471	12,926	115,666	52,989,502
Deposits from customers	581,175,314	29,260,182	2,321,564	854,656	613,611,716
Other liabilities	2,123,168	213,337	1,698	7,182	2,345,385
Long-term finance	15,074,032	-	-	-	15,074,032
At 31 December 2023	**650,958,953**	**29,747,990**	**2,336,188**	**977,504**	**684,020,635**
Net currency exposure	**(24,334,646)**	**2,277,515**	**747,091**	**2,162,030**	**(19,148,010)**

4.4. Currency risk

	USD	EUR	GBP	Other foreign currencies	Total
Cash, deposits and advances to banks	230,837,404	24,988,454	1,334,616	1,432,820	258,593,294
Loans and advances to customers	154,520,527	(74,176)	321	(45)	154,446,627
Other assets, property and investments	16,478,115	2,864,477	282,894	(69,573)	19,555,913
Swap with BNR	42,988,680	-	-	-	42,988,680
At 31 December 2022	**444,824,726**	**27,778,755**	**1,617,831**	**1,363,202**	**475,584,514**
Liabilities and Equity					
Deposits from banks	100,400,814	386,941	318,044	-	101,105,799
Deposits from customers	340,673,088	22,819,521	1,095,950	621,890	365,210,449
Other liabilities	(206,603)	(1,302,306)	445,333	7,850	(1,055,726)
Long-term finance	16,420,878	-	-	-	16,420,878
At 31 December 2022	**457,288,177**	**21,904,156**	**1,859,327**	**629,740**	**481,681,400**
Net currency exposure	**(12,463,451)**	**5,874,599**	**(241,496)**	**733,462**	**(6,096,886)**

4. Financial risk management (continued)

4.5. Interest rate risk

Interest rate is the risk that the future cash flows of financial instruments will fluctuate because of changes in the market interest rates. Interest margin may increase as a result of such changes but may reduce losses in the event that unexpected movement arises. BK group Plc closely monitors interest rate movements and seeks to limit its exposure by managing the interest rate and maturity structure of assets and liabilities carried on the statement of financial position.

Sensitivity analysis interest rate risk

Except for some borrowings that are tagged to LIBOR, all financial instruments entered into by BK group Plc are at fixed rates and therefore not prone to interest rate fluctuations. The impact of fluctuations in the LIBOR (London Interbank Rate) is not expected to have a significant effect on the results of BK group Plc.

	Effect on profit before tax		
Currency	Increase/ decrease in LIBOR rate	31 December 2023	31 December 2022
USD	+/-0.23%	(55,970)	(28,666)
EUR	+/-0.27%	6,149	15,861

	Effect on Equity		
Currency	Increase/ decrease in LIBOR rate	31 December 2023	31 December 2022
USD	+/-0.23%	(39,179)	(20,066)
EUR	+/-0.27%	4,305	11,103

The following is an analysis of BK Group Plc's sensitivity to an increase or decrease in market interest rates, assuming no asymmetrical movement in yield curves and a constant financial position:

Balance as at 31 December 2023	Weighted interest rate	FRw'000	+/- 100bp FRw'000
Effect on interest income			
Balances and placements with other banks	4.1%	245,045,682	2,450,457
Treasury bills and bonds	10.4%	191,907,590	1,919,076
Loans and advances – Net	14.6%	1,244,843,264	12,448,433
Total assets/increase		**1,681,796,536**	**16,817,966**
Effect on interest expense			
Balances and placements due to banks	1.2%	223,748,193	2,237,482
Customer deposits	8.4%	473,199,709	4,731,997
Long-Term Finance	9.6%	103,722,061	1,037,221
Total liabilities/increase		**800,669,963**	**8,006,700**
Effect on profit		**881,126,573**	**8,811,266**
Effect on equity		**315,026,901**	**6,167,886**

4. Financial risk management (continued)

4.5. Interest rate risk (continued)

The following is an analysis of BK Group Plc's sensitivity to an increase or decrease in market interest rates, assuming no asymmetrical movement in yield curves and a constant financial position:

Balance as at 31 December 2022	Weighted interest rate	FRw'000	+/- 100bp FRw'000
Effect on interest income			
Balances and placements with other banks	3.8%	43,319,605	433,196
Treasury bills and bonds	12.7%	218,009,651	2,180,097
Loans and advances – net	14.0%	1,136,937,356	11,369,374
Total assets/increase		**1398,266,612**	**13,982,667**
Effect on interest expense			
Balances and placements due to banks	2.9%	263,687,669	2,636,877
Customer deposits	11.0%	431,130,664	4,311,307
Long-term finance	5.9%	102,718,352	1,027,184
Total liabilities/increase		**797,536,685**	**7,975,368**
Effect on profit		**600,729,927**	**6,007,299**
Effect on equity		**270,814,712**	**4,205,109**

The table below summarizes the interest rate risk of BK group Plc as at 31 December 2023:

	Weighted interest rate	On demand FRw'000	Less than 3 months FRw'000	3-12 months FRw'000	1 to 5 year FRw'000	Over 5 years FRw'000	Total FRw'000
Assets							
Balances with other banks	4.1%	241,177,914	1,003,134	-	-	-	242,181,048
Treasury bills and bonds	10.4%	-	40,024,843	68,750,762	61,598,800	5,393,789	175,768,194
Investment in corporate bond	11.0%	-	-	-	16,139,396	-	16,139,396
Investment in specialized fund	9.7%	1,104,027	-	-	-	-	1,104,027
Loans and advances – net	14.6%	-	146,255,172	33,516,725	287,350,524	777,720,843	1,244,843,264
Total assets		**242,281,941**	**187,283,149**	**102,267,487**	**365,088,720**	**783,114,632**	**1,680,035,929**
Liabilities							
Balances due to other banks	1.2%	86,270,314	3,779,452	114,478,765	19,219,663	-	223,748,194
Customer deposits	8.4%	308,759,715	10,000,076	117,248,472	18,592,723	18,598,723	473,199,709
Long-term finance	9.6%		10,687,181	54,640,971	38,393,908	103,722,061	207,444,121
Total liabilities		**395,030,029**	**24,466,709**	**286,368,208**	**76,206,294**	**122,320,784**	**904,392,024**
Total interest sensitivity gap		**(152,748,088)**	**162,816,440**	**(184,100,721)**	**288,882,426**	**660,793,848**	**775,643,905**

4. Financial risk management (continued)

4.5. Interest rate risk (continued)

The table below summarizes the interest rate risk of BK Group Plc as at 31 December 2022:

	Weighted interest rate	On demand FRw'000	Less than 3 months FRw'000	3-12 months FRw'000	1 to 5 year FRw'000	Over 5 years FRw'000	Total FRw'000
ASSETS							
Balances with other banks	3.8%	43,319,605	-	-	-	-	43,319,605
Treasury bills and bonds	12.7%	-	78,341,215	37,592,569	28,983,257	58,674,551	203,591,592
Investment in corporate bond	9.4%	-	6,187,500	-	5,604,037	-	11,791,537
Investment in specialized fund	9.6%	1,050,241	-	-	-	-	1,050,241
Loans and advances – net	14.0%	-	146,255,172	33,516,725	287,350,524	669,814,934	1,136,937,355
Total assets		**44,369,846**	**230,783,887**	**71,109,294**	**321,937,818**	**728,489,485**	**1,396,690,330**
Liabilities							
Balances due to other banks	2.9%	86,810,986	5,333,898	153,702,333	17,840,452	-	263,687,669
Customer deposits	11.0%	299,658,652	9,985,940	98,174,776	14,642,475	8,668,822	431,130,665
Long-term finance	5.9%	**-**	**148,337**	**17,259,667**	**78,543,975**	**6,766,373**	**102,718,352**
Total liabilities		**386,469,638**	**15,468,175**	**269,136,776**	**111,026,902**	**15,435,195**	**797,536,686**
Total interest sensitivity gap		**(342,099,792)**	**215,315,712**	**(198,027,482)**	**210,910,916**	**713,054,290**	**599,153,644**

5. Capital management

The primary objective of the Group's capital management is to ensure that the Group, Bank and Insurance subsidiaries comply with capital requirements and maintain healthy capital ratios in order to support its business and to maximise shareholders' value.

The Group maintains an actively managed capital base to cover risks inherent in the businesses. The adequacy of the Group's capital is monitored using, among other measures, the rules and ratios established by the National Bank of Rwanda. The National Bank of Rwanda sets and monitors capital requirements for the banking and insurance industries.

In implementing current capital requirements, the National Bank of Rwanda requires the Group to maintain a prescribed ratio of total capital to total risk-weighted assets for its banking business and maintaining adequate capital and solvency for the insurance business.

The Group's bank subsidiary regulatory capital is analysed into two tiers:

- Core Capital (Tier 1) capital, which includes ordinary share capital, share premium, retained earnings, after deductions for investments in financial institutions, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes; and
- Supplementary Capital (Tier 2) includes the regulatory reserve.

Various limits are applied to elements of the capital base.

The Group policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Group recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

5. Capital management (continued)

The Group Insurance subsidiary capital:

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the Statement of financial position are:

- to comply with the capital requirements as set out in the Insurance Regulations;
- to comply with regulatory solvency requirements as set out in the Insurance Regulations;
- to safeguard the Group's ability to continue as a going concern, so that it can continue to provide returns to share-holders and benefits for other stakeholders; and
- To provide an adequate return to shareholders by pricing insurance and investment contracts commensurately with the level of risk.

The Insurance Law (Law No. 05/2009 of 29/07/2009 on licensing and other requirements for carrying insurance business in Rwanda) requires separation of the life and non-life insurance businesses into separate companies and each of the companies to hold a minimum level of paid up capital of FRw 1 billion.

General insurance businesses are required to maintain a solvency margin (admitted assets less admitted liabilities) equivalent to the higher of FRw 500 million or 20% of the net premium income during the preceding financial year.

The capital and regulatory solvency thresholds were effective from July 2011 and the company was therefore required to comply with them for the period ended 31 December 2021. During the year the Company held the minimum capital required to meet the solvency margins.

The Company's paid up Capital at the end of 2021 is presented on the next page. The table below summarises the solvency margin of the Company at 31 December 2023 and 2022:

Below is the solvency margin status as at 31 December which is the key indicator of company capital adequacy:

	2023	2022
Solvency Margin Required	1,462,450	1,887,886
Admitted Assets	23,866,800	18,402,684
Admitted Liabilities	(16,524,123)	(12,120,276)
Solvency Margin Available	7,342,677	6,282,408
Excess on Solvency Required	5,880,227	4,394,522
Solvency Ratio	**502.1%**	**333%**

5. Capital management (continued)

The Group's capital position was as follows:

	31 December 2023 FRw'000	31 December 2022 FRw'000
Core Capital (Tier 1):		
Ordinary share capital	9,281,625	9,185,147
Share premium	82,423,448	79,953,617
Investment of non-controlling interests	4,259,348	3,548,109
Retained earnings and reserves	269,944,883	226,555,464
Statutory credit risk reserves	(2,321,973)	(2,321,973)
Regulatory adjustments	(15,035,081)	(21,142,476)
Total	**348,552,250**	**295,777,888**
Domestic Important Bank	(2,769,842)	(2,374,647)
Supplementary Capital (Tier 2): 25% of revaluation reserve	3,274,998	3,274,998
Total qualifying capital	**349,057,406**	**296,678,239**
Total Credit Risk Weighted Assets	1,399,499,715	1,255,771,867
Total Market Risk Weighted Assets	45,780,221	45,780,221
Total Operational Risk Weighted Assets	119,579,630	119,579,630
Total Risk weighted assets	**1,564,859,566**	**1,421,131,718**
Regulatory reserve	15.0%	15.0%
Capital ratios:		
Total qualifying capital expressed as percentage of total risk-weighted assets	21.1%	20.9%
Total tier 1 capital expressed as a percentage of total risk-weighted assets	21.0%	19.9%

6. Insurance risk management

IFRS 17 Insurance Contracts

Changes to classification and measurement

The Group was previously permitted under IFRS 4 to continue accounting using its previous accounting policies. However, IFRS 17 establishes specific principles for the recognition and measurement of insurance contracts issued and reinsurance contracts held by the Group.

Under IFRS 17, the Group's insurance contracts issued, and reinsurance contracts held are all eligible to be measured by applying the PAA. The PAA simplifies the measurement of insurance contracts in comparison with the general model in IFRS 17.

The measurement principles of the PAA differ from the 'earned premium approach' used by the Group under IFRS 4 in the following key areas:

- The liability for remaining coverage reflects premiums received less deferred insurance acquisition cash flows and less amounts recognised in revenue for insurance services provided.
- Measurement of the liability for remaining coverage involves an explicit evaluation of risk adjustment for non-financial risk when a group of contracts is onerous in order to calculate a loss component (Previously these may have formed part of the unexpired risk reserve provision).
- Measurement of the liability for incurred claims (previously claims outstanding and incurred-but-not reported (IBNR) claims) is determined on a discounted probability-weighted expected value basis and includes an explicit risk adjust-ment for non-financial risk. The liability includes the Group's obligation to pay other incurred insurance expenses.
- Measurement of the asset for remaining coverage (reflecting reinsurance premiums paid for reinsurance held) is adjusted to include a loss-recovery component to reflect the expected recovery of onerous contract losses where such contracts reinsure onerous direct contracts.

6. Insurance risk management (continued)

The Group expenses its insurance acquisition cash flows for its portfolios immediately the expense is incurred, and an asset is created for the deferred portion. Insurance acquisition cash flows include those that are directly attributable to a group and to future groups that are expected to arise from renewals of contracts in that group. Where such insurance acquisition cash flows are paid (or where a liability has been recognised applying another IFRS standard) before the related group of insurance contracts is recognised, an asset for insurance acquisition cash flows is recognised. When insurance contracts are recognised, the related portion of the asset for insurance acquisition cash flows is derecognised and subsumed into the measurement at initial recognition of the insurance liability for remaining coverage of the related group.

Changes to presentation and disclosure

For presentation in the statement of financial position, the Group aggregates insurance and reinsurance contracts issued and reinsurance contracts held, respectively and presents separately:

- Portfolios of insurance and reinsurance contracts issued that are assets
- Portfolios of insurance and reinsurance contracts issued that are liabilities
- Portfolios of reinsurance contracts held that are assets
- Portfolios of reinsurance contracts held that are liabilities

The portfolios referred to above are those established at initial recognition in accordance with the IFRS 17 requirements. Portfolios of insurance contracts issued include any assets for insurance acquisition cash flows.

The line item descriptions in the statement of profit or loss and other comprehensive income have been changed significantly compared with last year. Previously, the Group reported the following line items:

- Gross written premiums
- Net written premiums
- Changes in premium reserves
- Gross insurance claims
- Net insurance claims

Instead, IFRS 17 requires separate presentation of:

- Insurance revenue
- Insurance service expenses
- Insurance finance income or expenses
- Income or expenses from reinsurance contracts held

The Group provides disaggregated qualitative and quantitative information about:

- Amounts recognised in its financial statements from insurance contracts
- Significant judgements, and changes in those judgements, when applying the standard

Transition

On transition date, 1 January 2022, the Group:

- Has identified, recognised and measured each group of insurance contracts as if IFRS 17 had always applied.
- Has identified, recognised and measured assets for insurance acquisition cash flows as if IFRS 17 has always applied. At transition date, a recoverability assessment was performed, and no impairment loss was identified,
- Derecognised any existing balances that would not exist had IFRS 17 always applied.
- Recognised any resulting net difference in equity.

The adoption of these changes had significant impact on the amounts and the disclosures of the Group's financial statements.

6. Insurance risk management (continued)

IFRS 17 Insurance Contracts (continued)

Insurance and reinsurance contracts classification

(i) Classification

The Group issues contracts that transfer insurance risk. Insurance contracts are those contracts that transfer significant insurance risk. As a general guideline, the Group defines a significant insurance risk, the possibility of having to pay benefits on the occurrence of an insured event that are at least 10% more than the benefits payable if the insured event did not occur.

Insurance contracts issued by the Group are classified as general insurance business based on the duration of the risk insured. Classes of general insurance include Aviation insurance, Engineering insurance, Fire insurance - domestic risks, Fire insurance - industrial and commercial risks, Liability insurance, Marine Insurance, Motor insurance - private vehicles, Motor insurance - commercial vehicles, Personal accident insurance, Theft insurance, Workmen's Compensation and Employer's Liability insurance and Miscellaneous insurance (i.e. class of business not included under those listed above).

Commercial insurance business means the business of affecting and carrying out contracts of insurance against loss of, or damage to, or arising out of or in connection with the use of, motor commercial vehicles, fire industrial, theft, workmen's compensation and liability inclusive of third party risks but exclusive of transit risks.

Personal accident insurance business means the business of affecting and carrying out contracts of insurance against risks related to motor private, fire domestic, risks of the persons insured sustaining injury as the result of an accident or of an accident of a specified class or dying as the result of an accident or of an accident of a specified class or becoming incapacitated in consequence of disease or of disease of a specified class.

Engineering insurance business means the business of affecting and carrying out contracts of insurance, otherwise than incidental to some other class of insurance business against loss or damage to property relating to contractors all risks and construction related risks.

Marine-Aviation insurance business means the business of affecting and carrying out contracts of insurance, against loss of or damage related to aviation or marine related transport.

Miscellaneous insurance business means the business of affecting and carrying out contracts of insurance, against loss of or damage related to agricultural losses, bonds and personal travel risks.

Health insurance business means the business of affecting and carrying out contracts of insurance, against the cost of medical care.

The Group also issues reinsurance contracts in the normal course of business to compensate other entities for claims arising from one or more insurance contracts issued by those entities. The Group does not issue any contracts with direct participating features.

(ii) Insurance and reinsurance contracts accounting treatment

Separating components from insurance and reinsurance contracts

The Group assesses its non-life insurance and reinsurance products to determine whether they contain distinct components which must be accounted for under another IFRS instead of under IFRS 17. After separating any distinct components, the Group applies IFRS 17 to all remaining components of the (host) insurance contract.

Currently, the Group's products do not include any distinct components that require separation. Some reinsurance contracts issued contain profit commission arrangements. Under these arrangements, there is a minimum guaranteed amount that the policyholder will always receive – either in the form of profit commission, or as claims, or another contractual payment irrespective of the insured event happening. The minimum guaranteed amounts have been assessed to be highly interrelated with the insurance component of the reinsurance contracts and are, therefore, non-distinct investment components which are not accounted for separately.

6. Insurance risk management (continued)
IFRS 17 Insurance Contracts (continued)
Insurance and reinsurance contracts classification (continued)

Level of aggregation
IFRS 17 requires a company to determine the level of aggregation for applying its requirements. The level of aggregation for the Group is determined firstly by dividing the business written into portfolios. Portfolios comprise groups of contracts with similar risks which are managed together. Portfolios are further divided based on expected profitability at inception into three categories:

- onerous contracts,
- contracts with no significant risk of becoming onerous, and the remainder.

This means that, for determining the level of aggregation, the Group identifies a contract as the smallest 'unit', i.e., the lowest common denominator. However, the Group makes an evaluation of 3. whether a series of contracts need to be treated together as one unit based on reasonable and supportable information, or whether a single contract contains components that need to be separated and treated as if they were stand-alone contracts. As such, what is treated as a contract for accounting purposes may differ from what is considered as a contract for other purposes (i.e., legal or management). IFRS 17 also requires that no group for level of aggregation purposes may contain contracts issued more than one year apart.

The Group has elected to group together those contracts that would fall into different groups only because law or regulation specifically constrains its practical ability to set a different price or level of benefits for policyholders with different characteristics. The Group applied a full retrospective approach for transition to IFRS 17.

The portfolios are further divided by year of issue and profitability for recognition and measurement purposes. Hence, within each year of issue, portfolios of contracts are divided into three groups, as follows:

- A group of contracts that are onerous at initial recognition (if any)
- A group of contracts that, at initial recognition, have no significant possibility of becoming onerous subsequently (if any)
- A group of the remaining contracts in the portfolio (if any)

The profitability of groups of contracts is assessed by actuarial valuation models that take into consideration existing and new business. The Group assumes that no contracts in the portfolio are onerous at initial recognition unless facts and circumstances indicate otherwise. For contracts that are not onerous, the Group assesses, at initial recognition, that there is no significant possibility of becoming onerous subsequently by assessing the likelihood of changes in applicable facts and circumstances.

The Group considers facts and circumstances to identify whether a group of contracts are onerous based on:

- Pricing information
- Results of similar contracts it has recognised
- Environmental factors, e.g., a change in market experience or regulations

The Group divides portfolios of reinsurance contracts held applying the same principles set out above, except that the references to onerous contracts refer to contracts on which there is a net gain on initial recognition. For some groups of reinsurance contracts held, a group can comprise a single contract.

As per IFRS 17, the below portfolios have been identified:

- Commercial- Motor commercial, Fire Industrial, Theft, Workmen's Compensation and Employer's Liability
- Engineering
- Mar-Avi- Marine and Aviation
- Miscellaneous
- Personal – Motor Private, Fire Domestic.

6. Insurance risk management (continued)
IFRS 17 Insurance Contracts (continued)
Insurance and reinsurance contracts classification (continued)

Recognition
The Group recognizes groups of insurance contracts it issues from the earliest of the following:

- The beginning of the coverage period of the group of contracts
- The date when the first payment from a policyholder in the group is due or when the first payment is received if there is no due date
- For a group of onerous contracts, if facts and circumstances indicate that the group is onerous

The Group recognises a group of reinsurance contracts held it has entered into from the earlier of the following:

- The beginning of the coverage period of the group of reinsurance contracts held. (However, the Group delays the recognition of a group of reinsurance contracts held that provide proportionate coverage until the date any underlying insurance contract is initially recognised, if that date is later than the beginning of the coverage period of the group of reinsurance contracts held.
- The date the Group recognises an onerous group of underlying insurance contracts if the Group entered into the related reinsurance contract held in the group of reinsurance contracts held at or before that date.
- The Group adds new contracts to the group in the reporting period in which that contract meets one of the criteria set out above.

Contract boundary
The Group includes in the measurement of a group of insurance contracts all the future cash flows within the boundary of each contract in the group. Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which the Group can compel the policyholder to pay the premiums, or in which the Group has a substantive obligation to provide the policyholder with insurance contract services.

A substantive obligation to provide insurance contract services ends when:

- The Group has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflects those risks; or
- Both of the following criteria are satisfied:
- The Group has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the risk of that portfolio.
- The pricing of the premiums up to the date when the risks are reassessed does not consider the risks that relate to periods after the reassessment date A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract is not recognised. Such amounts relate to future insurance contracts.

- Measurement- Premium Allocation Approach

Measurement is not carried out at the level of individual contracts, but on the basis of groups of contracts. To allocate individual insurance contracts to groups of contracts, an entity first needs to define portfolios which include contracts with similar risks that are managed together. These portfolios are to be subdivided into groups of contracts on the basis of profitability and annual cohorts. IFRS 17 consists of 3 measurement models:

The general measurement model (GMM), also known as the building block approach, consists of the fulfilment cash flows and the contractual service margin.

6. Insurance risk management (continued)

IFRS 17 Insurance Contracts (continued)

Insurance and reinsurance contracts classification (continued)

- Measurement- Premium Allocation Approach (continued)

The variable fee approach (VFA) is a mandatory modification of the general measurement model regarding the treatment of the contractual service margin in order to accommodate direct participating contracts.

The premium allocation approach (PAA) is a simplified approach for the measurement of the liability for remaining coverage an entity may choose to use when the premium allocation approach provides a measurement which is not materially different from that under the general measurement model or if the coverage period of each contract in the group of insurance contracts is one year or less. Under the premium allocation approach, the liability for remaining coverage is measured as the amount of premiums received net of acquisition cash flows paid, less the net amount of premiums and acquisition cash flows that have been recognized in profit or loss over the expired portion of the coverage period based on the passage of time.

The measurement of the liability for incurred claims is identical under all three measurement models, apart from the determination of locked-in interest rates used for discounting. An explicit risk adjustment for non-financial risk is estimated separately from the other estimates for the liability for incurred claims. This risk adjustment represents compensation required for bearing uncertainty about the amount and timing of the cash flows that arises from non-financial risk. The risk adjustment forms part of the fulfilment cash flows for a group of insurance contracts.

The Group applies the premium allocation approach (PAA) to all the insurance contracts that it issues and reinsurance contracts that it holds.

Insurance revenue and insurance service expenses are recognised in the statement of comprehensive income based on the concept of services provided during the period. The standard requires losses to be recognised immediately on contracts that are expected to be onerous. For insurance contracts measured under the PAA, it is assumed that contracts are not onerous at initial recognition, unless facts and circumstances indicate otherwise. The Group's focus is to grow a profitable and sustainable business and does not anticipate the recognition of onerous contracts except where the following have been identified:

- Relevant pricing decisions.
- Initial stages of a new business acquired where the underlying contracts are onerous.
- Any other strategic decisions the board considers appropriate.
- The following table sets out the accounting policy choices adopted by the Group:

6. Insurance risk management (continued)

IFRS 17 Insurance Contracts (continued)

	IFRS 17 Options	Adopted approach
Premium Allocation Approach(PAA) Eligibility	Subject to specified criteria, the PAA can be adopted as a simplified approach to the IFRS 17 general model	Coverage period for most of the company class of business is one year or less and so qualifies automatically for PAA. Both Engineering insurance and Performance guarantee insurance include contracts with coverage period greater than one year. However, there is no material difference in the measurement of the liability for remaining coverage between PAA and the general model, therefore, these qualify for PAA.
Insurance acquisition cash flows for insurance contracts issued	Where the coverage period of all contracts within a group is no longer than one year, insurance acquisition cash flows can either be expensed as incurred, or allocated, using a systematic and rational method, to groups of insurance contracts (including future groups containing insurance contracts that are expected to arise from renewals) and then amortised over the coverage period of the related group. For groups containing contracts longer than one year, insurance acquisition cash flows must be allocated to related groups of insurance contracts and amortised over the coverage period of the related group.	For one-year insurance business, insurance acquisition cash flows are expensed as incurred. For all other business, insurance acquisition cash flows are allocated to related groups of insurance contracts and amortised over the coverage period of the related group.
Liability for Remaining Coverage (LFRC), adjusted for financial risk and time value of money	Where there is no significant financing component in relation to the LFRC, or where the time between providing each part of the services and the related premium due date is no more than a year, an entity is not required to make an adjustment for accretion of interest on the LFRC.	For Engineering and Performance guarantee insurance, an allowance is made for accretion of interest on the LFRC. For all other business, there is no allowance as the premiums are received within one year of the coverage period.

Insurance contracts – initial measurement

The Group applies the premium allocation approach (PAA) to all the insurance contracts that it issues and reinsurance contracts that it holds, as:

- The coverage period of each contract in the group is one year or less, including insurance contract services arising from all premiums within the contract boundary (refer to 2.2.4); or
- For contracts longer than one year, the Group has modelled possible future scenarios and reasonably expects that the measurement of the liability for remaining coverage for the group containing those contracts under the PAA does not differ materially from the measurement that would be produced applying the general model. In assessing materiality, the Group has also considered qualitative factors such as the nature of the risk and types of its lines of business.

The Group does not apply the PAA if, at the inception of the group of contracts, it expects significant variability in the fulfilment cash flows that would affect the measurement of the liability for the remaining coverage during the period before a claim is incurred. Variability in the fulfilment cash flows increases with, for example:

- The extent of future cash flows related to any derivatives embedded in the contracts
- The length of the coverage period of the group of contracts

6. Insurance risk management (continued)
IFRS 17 Insurance Contracts (continued)
Insurance contracts – initial measurement (continued)
For a group of contracts that is not onerous at initial recognition, the Group measures the liability for remaining coverage as:

- The premiums, if any, received at initial recognition
- Minus any insurance acquisition cash flows at that date, except for contracts which are one year or less where this is expensed, Plus or minus any amount arising from the derecognition at that date of the asset recognised for insurance acquisition cash flows and
- Any other asset or liability previously recognised for cash flows related to the group of contracts that the Group pays or receives before the group of insurance contracts is recognised.

Where facts and circumstances indicate that contracts are onerous at initial recognition, the Group performs additional analysis to determine if a net outflow is expected from the contract. Such onerous contracts are separately grouped from other contracts and the Group recognises a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. A loss component is established by the Group for the liability for remaining coverage for such onerous group depicting the losses recognised.

Reinsurance contracts held – initial measurement
The Group measures its reinsurance assets for a group of reinsurance contracts that it holds on the same basis as insurance contracts that it issues. However, they are adapted to reflect the features of reinsurance contracts held that differ from insurance contracts issued, for example the generation of expenses or reduction in expenses rather than revenue. Where the Group recognizes a loss on initial recognition of an onerous group of underlying insurance contracts or when further onerous underlying insurance contracts are added to a group, the Group establishes a loss-recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the recovery of losses.

The Group calculates the loss-recovery component by multiplying the loss recognized on the underlying insurance contracts and the percentage of claims on the underlying insurance contracts the Group expects to recover from the group of reinsurance contracts held. The Group uses a systematic and rational method to determine the portion of losses recognized on the group to insurance contracts covered by the group of reinsurance contracts held where some contracts in the underlying group are not covered by the group of reinsurance contracts held. The loss-recovery component adjusts the carrying amount of the asset for remaining coverage.

Insurance contracts – subsequent measurement
The Group measures the carrying amount of the liability for remaining coverage at the end of each reporting period as the liability for remaining coverage at the beginning of the period:

- Plus, premiums received in the period
- Minus insurance acquisition cash flows, with the exception of property insurance product line for which
- the Group chooses to expense insurance acquisition cash flows as they occur (please see Note 3.2.5.1)
- Plus, any amounts relating to the amortisation of the insurance acquisition cash flows
- recognised as an expense in the reporting period for the group
- Plus, any adjustment to the financing component, where applicable
- Minus the amount recognised as insurance revenue for the services provided in the period
- Minus any investment component paid or transferred to the liability for incurred claims

6. Insurance risk management (continued)
IFRS 17 Insurance Contracts (continued)
Insurance contracts – subsequent measurement (continued)
The Group estimates the liability for incurred claims as the fulfilment cash flows related to incurred claims. The fulfilment cash flows incorporate, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows, they reflect current estimates from the perspective of the Group, and include an explicit adjustment for non-financial risk (the risk adjustment). The Group does not adjust the future cash flows for the time value of money and the effect of financial risk for the measurement of liability for incurred claims that are expected to be paid within one year of being incurred. Where, during the coverage period, facts and circumstances indicate that a group of insurance contracts is onerous, the Group recognizes a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. A loss component is established by the Group for the liability for remaining coverage for such onerous group depicting the losses recognized. For additional disclosures on the loss component, please refer to Note 3.2.6.2. Insurance acquisition cash flows are allocated on a straight-line basis as a portion of premium to profit or loss (through insurance revenue).

Insurance acquisition cash flows
Insurance acquisition cash flows arise from the costs of selling, underwriting and starting a group of insurance contracts (issued or expected to be issued) that are directly attributable to the portfolio of insurance contracts to which the group belongs. With the exception of the property insurance product line, for which the Group chooses to expense insurance acquisition cash flows as they occur, the Group uses a systematic and rational method to allocate:

- Insurance acquisition cash flows that are directly attributable to a group of insurance contracts, and
- to groups that include insurance contracts that are expected to arise from the renewals of the insurance contracts in that group.

Insurance acquisition cash flows directly attributable to a portfolio of insurance contracts that are not directly attributable to a group of contracts, to groups in the portfolio.

Where insurance acquisition cash flows have been paid or incurred before the related group of insurance contracts is recognized in the statement of financial position, a separate asset for insurance acquisition cash flows is recognized for each related group. The asset for insurance acquisition cash flow is derecognized from the statement of financial position when the insurance acquisition cash flows are included in the initial measurement of the related group of insurance contracts.

At the end of each reporting period, the Group revises amounts of insurance acquisition cash flows allocated to groups of insurance contracts not yet recognized, to reflect changes in assumptions related to the method of allocation used.

After any re-allocation, the Group assesses the recoverability of the asset for insurance acquisition cash flows, if facts and circumstances indicate the asset may be impaired. When assessing the recoverability, the Group applies:

An impairment test at the level of an existing or future group of insurance contracts; and
An additional impairment test specifically covering the insurance acquisition cash flows allocated to expected future contract renewals.
If an impairment loss is recognized, the carrying amount of the asset is adjusted and an impairment loss is recognized in profit or loss. The Group recognizes in profit or loss a reversal of some or all of an impairment loss previously recognized and increases the carrying amount of the asset, to the extent that the impairment conditions no longer exist or have improved.

6. Insurance risk management (continued)
IFRS 17 Insurance Contracts (continued)
Insurance contracts – modification and derecognition
The Group derecognizes insurance contracts when:

- The rights and obligations relating to the contract are extinguished (i.e., discharged, cancelled or expired); or
- The contract is modified such that the modification results in a change in the measurement model or the applicable standard for measuring a component of the contract, substantially changes the contract boundary, or requires the modified contract to be included in a different group. In such cases, the Group derecognises the initial contract and recognises the modified contract as a new contract When a modification is not treated as a derecognition, the Group recognises amounts paid or received for the modification with the contract as an adjustment to the relevant liability for remaining coverage.

Presentation
The Group has presented separately, in the statement of financial position, the carrying amount of portfolios of insurance contracts issued that are assets, portfolios of insurance contracts issued that are liabilities, portfolios of reinsurance contracts held that are assets and portfolios of reinsurance contracts held that are liabilities.

Any assets for insurance acquisition cash flows recognized before the corresponding insurance contracts are included in the carrying amount of the related groups of insurance contracts are allocated to the carrying amount of the portfolios of insurance contracts that they relate to.

The Group disaggregates the total amount recognized in the statement of profit or loss and other comprehensive income into an insurance service result, comprising insurance revenue and insurance service expense, and insurance finance income or expenses.

The Group does not disaggregate the change in risk adjustment for non-financial risk between a financial and non-financial portion and includes the entire change as part of the insurance service result.

The Group separately presents income or expenses from reinsurance contracts held from the expenses or income from insurance contracts issued.

Insurance revenue
The insurance revenue for the period is the amount of expected premium receipts (excluding any investment component) allocated to the period. The Group allocates the expected premium receipts to each period of insurance contract services on the basis of the passage of time. But if the expected pattern of release of risk during the coverage period differs significantly from the passage of time, then the allocation is made on the basis of the expected timing of incurred insurance service expenses. The Group changes the basis of allocation between the two methods above as necessary, if facts and circumstances change. The change is accounted for prospectively as a change in accounting estimate. For the periods presented, all revenue has been recognized on the basis of the passage of time.

Loss components
The Group assumes that no contracts are onerous at initial recognition unless facts and circumstances indicate otherwise. Where this is not the case, and if at any time during the coverage period, the facts and circumstances mentioned in Note 3.2.2 indicate that a group of insurance contracts is onerous, the Group establishes a loss component as the excess of the fulfilment cash flows that relate to the remaining coverage of the group over the carrying amount of the liability for remaining coverage of the group as determined in Note 3.2.5.3. Accordingly, by the end of the coverage period of the group of contracts the loss component will be zero.

6. Insurance risk management (continued)
IFRS 17 Insurance Contracts (continued)
Insurance finance income and expense
Insurance finance income or expenses comprise the change in the carrying amount of the group of insurance contracts arising from:

- The effect of the time value of money and changes in the time value of money; and
- The effect of financial risk and changes in financial risk.

The Group disaggregates insurance finance income or expenses on insurance contracts issued for its personal accident product line between profit or loss and OCI. The impact of changes in market interest rates on the value of the insurance assets and liabilities are reflected in OCI in order to minimize accounting mismatches between the accounting for financial assets and insurance assets and liabilities. The Group's financial assets backing the personal accident insurance portfolios are predominantly measured FVOCI. For all other business, the Group does not disaggregate finance income and expenses because the related financial assets are managed on a fair value basis and measured at FVPL.

Net income or expense from reinsurance contracts held
The Group presents separately on the face of the statement of profit or loss and other comprehensive income, the amounts expected to be recovered from reinsurers, and an allocation of the reinsurance premiums paid. The Group treats reinsurance cash flows that are contingent on claims on the underlying contracts as part of the claims that are expected to be reimbursed under the reinsurance contract held, and excludes investment components and commissions from an allocation of reinsurance premiums presented on the face of the statement of profit or loss and other comprehensive income.

Transition
On the date of initial application, 01 January 2023, IFRS 17 should be applied retrospectively. Where the full retrospective approach is impracticable, IFRS 17 allows for alternative transition methods.
The Group has determined that reasonable and supportable information is available for all contracts in force at the transition date. In addition, as the contracts are eligible for the PAA, the Group has concluded that only current and prospective information was required to reflect circumstances at the transition date, which made the full retrospective application practicable and, hence, the only available option for insurance contracts issued by the Group.
Net income or expense from reinsurance contracts held.

Impact on Equity
The Group assessed the transition balances and the impact that the initial application of IFRS 17 will have on its financial statements. Based on assessments undertaken, the total adjustment (before tax) to the balance of the Group's total equity is estimated to be a reduction of Frw 34.4 million at 1 January 2022.

	1 Jan 2022 FRw'000
Insurance contracts	
Impact of discounting of future cash flows when measuring liabilities for incurred claims.	187,852
Impact of including a risk adjustment for non-financial risk. This is not explicitly allowed for currently.	(131,608)
Recognition of Unallocated loss adjustment expenses (ULAE)	-
Other minor variances	(21,788)
Total Impact	**34,456**

6. Insurance risk management (continued)

Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately:

- Motor Insurance
- Property
- Engineering
- Transportation/Marine
- Guarantee
- Accident
- Liability, and
- Miscellaneous

This disaggregation has been determined based on how the company is managed.

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for the company portfolios, are disclosed in the table below:

Insurance - 2023	LRC	LIC		
Entries	Excl Loss Component	Loss Component	Incl Risk Adjustment	Total
Opening insurance contact liabilities	4,310,910,846	2,066,629	3,425,405,492	7,738,382,967
Opening insurance contract assets	-	-	-	-
Net opening balance	4,310,910,846	2,066,629	3,425,405,492	7,738,382,967
Insurance revenue	12,762,847,925	-	-	12,762,847,925
Insurance Service expenses	-	-	-	-
Incurred claims and other directly attributable expenses	-	-	7,374,543,134	7,374,543,134
Changes that relate to past service - adjustments to the LIC	-	-	731,925,522	731,925,522
Losses on onerous contracts and reversal of those losses	-	185,019,915	-	185,019,915
Insurance acquisition cashflows amortisation	753,981,623	-	-	753,981,623
Insurance service expenses	753,981,623	185,019,915	8,106,468,656	9,045,470,194
Insurance service result	12,008,866,302	(185,019,915)	(8,106,468,656)	3,717,377,731
Finance income (expenses) from insurance contracts issued	-	-	1,706,356,889	1,706,356,889
Total amounts recognised in comprehensive income	12,008,866,302	(185,019,915)	(6,400,111,767)	5,423,734,620
Investment components	-	-	1,969,660,144	1,969,660,144
Cash flows				-
Premiums received	14,667,075,174	-	-	14,667,075,174
Other charges	-	-		-
Claims and other directly attributable expenses paid	-	-	(7,122,110,695)	(7,122,110,695)
Insurance acquisition cashflows deducted	(884,644,886)	-	-	(884,644,886)
Total cash flows	13,782,430,288	-	(5,152,450,551)	8,629,979,737
Outstanding amounts transferred to LIC at end of cover	-	-	-	-
Net closing balance	6,084,474,832	187,086,544	4,673,066,708	10,944,628,084
Closing insurance contract liabilities	6,084,474,833	187,086,544	4,673,066,708	10,944,628,084
Closing insurance contract assets	-	-	-	-
Net closing balance	**6,084,474,833**	**187,086,544**	**4,673,066,708**	**10,944,628,084**

6. Insurance risk management (continued)

Insurance - 2022	LRC	LIC		
Entries	Excl Loss Component	Loss Component	Incl Risk Adjustment	Total
Opening insurance contact liabilities	4,694,150,432	-	3,060,440,752	7,754,591,184
Opening insurance contract assets	-	-	-	-
Net opening balance	4,694,150,432	-	3,060,440,752	7,754,591,184
Insurance revenue	11,554,568,457	-	-	11,554,568,457
Insurance Service expenses	-	-	-	-
Incurred claims and other directly attributable expenses	-	-	7,294,479,823	7,294,479,823
Changes that relate to past service - adjustments to the LIC	-	-	146,778,158	146,778,158
Losses on onerous contracts and reversal of those losses	-	2,066,629	-	2,066,629
Insurance acquisition cashflows amortisation	829,374,626	-	-	829,374,626
Insurance service expenses	829,374,625	2,066,629	7,441,257,980	8,272,699,234
Insurance service result	10,725,193,832	(2,066,629)	(7,441,257,980)	3,281,869,223
Finance income (expenses) from insurance contracts issued	-	-	1,432,772,233	1,432,772,233
Total amounts recognised in comprehensive income	10,725,193,832	(2,066,629)	(6,008,485,747)	4,714,641,456
Investment components	-	-	1,575,472,565	1,575,472,565
Cash flows				-
Premiums received	11,057,122,354	-	-	11,057,122,354
Other charges	-	-		-
Claims and other directly attributable expenses paid	-	-	(7,218,993,572)	(7,218,993,572)
Insurance acquisition cashflows deducted	(715,168,108)	-	-	(715,168,108)
Total cash flows	10,341,954,246	-	(5,643,521,007)	4,698,433,239
Outstanding amounts transferred to LIC at end of cover	-	-	-	-
Net closing balance	4,310,910,846	2,066,629	3,425,405,492	7,738,382,967
Closing insurance contract liabilities	4,310,910,846	2,066,629	3,425,405,492	7,738,382,967
Closing insurance contract assets	-	-	-	-
Net closing balance	**4,310,910,846**	**2,066,629**	**3,425,405,492**	**7,738,382,967**

6. Insurance risk management (continued)

Roll-forwards for reinsurance

The roll-forward of the net asset or liability for re insurance contracts held, showing the asset for remaining coverage and the asset for incurred claims for the company portfolios, are disclosed in the table below:

Year 2023-Reinsurance	LRC		LIC		
Entries	Excl Loss Component	Loss Component	Estimates of PVFC	Risk Adjustment for Non-Financial Risk	Total
Opening insurance contact liabilities	1,158,644,707	-	981,504,732	63,023,901	2,203,173,340
Net opening balance	1,158,644,707	-	981,504,732	63,023,901	2,203,173,340
Insurance revenue	3,463,954,878	-	-		3,463,954,878
Incurred claims and other directly attributable expenses	-	-	1,576,917,226		1,576,917,226
Changes that relate to past service - adjustments to the LIC	-	-	(94,212,892)	(8,838,826)	(103,051,718)
Losses on onerous contracts and reversal of those losses	-	82,342,604	-		82,342,604
Insurance acquisition cashflows amortisation	1,048,940,230	-	-		1,048,940,230
Insurance service expenses	1,048,940,230	82,342,604	1,482,704,334	(8,838,826)	2,605,148,342
Insurance service result	2,415,014,648	(82,342,604)	(1,482,704,334)	8,838,826	858,806,536
Finance income (expenses) from insurance contracts issued			(66,180,590)	(6,932,629)	(73,113,219)
Total amounts recognised in comprehensive income	2,415,014,648	(82,342,604)	(1,548,884,924)	1,906,197	785,693,317
Investment components	-	-	-		-
Premiums received	4,071,449,137	-	-		4,071,449,137
Claims and other directly attributable expenses paid	-	-	(1,576,917,226)		(1,576,917,226)
Insurance acquisition cashflows deducted	(1,341,816,161)				(1,341,816,161)
Total cash flows	2,729,632,976	-	(1,576,917,226)	-	1,152,715,750
Net closing balance	1,473,263,035	82,342,604	953,472,430	61,117,704	2,570,195,773
Closing insurance contract liabilities	1,473,263,035	82,342,604	898,789,778	61,117,704	2,515,513,121
Closing insurance contract assets	-	-	-		-
Net closing balance	**1,473,263,035**	**82,342,604**	**898,789,778**	**61,117,704**	**2,515,513,121**

6. Insurance risk management (continued)

Year 2022-Reinsurance	LRC		LIC		
Entries	Excl Loss Component	Loss Component	Estimates of PVFC	Risk Adjustment for Non-Financial Risk	Total
Opening insurance contact liabilities	834,518,320	-	819,983,161	52,478,922	1,706,980,403
Net opening balance	834,518,320	-	819,983,161	52,478,922	1,706,980,403
Insurance revenue	3,311,117,469	-	-		3,311,117,469
Incurred claims and other directly attributable expenses	-	-	1,420,222,145		1,420,222,145
Changes that relate to past service - adjustments to the LIC	-	-	51,328,750	4,772,298	56,101,048
Insurance acquisition cashflows amortisation	1,056,491,451	-	-		1,056,491,451
Insurance service expenses	1,056,491,451	-	1,471,550,895	4,772,298	2,532,814,644
Insurance service result	2,254,626,018	-	(1,471,550,895)	(4,772,298)	778,302,825
Finance income (expenses) from insurance contracts issued			(55,510,169)	(5,772,681)	(61,282,850)
Total amounts recognised in comprehensive income	2,254,626,018	-	(1,527,061,064)	(10,544,979)	717,019,975
Premiums received	3,744,871,129	-	-		3,744,871,129
Claims and other directly attributable expenses paid	-	-	(1,365,539,493)		(1,365,539,493)
Insurance acquisition cashflows deducted	(1,166,118,724)				(1,166,118,724)
Total cash flows	2,578,752,405	-	(1,365,539,493)	-	1,213,212,912
Outstanding amounts transferred to LIC at end of cover	-	-	-	-	-
Net closing balance	1,158,644,707	-	981,504,732	63,023,901	2,203,173,340
Closing insurance contract liabilities	1,158,644,707	-	981,504,732	63,023,901	2,203,173,340
Closing insurance contract assets	**-**	**-**	**-**		**-**
Net closing balance	**1,158,644,707**	**-**	**981,504,732**	**63,023,901**	**2,203,173,340**

7. Interest income

	31 December 2023 FRw'000	31 December 2022 FRw'000
Interest on overdrawn accounts	13,408,670	13,229,005
Interest on Treasury loans	9,857,428	7,144,097
Interest on equipment loans	121,681,176	108,068,085
Interest on consumer loans	17,313,611	10,973,632
Interest on mortgage loans	16,479,903	17,825,505
Other interest on loans to clients	7,904,700	2,570,818
Interest on deposits with banks	4,644,911	2,798,532
Interest received from reverse repos	5,888,716	2,328,741
Interest on investments in government securities	19,658,578	22,510,398
	216,837,693	**187,448,813**

8. Interest expense

	31 December 2023 FRw'000	31 December 2022 FRw'000
Interest on Customer Term deposit	19,834,795	23,587,263
Interest on Current Accounts	14,344,780	14,195,449
Interest on Saving Accounts	3,707,760	2,941,448
Interest on Long term Credit Lines	9,863,141	4,653,683
Interest on Transactions with other banks	3,702,179	4,295,194
	51,452,655	**49,673,037**

9. Net fees and commission income

9(i) Fees and commission income

	31 December 2023 FRw'000	31 December 2022 FRw'000
Commissions on operations of accounts	3,067,017	2,458,126
Commissions on payment facilities	7,954,353	8,299,939
Commissions on loan services	11,100,704	5,768,085
Commissions received from financing commitments	3,526,817	3,311,518
Commissions received from guarantees commitments	5,728,500	1,851,889
Income from transactions with other banks	188,570	59,724
Other fees from services	11,722,073	7,418,146
	43,288,034	**29,167,427**
Fees and commission expense		
Commissions on credit services	-	(21,410)
Commissions on payment facilities	(2,931,042)	(2,322,523)
commissions on other transactions with banks	(795,729)	(550,190)
	(3,726,771)	**(2,894,123)**
9(ii) Net fees and commission	**39,561,263**	**26,273,304**

9. Net fees and commission income

The fee and commission income of the Bank is earned at a point in time and over time in compliance with IFRS 15. The breakdown is analysed below.

31 December 2023
Fees and commission earned from the services that are provided over time:

	Corporate Banking FRw'000	Retail Banking FRw'000	Central Treasury FRw'000	Total FRw'000
Commissions on payment facility	7,600,805	1,109,581	-	8,710,386
Commission on loans services	10,887,018	1,764,855	-	12,651,873
Total	**18,487,823**	**2,874,436**	**-**	**21,362,259**

Fees and commission earned from the services that are provided at point in time:

	Corporate Banking FRw'000	Retail Banking FRw'000	Central Treasury FRw'000	Total FRw'000
Commissions on operations of accounts	2,064,743	427,829	-	2,492,572
Commissions received from financing commitments	12,663,491	494,413	-	13,157,904
Commissions received from guarantees commitments	4,911,884	799,089	-	5,710,973
Income from transactions with other banks	162,266	26,304	-	188,570
Other fees from services	375,756	-	-	375,756
Total	**20,178,140**	**1,747,635**	**-**	**21,925,775**
	38,665,963	**4,622,071**	**-**	**43,288,034**

31 December 2022
Fees and commission earned from the services that are provided over time:

	Corporate Banking FRw'000	Retail Banking FRw'000	Central Treasury FRw'000	Total FRw'000
Commissions on payment facility	7,095,824	1,361,614	-	8,457,438
Commission on loans services	5,460,689	779,111	-	6,239,800
Total	**12,556,513**	**2,140,725**	**-**	**14,697,238**

9. Net fees and commission income (continued)

Fees and commission earned from the services that are provided at point in time:

	Corporate Banking FRw'000	Retail Banking FRw'000	Central Treasury FRw'000	Total FRw'000
Commissions on operations of accounts	644,928	1,954,555	-	2,599,483
Commissions received from financing commitments	9,085,823	662,304	-	9,748,127
Commissions received from guarantees commitments	1,346,736	370,378		1,717,114
Income from transactions with other banks	47,779	11,945		59,724
Other fees from services	242,245	-		242,245
Total	**11,367,511**	**2,999,182**		**14,366,693**
Total fee and commission income	**23,924,024**	**5,139,907**		**29,063,931**

10. Foreign exchange related income

	31 December 2023 FRw'000	31 December 2022 FRw'000
Net forex trading	16,504,489	12,633,094
Unrealised foreign exchange loss	(6,183,984)	(2,581,113)
Forex commissions	3,442,414	3,420,336
Other forex revenues	115,282	57,204
	13,878,201	**13,529,522**

11. Insurance Revenue

	31 December 2023 FRw'000	31 December 2022 FRw'000
Contracts measured under PAA		
Written Premium	14,328,285	11,244,741
PAA Measurements-Gross	(1,897,651)	-
Insurance Revenue	**12,430,634**	**11,244,741**

12.(i) Insurance Service Expenses

	31 December 2023 FRw'000	31 December 2022 FRw'000
Actual Claims and Expenses	7,540,732	7,218,993
Amortization of insurance acquisition cashflows	751,976	829,375
Losses on onerous contracts and reversals on those losses	185,020	2,067
Changes to liabilities for incurred claims	685,671	162,763
Insurance Service Expenses	**9,163,399**	**8,213,198**

Allocation of Reinsure premium

	31 December 2023 FRw'000	31 December 2022 FRw'000
Reinsurance contracts measured under PAA - 2022	(3,463,956)	(3,311,117)
Premium ceded	4,071,449	3,311,117
PAA Measurements-Cession	(629,282)	-
Reinsurance premium	3,442,167	3,311,117

12.(ii) Recoveries

	31 December 2023 FRw'000	31 December 2022 FRw'000
Actual Claims recoveries	1,559,759	1,420,222
Amortization of Reinsurance acquisition cashflows	960,299	1,056,491
Losses on onerous contracts and reversals on those losses	82,343	-
Changes to liabilities for incurred claims	(82,449)	61,415
	2,519,952	**2,538,128**
Net Expense from reinsurance contracts held	**(944,004)**	**(772,989)**

12.(iii) Net Insurance Finance Expense for reinsurance contracts held:

Interest accreted to insurance contracts using current financial assumptions:

	31 December 2023 FRw'000	31 December 2022 FRw'000
Interest accreted to insurance contracts using locked in rate:		
Insurance finance expenses from insurance contracts issued	**(263,303)**	**(199,545)**
Reinsurance finance income from reinsurance contracts held	73,113	55,968
Net insurance Finance Expense for reinsurance contracts held	**(190,190)**	**(143,577)**

13. Other operating income

	31 December 2023 FRw'000	31 December 2022 FRw'000
Bank of Kigali Plc		
Sublease rental income	4,818	24,746
Gain on asset disposal	8,388	91,020
Other non-banking income	472,634	45,203
	485,840	**160,969**
BK Holding Company		
Income from lease	2,613,616	2,694,275
Dividend income	70,343	40,450
Other income	769	95,347
Sale of fixed asset	114,492	161,636
Elimination of intercompany sales	(2,350,835)	(3,718,026)
	448,385	**(726,318)**
BK General Insurance Ltd		
Brokers' commissions	153,870	248,853
Investment income	-	-
Intercompany rental income	(37,086)	-
	116,784	**248,853**
BK TecHouse Ltd		
Gross sales	1,447,455	1,188,100
Cost of sales	(658,416)	(607,028)
	789,040	**1,473,862**
BK Capital		
Brokerage commissions	1,608,082	930,305
Advisory service	(101,940)	-
Intercompany rental income		
	1,506,142	**930,305**
Other operating income	**3,404,471**	**2,087,671**

14. Credit impairment losses

	31 December 2023 FRw'000	31 December 2022 FRw'000
Expected credit loss on loans and advances	16,448,456	12,473,598
Expected credit loss on off balance sheet items	4,685,259	291,859
Expected credit loss on cash balances with other banks	936,946	123,794
Expected credit loss on investment securities	82,961	165,444
Bad debts recovered during the year*	(3,547,033)	(3,047,816)
	18,606,589	**10,006,879**

* Bad debts recovered during the year relates to the recoveries from the credit impaired financial assets in the year.

15. Operating expenses

i) Employee benefits expense

	31 December 2023 FRw'000	31 December 2022 FRw'000
Salaries and wages	36,695,318	27,003,627
Medical expenses	1,377,694	1,210,418
Pension scheme contributions	2,201,982	1,688,002
Other benefits	2,551,481	3,484,913
	42,826,475	**33,386,960**

ii) Depreciation and amortisation

Depreciation of property equipment	6,328,295	4,540,183
Depreciation on right to use assets	796,326	919,700
Amortisation of intangible assets	3,121,337	2,825,716
	10,245,958	**8,285,599**

iii) Administration and general expenses

Directors' remuneration	966,778	827,672
Audit fees	97,700	106,057
Rent, repairs and maintenance	2,162,259	1,439,130
Utilities	723,739	660,333
Postage, photocopying and printing	601,795	1,219,630
Travel and accommodation expenses	2,407,991	1,447,056
Security and cash in transit costs	2,250,148	1,701,141
Marketing and publicity	3,271,157	2,388,463
Insurance	-	-
Statutory fees	1,832,123	1,117,354
Legal and consultancy fees	3,662,032	2,236,549
Unclaimed Input taxes	3,021,252	5,459,683
Telephone and internet costs	7,440,765	4,982,606
Charitable donation	1,129,882	974,530
Account maintenance costs	24,342	44,859
Allowance for unreconciled settlements	45,165	6,845,754
Credit and debit card costs	4,189,270	7,862,791
Fees on import and export	3,125,071	1,268,069
Other general expenses**	5,913,703	573,246
	42,865,172	**41,154,923**
iv) Interest on lease liabilities(note 33) **	**105,900**	**111,769**

*Other general expenses relate to filing and storage expenses, sports and entertainment, SMS banking charges, district taxes and other miscellaneous costs.
**The Group has presented interest expense on the lease liability separately from the depreciation charge for the right of-use asset. Interest expense on the lease liability is a component of finance costs, which are presented separately in the statement of Comprehensive Income.

16. Income tax expense

The income tax charge on the Group's profit differs from the theoretical amount that would arise using the basic tax rates as follows:

16(i) Income tax charge

	Effective Rate	31 December 2023 FRw'000	Effective Rate	31 December 2022 FRw'000
Current income tax		28,977,263		29,812,766
Deferred income tax		5,916,978		(1,038,712)
Over provision of deferred tax in prior year		-		(43,588)
		34,894,241		**28,730,466**
Accounting profit before income tax (2022: Restated)	**31.8%**	**109,711,920**	**32.4%**	**88,586,268**

16(ii) Current Income Tax Payable

	31 December 2023 FRw'000	31 December 2022 FRw'000
At 1 January	5,920,034	10,013,864
Tax paid during the year	(33,522,643)	(33,879,838)
Tax charge for the year	29,999,191	29,812,766
Tax credit used during the year	(240,581)	-
Prior year understatement	**(76,285)**	**(26,758)**
At 31 December	**1,079,716**	**5,920,034**

The Group's average tax charge was 31.8% (2022: 32.5%)

*The other non-deductible expenses relate foreign travel expenses, capital allowances and provisions.

17. Earnings per share

	31 December 2023 FRw'000	31 December 2022 FRw'000
Profit for the year attributable to equity shareholders – FRw'000	74,871,405	59,724,310
Weighted average number of shares	928,162,480	918,514,704
Earnings per share:		
Basic and diluted earnings per share – FRw	80.6	65.1

Basic earnings per share is calculated on the profit attributable to ordinary shareholders of FRw 74.8 billion (2022: FRw 59.8 billion) and on the weighted average number of ordinary shares outstanding during the year of 928,162,480 (2022: 918,514,404 shares).

18. Analysis of cash and cash equivalents

Cash and cash equivalents included in the statement of cash flow comprise the following statement of financial position accounts:

a. Cash in hand

	31 December 2023 FRw'000	31 December 2022 FRw'000
Cash in foreign currency	19,197,693	10,339,556
Cash in local currency	11,417,760	11,417,760
	30,615,453	**21,757,316**

b. Balances with National Bank of Rwanda

	31 December 2023 FRw'000	31 December 2022 FRw'000
Restricted balances (Cash Reserve Ratio)	78,576,374	67,788,839
Unrestricted balances	227,079642	260,961,368
	305,656,016	**328,750,207**

The Cash Reserve Ratio is non-interest earning and is based on the value of deposits as adjusted per the National Bank of Rwanda requirements. At 31 December 2023, the Cash Reserve Ratio requirement was 5% (2022: 5%) of all deposits amounting to FRw 1,582 trillion (2022: FRw 1,365 Trillion). Mandatory cash reserve ratio is not available for use in Bank of BK Group Plc's day-to-day operations.

The unrestricted balances include Cash balances on Nostro accounts in BNR FRw. 229.4 billion available for use in BK Group Plc's day-to-day operations (2022: FRw.260.5 billion).

Cash and cash equivalents included in the statement of cash flows comprise the following statement of financial position accounts:

c. Cash and Cash Equivalent

	31 December 2023 FRw'000	31 December 2022 FRw'000
Cash in hand	30,840,393	21,757,316
Unrestricted balances (Note 22)	227,179,642	260,961,368
Cash balances with from banks	246,945,682	48,979,707
Due to banks	(163,182,815))	(178,723,673)
Unrealized exchange gains	(35,941,761)	(7,205,571)
	305,841,141	**145,769,147**

Cash and cash equivalents included in the statement of cash flows comprise the following statement of financial position accounts:

19. Cash balances with other banks

	31 December 2023 FRw'000	31 December 2022 FRw'000
Placements with local banks	28,545,602	10,996,714
Placements with foreign banks	223,965,202	38,152,669
Expected credit losses (note 4.1.7.1)	(1,106,622)	(169,676)
	251,404,182	**48,979,707**

The credit ratings of the financial institutions where the Group's placements are held are shown below, where individual bank ratings were not available, the parent bank's rating or country ratings have been adopted, in order of preference:

Credit Ratings	31 Dec 23 FRw'000	ECL FRw'000	31 Dec 22 FRw'000	ECL FRw'000
A	185,480,148	(97,236)	8,790,103	(5,274)
A-		-		-
A+	56,993,465	(31,989)	27,322,205	(16,467)
AA	1,617,122	(758,298)	229,978	(138)
B		-		-
B+	1,951,683	(215,007)	7,142,536	(147,637)
BB-	109,886	(4,092)	4,459	(160)
	246,152,304	**(1,106,622)**	**43,489,281**	**(169,676)**

The weighted average effective interest rate on placements and balances with other banks at 31 December 2023 was 4.1 % (2022: 3.8 %).

20. Investment securities

a) Investment securities	31 December 2023 FRw'000 Amortised cost	31 December 2022 FRw'000 Amortised cost
Treasury bills	86,311,667	154,740,469
Treasury bonds	43,766,707	36,659,976
Other government security	57,504,778	26,675,416
Expected credit losses	(1,041,386)	(1,176,825)
Total	**186,541,766**	**216,899,036**
Maturing between 3-12 months	170,503,958	170,546,747
Maturing between 1-5 years	30,943,216	30,943,216
Maturing between >5 years	(13,864,022)	16,585,898
Expected credit losses	(1,041,386)	(1,176,825)
	186,541,766	**216,899,036**

20. Investment securities (continued)

The change in carrying amount of the government and other securities held to maturity is as shown below:

Investment securities	FRw'000	FRw'000
At start of year	215,592,151	176,818,928
Additions	401,435,597	469,433,513
Maturities	(429,444,595)	(428,176,580)
Expected Credit loss	(1,041,386)	(1,176,825)
At end of year	**186,541,766**	**216,899,036**

(b)Investment in corporate bond	31 December 2023 FRw'000	31 December 2022 FRw'000
At start of year	12,069,536	12,703,795
Additions	6,616,367	585,000
Accrued interest	1,216,750	482,832
Repayments recieved	(1371,191)	(1,702,091)
At end of year	**18,531,463**	**12,069,536**

Treasury bills and bonds are debt securities issued by the Government of the Republic of Rwanda. The bills are categorised as amounts carried at amortised cost. Other government security is a five-year investment bond, with coupon rate of 12.4% per annum payable quarterly on outstanding amount with a maturity date of 31 December 2023.

The weighted average effective interest rate on government securities held to maturity at 31 December 2023 was 10.4 % (2022: 10.1 %)

(c)Investment in specialized fund	31 December 2023 FRw'000	31 December 2022 FRw'000
At start of year	12,605,141	7,814,784
Additions	1,000,000	5,000,000
Accrued interest	104,027	405,141
Interest recieved	(453,497)	(614,784)
At end of year	**13,255,670**	**12,605,141**

21. Loans and advances to customers

(a)Corporate loans and advances	31 December 2023 FRw'000	31 December 2022 FRw'000
Corporate	861,819,290	917,423,898
Small and medium enterprises	206,305,984	137,272,914
Agri-business	27,999,595	15,384,918
Total corporate loans	**1,096,124,869**	**1,070,081,730**
Discount on economic recovery financing*	(5,031,355)	(6,149,016)
Adjusted Corporate Loans	**1,091,093,514**	**1,063,932,714**
Retail loans and advances		
Gross retail loans	250,153,920	155,119,010
Discount on staff loans	(4,790,613)	(4,914,642)
Total retail loan book	**245,363,307**	**150,204,368**
Total gross loans	**1,336,456,821**	**1,214,137,082**
Loss allowance/credit impairment provision - corporate	(75,573,108)	(63,566,875)
Loss allowance/credit impairment provision - retail	(16,040,449)	(16,057,889)
Total expected credit losses/credit impairment provision	**(91,613,557)**	**(79,624,764)**
Net Loans and advances to customers	**1,244,843,264**	**1,134,512,318**

(b)Guarantees and commitments	31 December 2023 FRw'000	31 December 2022 FRw'000
Corporate	556,733,850	321,989,895
Small and medium enterprises	26,381,515	25,637,960
Retail Banking	-	219,110
Total guarantees and commitments	583,115,365	347,846,965
Loss allowance	(5,517,872)	(832,613)
	577,597,493	**347,014,352**

(c)Movement in the loss allowance balance - loans and advances	31 December 2023 FRw'000	31 December 2022 FRw'000
At 1 January	79,624,764	82,842,870
Increase in loss allowance in the year	16,448,456	12,477,836
Loans written off during the year	(4,459,663)	(15,695,942)
As at 31 December	**91,613,557**	**79,624,764**

*The increase in loss allowance during the year is mainly linked to the growth of the loan book which grew by 10% and the full provision taken on one major client in the energy sector who had been assessed to have 100% default risk

21. Loans and advances to customers (continued)

Movement in the loss allowance- commitments

	31 December 2023 FRw'000	31 December 2022 FRw'000
At 1 January	832,613	540,754
Increase in loss allowance in the year	4,685,259	291,859
As at 31 December	**5,517,872**	**832,613**

	31 December 2023 FRw'000	31 December 2022 FRw'000
Maturing within 1 month	131,325,309	131,325,309
Maturing after 1 month, but before 3 months	14,929,863	14,929,862
Maturing after 3 months, but within 1 year	33,516,725	33,516,725
Maturing after 1 year, but within 5 years	287,350,524	287,350,524
Maturing after 5 years	777,720,843	667,389,898
	1,244,843,264	**1,134,512,318**

(d)Sectoral analysis of Gross Loans and advances to customers	31 December 2023 FRw'000	31 December 2022 FRw'000
Private sector and individuals	709,264,511	608,766,332
Government and parastatals	535,578,753	525,745,986
	1,244,843,264	**1,134,512,318**

The weighted average effective interest rate on gross loans and advances as at 31 December 2023 was 14.6% (2022: 14.0%). As at 31 December 2023, the ageing analysis of past due but not impaired loans and advances is as follows:

	31 December 2023 FRw'000	31 December 2022 FRw'000
Less than 60 days	-	-
Between 61 – 90 days	69,537,793	39,623,818
	69,537,793	**39,623,818**

Discount on economic recovery financing relates to the discount given to customers in economic sectors mostly affected by the pandemic COVID 19. These sectors are Hospitality, transport and SMEs. This represents the difference between the market rate and the contractual rate of the facility. The movement in the Discount on economic recovery loans is detailed below;

	31 December 2023 FRw'000	31 December 2022 FRw'000
ERF loan valuation at start of year	6,149,016	2,245,045
Fair value on new additional loans	-	3,903,971
Decrease in the ERF valuation on repayments	(1,117,661)	-
	5,031,355	**6,149,016**

22. Reinsurance Contract asset**

	31 December 2023 FRw'000	31 December 2022 FRw'000
Reinsurance share in LRC	1,473,263	1,158,645
Reinsurance share in LIC	898,790	981,505
Risk adjustments	61,118	63,023
Loss components	82,342	-
Reinsurance contract assets	**2,515,513**	**2,203,173**

** For details disclosure refer to note-Roll forward for reinsurance

23. Insurance Contract asset

	31 December 2023 FRw'000	31 December 2022 FRw'000
Premium receivables	4,983,721	3,089,480
Subrogation	314,237	152,308
Impairments	(186,413)	(149,005)
Insurance Contract Assets	**5,111,545**	**3,092,783**

24. Other assets

	31 December 2023 FRw'000	31 December 2022 FRw'000
Clearing accounts	-	5,851,831
Prepayments	6,521,952	4,903,191
Economic recovery loan valuation (Note 22)	5,031,355	6,149,016
Other receivables	4,738,571	4,650,803
Expected credit loss	(3,739,351)	(2,443,332)
	12,552,527	**19,111,509**
Other assets		
Non-Financial other assets	4,903,191	4,903,191
Financial other assets	11,388,687	16,651,650
Expected credit loss	(3,739,351)	(2,443,332)
	12,552,527	**19,111,509**

Clearing accounts are temporary and transitory accounts pending compensation house clearing including cheques in transit to other banks. Other receivables are current and non-interest bearing and are generally between 30 to 90 days.
Other receivables relate to input VAT, debtors account in transit, internal account balances, accrued revenue and deposits.

25. Deferred income tax

The following table shows deferred tax recognized in the statement of financial position and changes recorded in the income tax expense:

	31 December 2023 FRw'000	31 December 2022 FRw'000
At 01 January 2023	(10,649,558)	(9,546,653)
Charge to profit or loss account(2022:Restated)	(1,950,984)	(1,101,313)
Intercompany deferred tax liability elimination	7,866,130	-
At 31 December 2023	**(4,734,412)**	**(10,647,966)**

26. Assets classified as held for sale

These accounts relate to non- current assets held for sale in accordance with IFRS 5 that were transferred from. Property, plant and equipment, since the Group has the plan to realize the carrying amount principally through a sale transaction instead of continuing use.

	31 December 2023 FRw'000	31 December 2022 FRw'000
Musanze Old Branch	466,145	466,145
Nyagatare Residential House	100,000	100,000
	566,145	**566,145**

27(I). Property and equipment

31 December 2023	Land and Buildings FRw'000	Computer and IT Equipment FRw'000	Motor vehicles FRw'000	Furniture and Fittings FRw'000	Work in Progress* FRw'000	Total FRw'000
Cost/valuation						
At 1 January 2023	20,375,503	12,031,928	2,281,931	3,614,736	1,548,136	39,852,234
Additions		6,209,378	396,446	1,195,948	845,066	8,646,838
Disposal			(266,591)			(266,591)
At 31 December 2023	**20,375,503**	**18,241,306**	**2,411,786**	**4,810,684**	**2,393,202**	**48,232,481**
Depreciation						
At 1 January 2023	1,899,191	4,616,206	1,739,980	1,539,184	-	9,794,561
Charge for the year	577,626	4,024,666	277,668	1,450,956	-	6,330,916
Disposal	-	-	(245,682)	-	-	(245,682)
At 31 December 2023	**2,476,817**	**8,640,872**	**1,771,966**	**2,990,140**	**-**	**15,879,795**
Carrying amount	**17,898,686**	**9,600,434**	**639,820**	**1,820,544**	**2,393,202**	**32,352,686**
31 December 2022						
Cost/valuation						
At 1 January 2021	20,375,503	8,725,249	2,279,131	2,583,299	966,555	34,929,737
Additions	-	3,593,712	312,232	567,948	612,772	5,086,664
Disposal	-	-	(299,595)	-	-	(299,595)
Write off	-	(6,350)	-	(2,231)	-	(8,581)
At 31 December 2022	**20,375,503**	**12,312,611**	**2,291,768**	**3,149,016**	**1,579,327**	**39,708,225**
Depreciation						
At 1 January 2022	577,625	1,956,522	1,850,102	936,738	-	5,320,987
Charge for the year	1,321,566	2,666,034	200,606	449,595	-	4,637,801
On disposal	-	-	(299,595)	-	-	(299,595)
Write off	-	(6,350)	-	(2,231)	-	(8,581)
At 31 December 2022	**1,899,191**	**4,616,206**	**1,751,113**	**1,384,102**	**-**	**9,650,612**
Carrying amount	**18,476,312**	**7,696,405**	**540,655**	**1,764,914**	**1,579,327**	**30,057,613**

27.(I) property and equipment (continued)

Land and Buildings were revalued by the directors in 2020 based on the estimated market value. The revaluation was carried out by Architectural & Urban Solutions ARCHUS.

Fair value measurement	Date of valuation	Total FRw'000	Significant unobservable inputs (Level 3) FRw'000
Buildings	2020	20,375,503	20,375,503

Revaluation was based on open market value; in arriving at the valuation figures the following principles have been assumed and applied.

- A willing buyer and willing seller both of whom are fully informed about the property and not acting out of compulsion,
- That to the date of valuation, a reasonable period of time would be allowed to properly market the property taking into account the nature of the property, the state of the market and allowing sufficient time for the agreement price, terms and completion of the sale.
- That the state of the market, levels of values and other circumstances were on any earlier assumed date of exchange of contracts, the same as on the date of valuation.
- That no account would be taken of any bid by a purchaser with special interest.

The following tables provide the fair value measurement hierarchy of the revalued land and buildings

	Fair value measurements at 31 December 2023 using			
	Total amount	Quoted prices in active market	Significant observable inputs	Significant unobservable inputs
		Level 1	Level 2	Level 3
	FRw'000	FRw'000	FRw'000	FRw'000
31 December 2022	20,375,503	-	-	20,375,503
31 December 2021	20,375,503	-	-	20,375,503

The fair value of the property has been determined on a market value basis in accordance with the methods and standards of cost estimation and analysis as set by the Institute of Rwanda Property Valuers (IRPV) and the International Valuation Standards Council, the valuations were performed by Uwezeyimana Straton, an accredited independent valuer with a recognized and relevant professional qualification with recent experience in the category of the investment property being valued. The valuation was based on the mean of the cost-based approach and income approach in which the estimates are as follows:

	Property	
	31 December 2023	31 December 2022
The parity USD/FRw	10%	7%
The estimated occupancy time	Fourteen-year term	Fifteen-year term
Discount rate	10%	10%

27.(i) property and equipment (continued)

The relationship of the unobservable inputs to the fair value is as follows:

If the parity USD/FRw used was higher/lower by 500 basis points, the fair value of land and buildings would be higher/lower by FRw 20,000,000 million.

If the estimated occupancy time was higher/lower by 5 years, the fair value of land and buildings would be higher/lower by FRw 139,000,000 million.

If the estimated discount rate was higher/lower by 500 basis points, the fair value of land and buildings would be lower/higher by FRw 39,000,000 million.

*Work in progress relates to the Primary Data centre and Recovery site costs that have not been capitalised. The project is yet to be commissioned. These are prepayments made to E-fellows for items that have not been received.

If the land and building were carried at cost, the below would be the carrying amount

Historical cost	31 December 2023 FRw'000	31 December 2022 FRw'000
Cost		
Accumulated depreciation		
Carrying amount	**0**	**0**

27.(ii) intangible assets

	31 December 2023 FRw'000	31 December 2022 FRw'000
Cost		
At 1 January	18,474,837	15,416,812
Additions	2,909,486	3,085,949
At period end	**21,384,323**	**18,502,761**
Amortisation		
At 1 January	7,980,229	5,143,028
Amortisation	3,121,337	2,865,223
At period end	**11,101,566**	**8,008,251**
Net book value	**10,282,757**	**10,494,510**

Intangible assets relate to the Group's core banking platform and computer software in use, key additions in the current year relate to the implementation of NUODB.

27.(iii) Right of use Assets

	31 December 2023 FRw'000	31 December 2022 FRw'000
Cost		
At 1 January	5,285,105	4,148,397
Additions	460,598	1,136,708
At period end	**5,745,703**	**5,285,105**
Amortisation		
At 1 January	3,524,548	2,489,038
Amortisation	1,068,412	1,035,510
At period end	**4,592,960**	**3,524,548**
Net book value	**1,152,743**	**1,760,557**

28. Due to banks

	31 December 2023 FRw'000	31 December 2022 FRw'000
Deposits and balances from other Banks	151,057,407	156,874,545
Term treasury borrowings	44,127,199	123,713,653
	195,184,606	**280,588,198**
Maturing as follows:		
Payable within 3 months	156,816,855	178,723,673
Payable after 3 months	38,367,751	101,864,525
Total	**195,184,606**	**280,588,198**

The weighted average effective interest rate on deposits and balances from other banks as at 31 December 2023 was 7.8% (2022: 7.8%)

29. Deposits and balances from customers

	31 December 2023 FRw'000	31 December 2022 FRw'000
Current accounts	1,100,135,657	780,423,274
Fixed deposit accounts	213,884,749	233,784,663
Savings accounts	50,272,400	41,117,117
Collateral and other deposits	12,050,075	19,863,518
	1,376,342,881	**1,075,188,572**

30. Dividends payable

	31 December 2023 FRw'000	31 December 2022 FRw'000
At 1 January	30,704,511	26,928,781
Dividends paid during the year	(37,586,770)	(26,086,425)
Dividend declared	30,027,978	29,862,155
At 31 December	**23,145,719**	**30,704,511**

31.(i) insurance contract liabilities

	31 December 2023 FRw'000	31 December 2022 FRw'000
Accident	96,275	69,631
Motor	7,659,978	5,591,915
Engineering	866,536	412,640
Property	1,043,930	700,663
Transportation	38,373	17,233
Guarantee	141,061	244,335
Liability	169,922	60,771
Miscellaneous	928,553	716,681
	10,944,628	**7,813,869**

31.(ii) Creditors arising from reinsurance & Subrogation arrangements

	31 December 2023 FRw'000	31 December 2022 FRw'000
Reinsures payables		
ZEP-RE	194,133	273,029
Africa-RE	267,428	384,522
Kenya-RE	46,352	2,800
GHANA REINSURANCE COMPANY LIMITED	35,875	24,274
KLAPTON INSURANCE COMPANY LIMITED	-	17,830
WAICA REINSURANCE KENYA LIMITED	75,110	47,995
MAPFRE	15,343	10,427
CONTINENTAL	79,489	3,797
SOCIÉTÉ COMMERCIALE GABONAISE DE RÉASSURANCE	40,558	-
Total Reinsurers	754,288	764,674
Coinsurers		
SONARWA-COMESA	27,328	69,775
BRITAM INSURANCE CO (RWANDA) LTD	24,225	3,294
MUA INSURANCE	35,156	-
PRIME INSURANCE LTD	52,728	10,290
RADIANT INSURANCE CO LTD	44,708	39,948
OLD MUTUAL Rwanda	40,135	36,980
SANLAM	15,773	-
MAYFAIR	32,148	6,800
Total Coinsurer	**272,201**	**167,087**
Total coinsurance and Reinsurance Payables	**1,026,489**	**931,761**

32. Other liabilities

	31 December 2023 FRw'000	31 December 2022 FRw'000
Clearing accounts	2,696,844	58,353
Deferred revenue	-	7,485,082
Economic recovery grant valuation	-	5,971,737
Expected credit losses on off balance sheet items	4,686,023	832,613
Other liabilities	10,285,073	5,579,853
Accrued expenses	24,990,993	8,684,252
	42,658,933	**28,611,890**

***Other liabilities relate to accruals of payroll liabilities, Output VAT and other internal accounts for cards and bill payment settlements in the month of December 2023.

33. Lease liabilities

	31 December 2023 FRw'000	31 December 2022 FRw'000
As at 1 January	1,787,992	2,069,256
Additions of lease rentals	460,598	1,136,708
Interest expense	105,900	221,212
Less:		
Payment of interest on lease liabilities	(105,900)	(221,212)
Payment of principal portion of lease liabilities	(594,900)	(1,417,972)
	1,653,690	**1,787,992**

34. Long term finance

a) Year ended 31 December 2023	1-Jan-23 FRw'000	Additional drawdown FRw'000	Interest expense FRw'000	Revaluation loss FRw'000	Principal repayments FRw'000	Interest repayments FRw'000	31-Dec-23 FRw'000
EIB Loan (8.01% - 11.4%)	65,203,872	-	6,220,368	-	(6,166,560)	(5,697,095)	59,560,585
AFD Loan (Libor +3.74% pa)	16,586,920	-	1,468,562	2,448,315	(3,236,495)	(1,676,021)	15,591,281
BRD-KFW EGF(8% p.a)	20,927,561	7,875,439	2,174,211	-	(1,360,452)	(1,046,563)	28,570,196
Total	**102,718,353**	**7,875,439**	**9,863,141**	**2,448,315**	**(10,763,507)**	**(8,419,679)**	**103,722,062**

a) Year ended 31 December 2022	1-Jan-22 FRw'000	Additional drawdown FRw'000	Interest expense FRw'000	Revaluation loss FRw'000	Principal repayments FRw'000	Interest repayments FRw'000	31-Dec-22 FRw'000
EIB Loan (8.01% - 11.4%)	33,083,311	40,280,000	3,188,291	-	(8,518,204)	(2,624,160)	65,409,238
AFD Loan (Libor +3.74% pa)	14,140,685	4,973,222	863,233	1,079,041	(3,965,416)	(750,237)	16,340,528
BRD-KFW EGF(8% p.a)	8,803,000	12,205,835	602,160	-	(40,399)	(602,009)	20,968,587
Total	**56,026,996**	**57,459,057**	**4,653,684**	**1,079,041**	**(12,524,019)**	**(3,976,406)**	**102,718,353**

i. In 2019 Bank of Kigali Plc signed two loan agreement with European Investment Bank (EIB) for a credit of EUR 30 million. The EIB facility was fully drawn down on the 2nd of January 2020 and the repayment terms are in Rwandan Francs. During the year, Bank of Kigali Plc signed a contract with European Investment Bank (EIB) for a credit of EUR 40 million and the repayment terms are in Rwandan Francs.

ii. Agence Francaise de Development (AFD) disbursed USD 20 million. As at 31 December 2020, Bank of Kigali plc had drawn down USD 15.1m from the AFD line for a 7-year term.

iii. The Bank was compliant on all financial covenants on the long-term finance. During the year, Bank of Kigali Plc signed a contract with Agence Francaise de Development (AFD) disbursed for a credit of USD 4 million. Remediation work on the USD LIBOR exposures will commence in advance of the discontinuation date of 30 June 2023. As at 31 December 2023, the USD LIBOR exposures which had not been transitioned was valued at US$ 11.9 million dollars.

vi. In 2022 BRD-KFW signed two loans of RWF 1 Billion and RWF 5 Billion maturing on 30/09/2027 and 30/06/2023 respectively and a line of Credit of Rwf 2.1 Billion on the 14th June 2021. During the year, Bank of Kigali Plc signed 4 contracts with BRD for a credit of Frw 70 million, Frw 2 billion, Frw 2 billion and 6.1 billion. In 2023 the Bank has signed two contracts with BRD for economic recovery loan of FRw 6.8 Bln and FRw 1 Billion for Commercialization and De-Risking for Agricultural Transformation Project (CDAT) maturing on 30/03/2038 and 30/09/20

35. Capital & reserves

(i) Share Capital

	31 December 2023 Shares	31 December 2023 FRw'000	31 December 2022 Shares	31 December 2022 FRw'000
Authorised share capital of FRw 10 each	1,050,460,000	1,050,460,000	1,050,460,000	1,050,460,000
Issued and fully paid up				
At 1 January	918,514,708	9,185,147	904,547,404	9,045,474
New issued	9,647,500	96,478	13,967,304	139,673
At 31 December	928,162,208	9,281,625	918,514,708	9,185,147

(ii) Share premium

These reserves arose when the shares of the Group were issued at a price higher than the nominal (par) value, these will be applied towards capital in future.

	31 December 2023 FRw'000	31 December 2022 FRw'000
At 1 January	79,953,617	76,573,491
New issued at premium @ FRw 260 (2022 was FRw 260)each	-	-
DRIP Share issued	2,469,831	3,380,126
At 31 December	**82,423,448**	**79,953,617**

(iii) Revaluation reserve

	31 December 2023 FRw'000	31 December 2022 FRw'000
Buildings	13,099,993	13,099,993
	13,099,993	**13,099,993**

Revaluation reserves represents the periodic revaluation of freehold land and buildings, the carrying amount of these assets is adjusted to the revaluations, Revaluation surpluses are not distributable.

(iv) Retained earnings

	31 December 2023 FRw'000	31 December 2022 FRw'000
Opening balance	211,133,499	181,990,759
DRIP Shares issued	(3,849)	(5,711)
IFRS17 day 1 Adjustment		24,142
Profit attributable to parent(2022:Restated)	73,869,360	58,986,464
Statutory loan loss reserve	-	-
Dividends declared	(30,027,978)	(29,862,155)
	254,971,032	**211,133,499**

35. Capital & reserves (continued)

(v) Statutory reserves

	31 December 2023 FRw'000	31 December 2022 FRw'000
Statutory credit reserve	2,321,973	2,321,973
	2,321,973	**2,321,973**

The statutory credit risk reserve represents excess of regulatory expected credit losses over IFRS excess of regulatory expected credit losses over IFRS determined credit losses.

36. Maturity analysis of assets and liabilities

The table below shows an analysis of assets analysed according to when they are expected to be recovered or settled as at reporting date:

At 31 December 2023 Assets	Less than FRw'000	Over 12 months FRw'000	Total FRw'000
Cash in hand	30,615,453	-	30,615,453
Balances with the National Bank of Rwanda	299,769,279	5,886,737	305,656,016
Balances held with other financial institutions	253,436,777	-	253,436,777
Investment securities	119,555,309	66,992,589	186,547,898
Investment in corporate bond	-	18,531,463	18,531,463
Investment in specialized fund	8,255,671	5,000,000	13,255,671
Loans and advances to customers	179,771,897	1,065,071,367	1,244,843,264
Insurance Contract Assets	5,111,545		5,111,545
Reinsurance contract Asset	2,515,513		2,515,513
Deferred Tax Asset	-	4,752,423	4,752,423
Other assets	12,588,896	-	12,588,896
Right to use assets	1,152,743	-	1,152,743
Assets held for sale		566,145	566,145
Intangible assets	-	10,282,657	10,282,657
Property and equipment	-	32,351,454	32,351,454
Total assets	**912,773,083**	**1,209,434,835**	**2,122,207,918**

At 31 December 2023 Liabilities	Less than 12 months FRw'000	Over 12 months FRw'000	Total FRw'000
Due to banks	175,964,943	19,219,663	195,184,606
Deposits and balances from customers	1,336,035,130	40,307,750	1,376,342,880
Income tax liability	1,060,584		1,060,584
Insurance contract Liabilities	10,944,629		10,944,629
Creditors arising from reinsurance arrangements	1,026,489		1,026,489
Dividends	23,145,719	-	23,145,719
Other liabilities	42,716,113	-	42,716,113
Lease liabilities	1,663,690	-	1,663,690
Long-term finance	3,807,846	99,914,215	103,722,061
Shareholders' funds	-	366,411,147	366,411,147
Total Equity and Liabilities	**1,596,365,143**	**525,852,775**	**2,122,217,918**

37. Fair value

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities carried at amortised cost as at 31 December 2023:

		Fair value measurement using		
Assets	**Carrying amount FRw'000**	**Quoted prices in active markets (Level 1) FRw'000**	**Significant observable inputs (Level 2) FRw'000**	**Significant unobservable inputs (Level 3) FRw'000**
Balances with the National Bank of Rwanda	305,656,016	305,656,016	-	-
Cash balances with other banks	253,436,777	-	253,436,777	-
Investment securities	186,547,898	-	186,547,898	-
Investment in corporate bond	18,531,463		18,531,463	-
Investment in specialized fund	13,255,671	13,255,671		-
Loans and advances to customers	1,244,843,264	-	1,244,843,264	-
Insurance Contract Assets	5,111,545	5,111,545		
Reinsurance contract Asset	2,515,513	2,515,513		
Other assets	12,588,896	-	12,588,896	-
Total assets	**2,042,487,043**	**326,538,745**	**1,715,948,298**	**-**
Liabilities				-
Due to banks	195,184,606	-	195,184,606	-
Deposits and balances from customers	1,376,342,880		1,376,342,880	-
Other liabilities	42,716,113	-	42,716,113	-
Insurance contract Liabilities	10,944,629		10,944,629	
Creditors arising from reinsurance arrangements	1,026,489		1,026,489	
Long-term finance	103,722,062	-	103,722,062	-
Total liabilities	**1,729,936,779**	**-**	**1,729,936,779**	**-**

37. Fair value (continued)

The following table provides the fair value measurement hierarchy of BK Group Plc's assets and liabilities carried at amortised cost as at 31 December 2022:

		Fair value measurement using		
Assets	Carrying amount FRw'000	Quoted prices in active markets (Level 1) FRw'000	Significant observable inputs (Level 2) FRw'000	Significant unobservable inputs (Level 3) FRw'000
Balances with the National Bank of Rwanda	328,750,207	328,750,207	-	-
Cash balances with other banks	48,979,707	-	48,979,707	-
Investment securities	216,899,036	-	216,899,036	-
Investment in corporate bond	12,899,036		12,899,036	-
Investment in specialized fund	12,605,141	12,605,141	-	-
Loans and advances to customers	1,134,512,318	-	1,134,512,318	-
Insurance Contract Assets	3,092,783	3,092,783		
Reinsurance contract Asset	2,203,173	2,203,173		
Other assets	19,111,509	-	19,111,509	-
Total assets	**1,779,052,910**	**346,651,304**	**1,432,401,606**	**-**
Liabilities				-
Due to banks	280,588,198	-	280,588,198	-
Deposits and balances from customers	1,075,188,572		1,075,188,572	-
Insurance contract Liabilities	7,813,869		7,813,869	-
Creditors arising from reinsurance arrangements	931,761		931,761	
Other liabilities	28,611,888	-	28,611,888	
Long-term finance	102,718,352	-	102,718,352	-
Total liabilities	**1,495,852,640**	**-**	**1,495,852,640**	**-**

Valuation Techniques

The financial instruments include Government Securities, Cash balances with other Banks, Loans and Advances and other assets, Due to Banks, Deposits, other liabilities and Long term finance.

These instruments are held at amortised cost. When active market prices are not available, the Group uses discounted cash flow models with observable market inputs of similar instruments to estimate future index levels and extrapolating yields outside the range of active market trading, in which instances the Group classifies those securities as Level 2. The Group uses discounted cash flow models with observable market inputs of similar instruments and bond prices The Group classifies those securities as Level 2. The Group does not have Level 3 government securities where valuation inputs would be unobservable.

38. Contingent liabilities and commitments

Legal claims

Litigation is a common occurrence in the financial services industry due to the nature of the business undertaken. The Group has formal controls and policies for managing legal claims. Once professional advice has been obtained and the amount of loss reasonably estimated, the Group makes adjustments to account for any adverse effects which the claims may have on its financial standing.

At period end, BK Group is party to various legal proceedings for a total amount of FRw 32.9 Billion (2022: FRw 9.7 Billion). Having assessed the legal advice received, the directors are of the opinion that these legal proceedings will not give rise to significant liabilities; however, the amount with probable loss has been fully provided for in these financial statements.

Commitments

As at 31 December 2023, the Group had contractual commitments of FRw 2.4 Billion that mainly relates to acquisition of servers and storage, ATM purchases, Office renovations, E-learning platforms license (2022: FRw 4.6 Billion).

39. Related parties disclosures

Government of Rwanda being the majority shareholder through Rwanda Social Security Board and Agaciro Development Fund, based on the exemption under accounting standards, limited transactions and balances with government and government related parties have not been disclosed.

i) Remuneration of key management personnel of the Group

	31 December 2023 FRw'000	31 December 2022 FRw'000
Remuneration of key management personnel of the group	875,243	861,119

ii) Directors Remuneration

31 December 2023	2023 FRw'000	2022 FRw'000
Mr, Marc Holtzman (Chairman)	194,153	315,817
Jean Philippe Prosper	52,155	-
Mrs. Sonia Masimbi Kubwimana	34,774	27,247
Mr. Gilbert Nyatanyi	-	27,247
Mr. Darren Smith	43,988	20,824
Roselyne Uwamahoro	29,881	10,437
Francis Gatare Kabera	31,113	10,437
Majija Achumile	18,438	-
	404,502	**412,009**

Non-executive directors do not receive pension entitlements from the Group, in 2023, Directors for the Group served for the Bank Subsidiary's Board and committee meetings.

ii) Transaction with key management personnel of BK Group Plc

BK Group Plc enters into transactions, arrangements and agreements involving directors, senior management and their related party concerns in the ordinary course of business at commercial interest and commission rates.

The following table provides the total amount of transactions, which have been entered into with related parties for the relevant financial year.

39. Related parties disclosures (continued)

	31 December 2023 Maximum balance during FRw'000	Balance as at 31 December FRw'000	Income/Expense FRw'000
Residential mortgages	1,576,609	1,576,609	112,973
Credit cards and other loans	2,761,517	2,691,059	89,665
Deposits	818,478	623,345	5,701

The amounts above relate to key management personnel of the Bank.

	31 December 2022 Maximum balance during FRw'000	Balance as at 31 December FRw'000	Income/Expense FRw'000
Residential mortgages	1,377,321	1,348,972	106,200
Credit cards and other loans	2,116,525	2,116,525	54,915
Deposits	677,208	514,838	8,458

iii) Transaction with other related parties

In addition to transactions with key management, the Group enters into transactions with entities with significant influence over the Group, the following table shows the outstanding deposits and investment in securities balance and the corresponding interest during the period.

Investment in securities	31-Dec-23		31-Dec-22	
	Balance as at FRw '000	Interest from FRw '000	Balance as at FRw '000	Interest from FRw '000
Government T-bills and bonds	216,899,036	22,510,398	164,115,134	15,434,807

Deposits from major shareholders	31-Dec-23		31-Dec-22	
	Balance as at FRw '000	Interest from FRw '000	Balance as at FRw '000	Interest from FRw '000
Rwanda Social Security Board	76,981,364	3,667,890	159,960,172	4,527,874
Agaciro Development Board	15,270,086	1,204,041	13,194,929	718,103
Total Balances	**92,251,450**	**4,871,931**	**173,155,101**	**5,245,977**

There have been no guarantees provided or received for any related party receivables or payable.

40. Subsidiaries

Bank of Kigali Plc

The Bank was incorporated at the end of 2017 following reorganisation of the former bank into a holding company, It is a wholly owned subsidiary of the Group, Its principal place of office is in the BK Group PLC head office, It offers corporate and retail banking services.

BK General Insurance Company Limited

The Group opened a wholly owned subsidiary, BK General Insurance Company Limited on the 16 September 2015, Its principal place of office is in the BK Group PLC head office, the company offers Non-Life Insurance Services, The value of the investment at cost less impairment is FRw 5,000,000,000, During the year, Swan Group bought a 30% stake in BK General Insurance Ltd with BK Group owning 70%.

BK Capital Limited

The Group opened a wholly owned subsidiary, BK Securities Ltd on the 10 December 2013. In 2012, this has been incorporated into BK Capital Ltd, its principal place of office is in the BK Group PLC head office, The main activity of the Company is to hold assets for Custody clients, as well offering of brokerage and advisory services, The issued and paid up capital is FRw 1,200,000,000.

BK Tec-House Limited

The Group opened a wholly owned subsidiary, BK Tec-House Ltd on the 10 August 2015, Its principal place of office is in the BK Group PLC head office, the company offers Internet and digital Services to customers.

Non-controlling interests (NCI)

Set out below is summarised financial information for BK General Insurance Company Limited that are material to the group, the amounts disclosed are before inter-company eliminations.

Summarised Statement of financial position	31 December 2023 FRw'000	Restated 31 December 2022 FRw'000	Restated-1 January 2022 FRw'000
Total assets	29,705,720	23,508,364	21,270,190
Total liabilities	(14,477,701)	(10,651,143)	(11,310,763)
Net assets	**15,228,019**	**12,857,221**	**9,959,427**

Summarised statement of profit or loss and other comprehensive income	31 December 2023 FRw'000	31 December 2022 FRw'000
Insurance revenue (2022: Restated)	12,430,634	11,244,741
Insurance cost (2022: Restated)	(9,163,399)	(8,213,198)
Profit for the year (2022: Restated)	3,161,064	2,897,795
Other comprehensive income	-	-
Total comprehensive income (2022: Restated)	**3,161,064**	**2,897,795**

Summarised statement of cash flows	31 December 2023 FRw'000	31 December 2022 FRw'000
Cashflows from operating activities	2,747,700	2,099,230
Cashflows utilised in investing activities	(2,592,201)	(3,606,696)
Cashflows from financing activities	(186,000)	(204,339)
Net (decrease)/increase in cash and cash equivalents	**(30,501)**	**(1,711,805)**

41. Share based payments

Employee option plan

In 2018, the Group issued shares equal to 7,200,000 under the Employee Share Ownership Plan "ESOP" that was subscribed for by Directors and Employees. Under the ESOP scheme, directors and employees have the option to acquire additional number of shares after the vesting period (3 years) and before end of November 2022.

The Board in October 2018 approved the establishment of the BK Group Employee Option Plan. The Employee Option Plan is designed to provide long-term incentives for directors and eligible employees to deliver long-term shareholder returns. Under the plan, participants are granted options, which only vest if certain performance standards are met. Participation in the plan is at the board's discretion and no individual has a contractual right to participate in the plan or to receive any guaranteed benefits.

Each beneficiary shall be entitled to purchase from the Company, from the listing date of the new shares up to the third anniversary (the "Vesting Date") and thereafter, entitled to buy options under the scheme not later than the fifth anniversary from the listing date, for the cash consideration equal to the Offer Price and payable in full. On the fifth anniversary, as part of the Group's executive management retention scheme, the executive management team shall be entitled to bonus shares equivalent to 50% of their individual holding under the scheme, if the Group's share price shall have doubled by the final year of the scheme.

The beneficiaries shall continue to serve as Directors or be employed by the Company, as the case may be, until the vesting date. The Board shall have the final discretion in the allotment, operations and vesting of the ESOP shares.

All eligible Employee are entitled to purchase the ESOP shares from the ESOP for 100% of the purchase price and have the option to either pay the full amount upfront by cash or otherwise through deductions as set up and managed by the HR department.

Options are granted carry no dividend or voting rights, when exercisable, each option is convertible into one ordinary share. The exercise price of options is based on the weighted average price at which the company's shares are traded on the Rwanda Stock Exchange and Cross-listed in the Nairobi Securities during the week up to and including the date of the grant.

The fair value of options granted under the BK Group Plc Employee Option Plan is recognised as an employee benefits expense, with a corresponding increase in equity, the total amount to be expensed is determined by reference to the fair value of the options granted based on the performance of the shares.

The total expense is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied. At the end of each period, the entity revises its estimates of the number of options that are expected to vest based on the non-market vesting and service conditions. It recognises the impact of the revision to original estimates, if any, in profit or loss, with a corresponding adjustment to equity.

When the options are exercised, the entity transfers the appropriate number of shares to the employee. The proceeds received, net of any directly attributable transaction costs, are credited directly to equity.

42. Post period end events

Except as disclosed in the notes to the financial statements, there are no events after the reporting date that require disclosure in or adjustments to the financial statements as at the date of this report.

BK GROUP PLC